Dino Dogan

Seven Building Blocks of a Successful Corporate Restructuring

A Practical Guide

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For my father

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Introduction

1

Abstract

Restructurings are mostly associated with companies that have fallen into difficulties. These companies fail to adjust in a timely and appropriate manner to the increasing changes in their environment. For sustainable business success, it is essential to recognize future relevant changes and to develop and implement solutions effectively and efficiently before the changes occur. Based on the so-called "7P" (Plan, People, Partitioning, Processes, Platforms, Portfolio, and Performance), the company can carry out the necessary strategic and structural or organizational changes in a timely, rapid, and efficient manner. Since each company is unique in its core and structure, companies should design the specific areas of action according to their individual needs.

When companies are mentioned in the context of restructuring, the emergency has usually already occurred. Corporate restructurings are often the last chance to save a company that has fallen into difficulties before it reaches its final demise. Interestingly, measures are then initiated and implemented in the course of a restructuring that were dismissed as impossible in times before the public outbreak of the crisis. Necessity not only makes one inventive but also compliant.

But why do companies even get into a situation that threatens their existence? One answer to this is the increasingly cited change. Now, change is nothing new in the history of mankind. Whether it is Heraclitus' "The only constant is change" or Darwin's "Survival of the fittest," humans have always been exposed to change and had to come to terms with it. What has changed about change itself, however, are the facts that, on the one hand, the frequency of events that trigger change is significantly increasing. On the

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other hand, the impacts of change on both us as individuals and our companies are steadily increasing. Buzzwords like climate change, demographic change, the fourth industrial revolution, to name just a few, clearly demonstrate this.

But it is not only external factors that determine change for a company. Companies themselves also generate potential for change. A development can be cited here, according to which companies fall into existential difficulties not because they offer poor quality products or services. Rather, the offering simply no longer meets the demands of the market. Doing something well for too long can thus become a problem. Or to put it in football terms: Played well, but still lost. Particularly family-run businesses, where the generational change has not been successfully completed, often hold on to proven principles and cherished habits for (far) too long because the company founders are still convinced of their correctness today. What is often forgotten in the process is the (uncomfortable) fact that past and present success is no guarantee of a sustainably successful future.

In times of increasing change with ever more pronounced impacts on individuals and companies, reactive adaptation in the sense of Darwin is no longer promising. Today, it is necessary to anticipate future changes and work on solutions today that will enable the company to successfully meet future change. The basis for this is a strategic plan in which the long-term corporate goals and the optimal strategies for achieving them are defined. Based on these strategic fundamental decisions, the organizational structure that best supports the implementation of the strategy is then defined (structure follows strategy).

What makes absolute sense in theory, however, is not necessarily implemented immediately and/or precisely in business reality. Even the development and introduction of new products and services, as well as the replacement of old hardware and software with newer solutions, often present companies with major problems. However, the change in human thought patterns and behaviors required for realignments of companies far overshadows technological change in its complexity. Nevertheless, this challenge can also be successfully mastered if certain principles are observed.

The aim of this book is to provide the reader with a practical guide to successfully carrying out a fundamental strategic and structural or organizational realignment of a company. This is not a detailed checklist that must be worked through step by step. Every company is unique. Therefore, a detailed template that can be applied to every company would not be effective. Far more promising, because it is based on authentic experiences from industrial practice, is an approach in which each company is familiar with the seven building blocks of a successful corporate restructuring and designs them individually in detail. Based on the so-called “7P” (Plan, People, Partitioning, Processes, Platforms, Portfolio, and Performance), the company can carry out the necessary strategic and structural or organizational change in a timely, rapid, and efficient manner. Numerous examples from business practice make it easier for the reader to grasp and adapt the successful approaches for each building block, as well as to learn from the mistakes of others.

Fundamental financial restructurings are not the subject of this book. If a company adheres to the seven building blocks of a successful corporate restructuring, it should not even get into a situation where it has to undertake a restructuring of its capital relationships.

All case studies not mentioned by name in the book are fictitious. Their creation is partly inspired by business practice.

Restructuring

2

Abstract

The restructuring of a company involves the profound transformation of a company. The reason for restructurings is less often the exploration of new business potentials and more often a crisis. Since companies generally do not transition from prosperity to failure in one step, those responsible theoretically have enough time to save the company from existential problems. The prerequisite for this is that the management recognizes the signs of the crisis in time and initiates appropriate measures. The later this occurs, the higher the restructuring effort and the lower the chances of success. There is no universally valid checklist for how restructurings should be carried out. Every company, and thus every restructuring case, is unique. Nevertheless, there are commonalities, so that the wheel does not have to be completely reinvented each time during restructurings. The key to success is a situational design of seven fundamental restructuring components (7P): Plan, People, Partitioning, Processes, Platforms, Portfolio, and Performance.

The term restructuring is etymologically derived from the Latin **structura** (construction, order, structure) and the prefix **re-** (back, again). The verb "restructure" means "reorder," "redesign," or "replace the old structure with a new one" (neueswort n.d.). Restructuring encompasses all forms of profound change within a company (Knecht et al. 2018a). The range of restructuring extends from "simple reorganizations in the area of 'orderly change' to severe financial restructurings in the sense of a reorganization of capital relations" (Burtscher 1996). Furthermore, a distinction can be made between strategic, structural, operational, and financial restructuring (Knecht et al. 2018b). The reason for restructuring is often a crisis. The term crisis describes an unwanted situation in which,

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in the worst case, the survival of the company is threatened due to impending insolvency (Krystek and Moldenhauer 2007).

▶ **The decline of a company is a gradual process and gives you time to act in a timely manner.**

The good news is that companies very rarely transition from prosperity to failure in one step. Based on Dinapoli, Sigoloff, and Cushman, the **stages of corporate decline** can be classified as follows: (DiNapoli et al. 1991)

1. **Pre-phase**
   In the pre-phase of the crisis, business is going well. Neither sales nor profits give management any reason to worry. If this phase lasts a long time, management becomes accustomed to the seemingly sustainable success. If the management is also composed of older members, the motivation to engage in new battles is rather modest. However, this phase is often the seedbed of a later fully developed corporate crisis, the overcoming of which requires drastic restructuring measures. Political upheavals, macroeconomic turbulence, social disruptions, technological discontinuities, ecological trend reversals, and discussions in the legal and regulatory environment have no immediate impact on day-to-day operations. The strategic implications, however, can be significant. If management does not recognize these developments or recognizes them too late, the scope for action later decreases while the pressure to act increases.
2. **Early phase**
   In the early phase of the crisis, isolated inefficiencies in production and sales already appear and form a pattern: quality defects, inventory buildup, increasing customer complaints, stagnant sales, declining profit margins, repeated sales declines. As a result, cash becomes tight, but immediate obligations are met. Only suppliers are paid more slowly. Management continues to assume that the situation will improve in the near future. The crisis is still not recognized, and no corrective measures are taken. Especially in companies with a long history of success and whose management consists mainly of "fair-weather captains," the danger of crisis ignorance is great in this phase.
3. **Intermediate phase**
   In the intermediate phase, production and sales problems become acute. The quality level continues to erode, and gross margins noticeably shrink. Now the crisis has also reached management. Material shortages occur as management tries to save money by reducing inventory. Receivables are collected more slowly. At the same time, supplier payments are long overdue, and suppliers demand payment before shipping materials. The credit line is near its maximum, banks are concerned, and they urge the company to present a restructuring plan. Morale declines, and rumors about the company's problems spread. Key employees look for new jobs or have already left.

4. **Final phase**
   In the final phase, the financial distress is glaring, and management and reporting systems collapse. Deadlines are not met. Rush orders for demanding customers and customers who pay quickly cause chaos in operations. Quality control is practically non-existent, leading to increased returns and rework. Production efficiency declines due to material shortages and frequent operational plan changes. Equipment failures increase because maintenance has been postponed and spare parts inventories have been depleted.
   The collection of receivables slows further as customers refuse to pay due to poor service or performance. As a consequence, the value of receivables as collateral diminishes due to their age. Sales continue to decline. The credit line is overdrawn. Cash balances are negative, and check clearances are delayed. Suppliers demand cash before shipping deliveries and raw materials. Juggling funds becomes the controller's full-time job. Financial and operational reports become secondary. Management has no performance data and is flying blind. Banks desperately try to get out of the credit. At the same time, they impose additional fees for violating bank credit agreements, raise interest rates, and demand more collateral. Customers become impatient due to lost, delayed, or incorrect orders and poor quality. They look for alternative suppliers and plan to switch as soon as possible. Even the previously reliable creditors have lost all confidence in management. The remaining good employees leave. The collapse is imminent.

▶ **Prevent the beginnings (of a corporate crisis)!**

In Fig. 2.1, the development phases of a corporate crisis are shown again. The often-cited political phrase "Prevent the beginnings" can therefore also be applied to restructuring. The earlier (potential) misalignments are recognized and appropriate corrective measures are taken, the lower the restructuring effort and the (financial) damage to the company. At the same time, the chances for sustainable restructuring success increase with early corrective intervention.

In view of the above statements, it is understandable that the corrective measures initiated during restructurings often aim at reducing costs.

▶ **Every restructuring case is unique. Nevertheless, there are commonalities that you should consider.**

In principle, the three **main tasks in a restructuring** are: (Vance 2009)

1. Diagnosing problems,
2. Developing and implementing solutions, and
3. Finding resources to sustain the company until the restructuring takes effect.

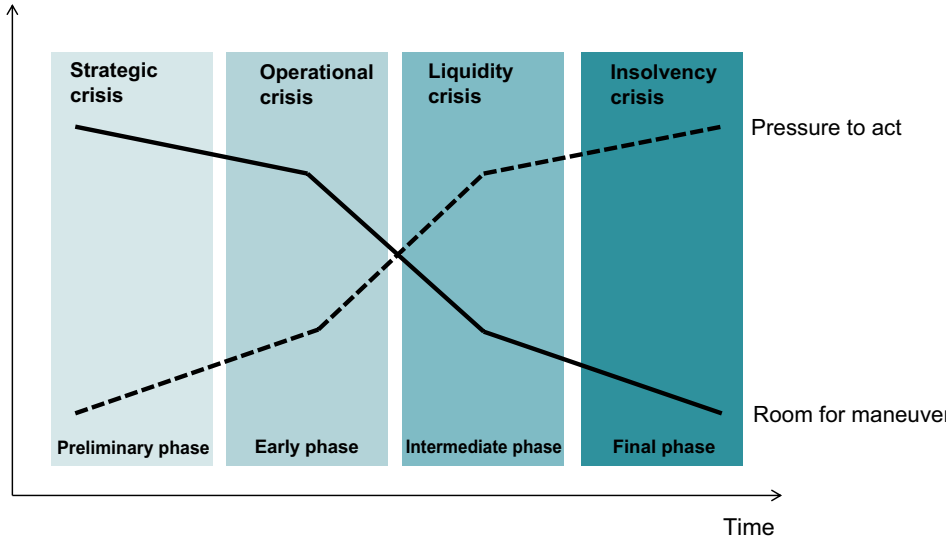


Fig. 2.1 Development of the corporate crisis

Regarding the specific restructuring activities, it should be noted once again that there is no universal magic formula or generally binding checklist that merely needs to be systematically followed. Therefore, the intention of the book is to highlight seven essential topics that those responsible for restructuring must definitely address. The specific design of these seven building blocks of a restructuring varies from company to company. Every company is unique, just as each of us is unique. And yet, in daily interpersonal communication, we are quick to say phrases like "I completely understand you" or "I know exactly how you feel right now." At best, we understand ourselves. But without having been in the other person's shoes for even a second, we dare to make such statements. It is not much different with companies and their restructurings. Simply copying the approach of a successful corporate restructuring is by no means a guarantee of success for the next company. Approaches and techniques that have proven successful in one company can even generate counterproductive effects in another company in the same industry. One of many reasons for this can be the different corporate culture. However, this does not mean that the wheel has to be reinvented with every restructuring. The situational design of the following seven restructuring building blocks is crucial for overall success.

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Overview of the Seven Building Blocks of a Successful Corporate Restructuring (7P)

3

Abstract

The intensive engagement with the seven building blocks of a successful corporate restructuring provides those responsible with answers to fundamental questions.

When must something be done? As part of strategic planning (P1), it is first clarified whether there is a need for action in the company in terms of a strategic and/or organizational realignment.

What needs to be done? The plan (P1) describes the company's starting position, the target position after successful restructuring, and what needs to be done to achieve it.

Who has to do it? Plans are still implemented by people/persons (P2).

How should it be done? If the current process organization does not sufficiently support the achievement of corporate goals, the business processes (P3) must be redesigned. Building on this, the structural organization is defined and introduced, whereby the distribution of work/partitioning (P4) is not done around people but is aligned with topics/processes. A significant support in the successful implementation of the reorganization are the various platforms (P5) used by the company. The analysis of the existing product and/or service portfolio (P6) and its realignment ensures that the constantly changing customer wishes can always be satisfied by the company.

What result should be achieved? Measuring the desired change during the restructuring and tracking the achievement of operational and strategic goals allows management to assess the performance (P7) and to intervene in a timely and targeted manner.

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The intensive engagement with the seven building blocks of a successful corporate restructuring, as illustrated in Fig. 3.1, provides those responsible with answers to the fundamental questions:

- When does something need to be done?
- What needs to be done?
- Who needs to do it?
- How should it be done?
- What result should be achieved or has been achieved?

When answering the question "When does something need to be done," the first step is to determine whether there is a need for action for the company in terms of a strategic and/or organizational realignment of the company. If this question is answered with "Yes," the next steps involve defining which new goals are to be achieved and how they are to be achieved. The tangible result of these considerations is a **plan (P1)**, which shows where the company currently stands (starting position A) and where it should be after successful restructuring (target position B). The plan also describes what needs to be done to reach target position B, what costs will be incurred, and what new benefits will be created.

Even the best plan is almost worthless if the company is not able to implement it. But who implements a company's plans? In times of digital transformation, there is a tendency to quickly seek out the latest technical solutions as a panacea for all business problems. The fact is, however, that plans, whether strategic or operational, are still implemented by **people/personnel (P2)**. Specifically, this means that all employees of the company, from top management to operational units, carry out the implementation of the plans. Therefore, in the context of restructuring processes, the selection, further development, and sometimes the separation of employees are of particular importance. This is especially true as the behavioral changes associated with restructuring represent one of the greatest challenges for those responsible for implementation. At this point, it should also be noted that the motivation, perseverance, and willingness to make and implement even unpleasant decisions of those who commission the restructuring are crucial.

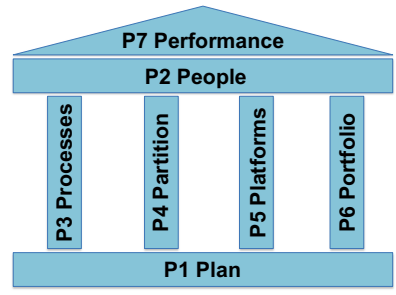


Fig. 3.1 Seven building blocks of restructuring

When answering the question of how the restructuring should be carried out and what result it should have, the first step is to analyze the company's **business processes (P3)** for their effectiveness (doing the right things) and efficiency (doing things right). If the current process organization does not sufficiently support the achievement of corporate goals, the business processes need to be redesigned.

Only in the second step is the **structural organization (P4)** defined and introduced based on this. This ensures that the distribution of work is not done around people but is aligned with topics/processes.

A key support in the successful implementation of the reorganization is the various **platforms (P5)** that the company also uses in its day-to-day operations. This includes the communication platform through which the company conveys important messages to internal and external stakeholders and collects feedback. If the restructuring takes place in a crisis environment, communication becomes particularly important. Another aspect is how the collaboration of stakeholders during the restructuring is designed and on what basis the various organizational units within a company and with external parties cooperate. The third element is the operational, mostly IT-based platforms that need to be analyzed.

The final question, when it comes to the "how" of restructuring, concerns the **product and/or service portfolio (P6)** of a company. An outdated and/or inflexible offering that does not satisfy the constantly changing customer demands is often the reason why a company gets into trouble and needs to undergo restructuring. Therefore, an analysis of the existing portfolio and, if necessary, a realignment of the portfolio is an indispensable part of the restructuring process.

Peter Drucker's "If you can't measure it, you can't manage it" (Croll and Yoskovitz 2013) and Pirelli's long-standing claim "Power is nothing without control" (Espuelas 2008) succinctly summarize the necessity of **(tracking) the success / performance of the restructuring (P7)**. Even during the restructuring process, it is appropriate to measure the desired change in the company and promptly initiate any necessary corrective actions. At the same time, the company must pay attention to its operational results. Due to the restructuring-related focus on the company itself, there is a great risk of losing sight of the market and customers. In the long term, the effects of the restructuring on the company's performance and competitiveness must be made transparent, also to recognize new needs for action in a timely manner.

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Building Block 1: Plan

4

Abstract

The best crisis management is preventing the occurrence of a crisis situation for the company. In doing so, the company systematically scans its micro- and macroeconomic environment to timely capture weak signals that could indicate a future crisis or new business opportunities.

Once the company has precisely defined its starting position and target position, it must define the path to achieve this position (strategy) and the role restructuring plays in this within the framework of its strategic planning. From this, the operational planning for implementation is derived. When it comes to the planned profitability of a restructuring, companies are more likely to be trusted with the successful realization of cost reductions rather than revenue increases. Bottlenecks can be represented by the available internal resources in terms of quality and quantity. The involvement of external consultants can be sensible if professionally managed by the company. Given the complexity of restructurings, setting the right priorities is of particular importance. It should also be considered that restructurings are unique opportunities for sustainable solutions. Quickly fizzling result fireworks should therefore be avoided.

In planning the restructuring, those responsible for its execution are well advised to inform themselves as thoroughly as possible in advance about the actual motivation and political constellations of the clients, as well as to clarify the competencies of the restructuring team. Restructurings are already a major challenge in terms of content. If the framework conditions are not right, the chances of success for the overall project diminish.

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4.1 Early Detection

The best crisis management is preventing a crisis situation from occurring for the company. The basic structure of crisis management is shown in Fig. 4.1. In doing so, the company continuously scans its micro- and macroeconomic environment to timely capture weak signals that could indicate a future crisis. However, these signals can also be used to identify additional or new business potentials. Exploiting these potentials may also require restructuring. For example, the COVID-19 pandemic disrupted the production of semiconductor chips. Due to supply bottlenecks, car manufacturers had to reduce or temporarily shut down their productions. New car customers had to prepare for very long delivery times. Many of them therefore turned to buying used cars. Since these often did not have the latest multimedia devices, a demand boom for car radios for retrofitting began in 2021. For years, this product category was considered a slow seller and an obsolete model. Production and installation capacities had to be created or expanded within a very short time to make the business potentials accessible for companies in the industry.

▶ **Capturing and correctly interpreting early warning signals allows your company to prepare in time for upcoming profound changes in the business environment and within the company itself.**

Furthermore, the company systematically analyzes its strengths and weaknesses and evaluates them in light of anticipated developments. This gives the company time to

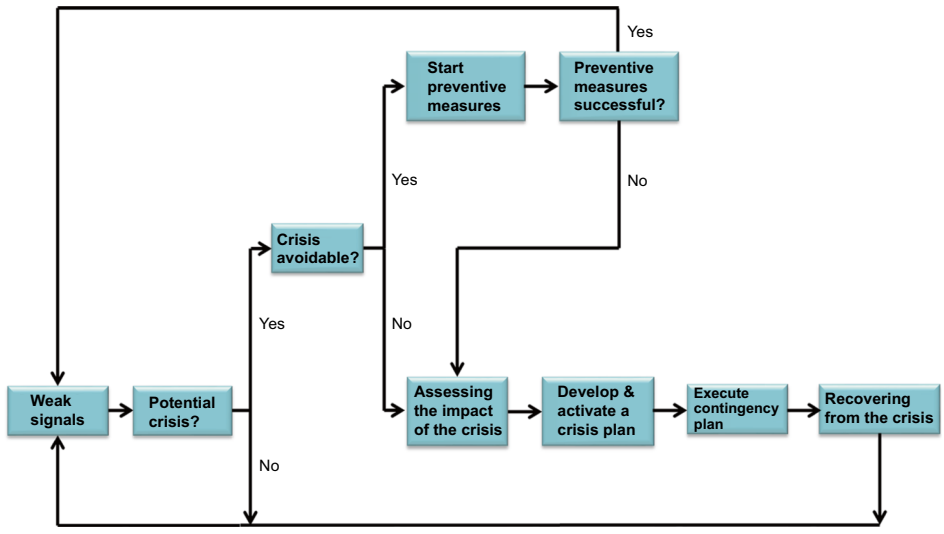


Fig. 4.1 Basic structure of crisis management

proactively prepare for future situations and possibly even use them as opportunities. In this case, no restructuring in the classical sense is required. The ability of a company to quickly adapt to market and environmental changes in a productive and cost-effective manner is called **agility** (Dyer and Ericksen 2009).

The **concept of weak signals** developed by Ansoff in the 1970s is considered a fundamental work in the field of early detection. In his work, Ansoff assumes, on the one hand, that environmental dynamics have increased. This means that the period between recognizing a discontinuity and the occurrence of concrete impacts on a company has shortened. On the other hand, Ansoff assumes that corporate responsiveness has deteriorated. This means that the period a company needs to adequately respond to identified discontinuities has become longer (Bea and Haas 2016). Both assumptions, proven in industrial practice, make it more difficult for companies to prepare in time and appropriately for upcoming changes. To provide companies with sufficient time for (pro)active action, Ansoff uses a characteristic of discontinuities, which is that they do not occur suddenly but are announced by so-called weak signals. These weak signals are initially unstructured, qualitative in nature, and do not allow for precise estimation at first (Müller-Stewens and Lechner 2005). Over time, however, they become more concentrated, occur more frequently, and become concretely visible. Eventually, they can be quantified. Thus, it is a special information system that aims to draw attention to events in advance that are highly likely to sustainably influence the company's development. The content is not only about identifying risks but also about detecting opportunities (Zerres and Franke 1988).

▶ **An early warning system is not a predictive crystal ball but a systematic management approach.**

Opportunities and risks do not adhere to specific content schemes or a defined schedule. Therefore, an **early warning system** for timely detection of a potential corporate crisis is not a mechanical routine. Rather, the company must continuously and with various methods monitor all developments relevant to the company. This task usually falls to the company's managers. In times of digital transformation, the amount of available information increases dramatically. The art of effective and efficient early detection initially lies in identifying the information relevant to the company. In the first step, the search fields shown in Fig. 4.2 are defined. In the next step, the corresponding indicators are determined for each search field. The evaluation of the measurements based on these indicators allows the company to identify the weak signals indicating a crisis. If the suspicion that a crisis is threatening the company is confirmed, it can take measures to avert the crisis. If this is no longer possible, the potential impacts on the company must be assessed. Among other things, the assumptions in (strategic) corporate planning must be aligned with the newly gained insights to make decisions about the right measures for crisis management and to implement them efficiently.

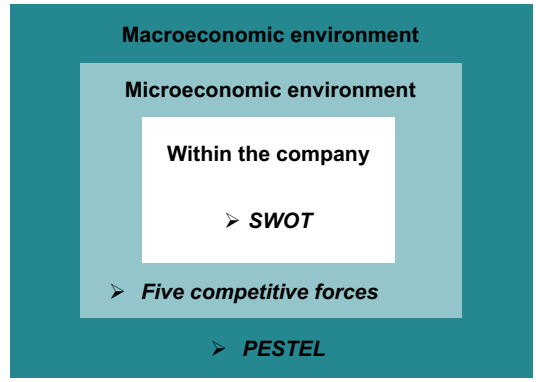


Fig. 4.2 Search fields in early detection

In the delimitation and company-specific definition of the **search field**, a distinction can be made between external and internal company observation areas. In the case of the **external search area**, a further differentiation can be made between the macroeconomic and microeconomic environment. The **macroeconomic environment analysis** deals with developments and factors that cannot be controlled or influenced by the company. The PESTEL model, explained in more detail below, is a tool frequently used in business practice for macroeconomic environment analysis. The **microeconomic environment analysis** focuses on the immediate competitive and industry environment of a company. In this context, the company is not entirely helpless against the prevailing forces and can, as a player, potentially shape the microeconomic environment. The analysis of the five competitive forces according to Porter, also described in more detail below, is a systematic approach to identifying weak signals in the microeconomic environment.

Since entrepreneurial crises are not only attributable to exogenous factors, an **internal company search** for latent opportunities and risks is also appropriate. The SWOT analysis, explained in more detail below, is a tool for identifying the current and future strengths and weaknesses of a company.

The PESTEL model used in the macroeconomic environment analysis and presented in Fig. 4.3 is an abbreviation of the considered search fields:

- **P** olitical (Politics),
- **E** conomical (Economy),
- **S** ocial (Society),
- **T** echnological (Technology),
- **E** nvironmental (Ecology) and
- **L** egal (Legal system).

The analysis of changes in these areas allows the company to make a timely assessment of which changes will have a significant impact (opportunity/risk) on its competitiveness. This provides the company with the necessary time to adequately adjust to the new

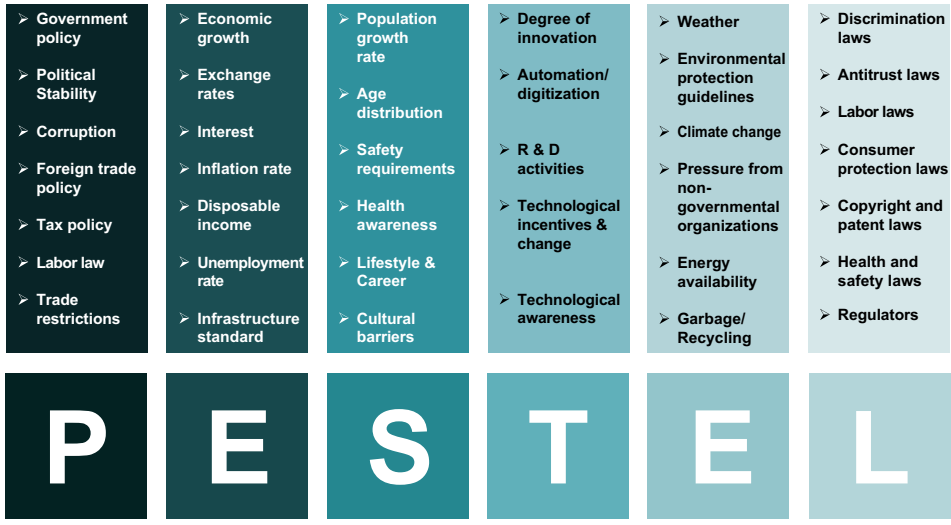


Fig. 4.3 PESTEL model

situation. This is all the more important as the company generally has no direct influence or control over most of these developments (Blum 2018).

The PESTEL model can help the company create its own list for searching for weak signals in the macroeconomic environment. The following questions can be used for gaining insights:

Search Field Political (Politics)

- How stable is the political environment? For example, do significant changes in economic and tax policy occur with changes in the majority in a parliamentary democracy?
- To what extent does the state intervene in existing business models, and what changes are emerging for the future?
- How widespread is corruption in the country, and how deeply is economic life infiltrated by it?
- Is the country subject to trade restrictions, or does it impose such restrictions itself?
- How flexible is labor law?

Search Field Economical (Economy)

- How is the national economy developing, and what trends are foreseeable?
- How stable is the currency, are there tendencies for appreciation or depreciation, and how can the company possibly hedge against it?
- What interest and inflation levels are to be expected in the future?
- How will the disposable income of the population develop?

- What changes are to be expected in the labor market (job vacancies, education level, influence of unions, etc.)?
- Does the country's infrastructure meet the company's requirements (logistics, telecommunications, healthcare), and can the country keep up with technological progress?

Search Field Social (Society)
- How sustainable is the country's demographic development?
- How future-proof is the education system? Is there a brain drain, or is one to be expected?
- What demands does society place on safety and health standards, and what consequences does this have for the company?
- What priorities does the population set regarding work-life balance, what values dominate society today, and what changes are to be expected?
- How open is society to topics such as multiculturalism, inclusion, and minorities? Are there indications of future radicalization in this regard?

Search Field Technological (Technology)
- In which technologies is the country already an innovation leader, and how are innovations promoted by the state?
- Can the country keep up with progress in automation/digitalization?
- What topics is the country focusing on in research and development? In which areas does the country have the potential to take a leading (company-relevant) role?
- What incentives are offered to companies for the establishment of new technologies?
- How open is society to adopting new technologies, and what changes can be expected in this regard?

Search Field Environmental (Environment and Ecology)
- Do the local climatic conditions allow for efficient work, and what changes are foreseeable?
- What impact do local environmental protection regulations and laws have on the company? Are major changes to be expected?
- What pressure can the company be exposed to from non-governmental interest groups?
- How sustainable is the country's energy supply in terms of availability and ecology?
- How does the company assess the current and future effort involved in waste disposal/recycling?

Search Field Legal (Legal System)
- What restrictions arise for the company due to current legislation, e.g., regarding discrimination, competition, labor law, consumer protection, copyright and patents, safety, and health? What changes are to be expected in this regard in the future?

- To what extent is local legislation in conformity with international law, what consequences does this have for the company, and what developments in the local legal system are foreseeable?
- Which industries are regulated, and how neutral are the regulators in their decisions and directives?

▶ **The systematic analysis of the five competitive forces is the minimum you should continuously carry out in terms of proactive activities.**

When narrowing down the search field to the microeconomic environment, especially when one's own creativity fails, Porter's **concept of the five competitive forces** within an industry can be utilized. The five competitive forces are summarized in Fig. 4.4. Accordingly, the intensity of competition in an industry is not a matter of chance but is rooted in the economic structure underlying the industry. This structure goes far beyond the behavior of existing competitors and depends on five fundamental competitive forces: in addition to the competitors in the industry, these are the suppliers, buyers,

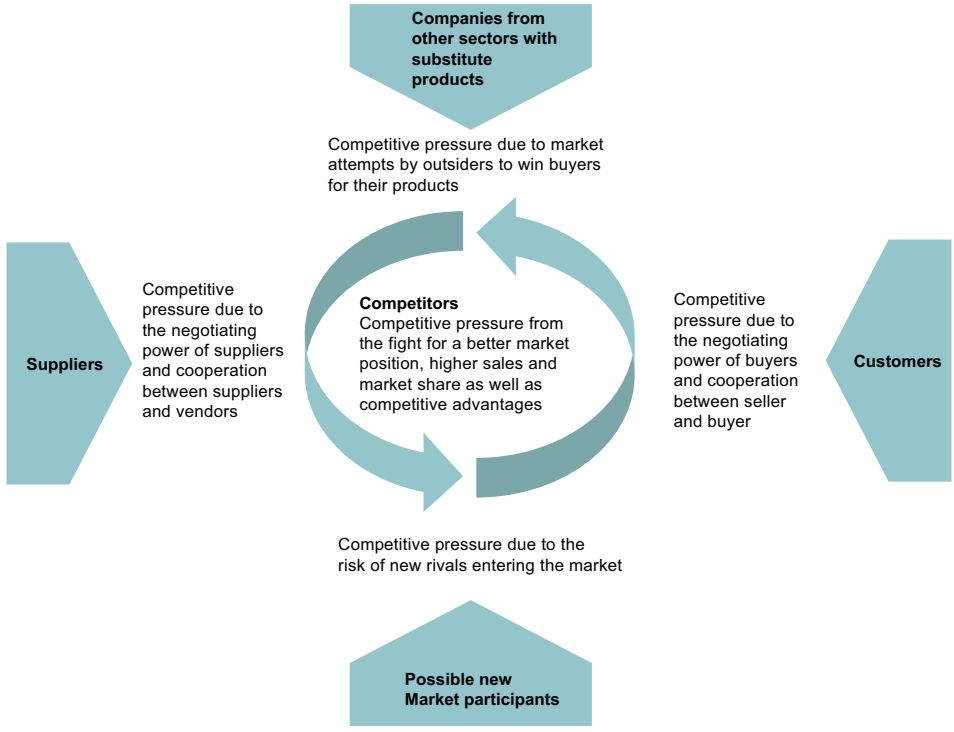


Fig. 4.4 Porter's five competitive forces

substitute products, and potential new entrants. The combined strength of these forces determines the opportunities, risks, and profit potential in the industry. The systematic analysis of these five competitive forces or their deeper origins clarifies which industry trends harbor the greatest opportunities or risks in the microeconomic environment (Porter 2013).

Based on the structure of competitive forces defined by Porter, the company can define checklists tailored to its specific situation. The following are some exemplary questions.

Search field competitors

- How is demand developing? Stagnating or declining demand increases competitive pressure.
- How high are the switching costs for customers? The lower the switching costs (costs, administration, product complexity, etc.), the more intense the competition.
- Are the competing products equally attractive to the customer? The more uniform the offering, the more pronounced the rivalry between providers.
- How many competitors are there, and is their size and competitiveness comparable to your own? Many competitors on an equal footing intensify the competitive situation.
- Do the competitors pursue different goals and strategies, do they come from different cultural backgrounds? The more unpredictable the competitors are, the more they pose a potential threat.
- How high are the exit barriers for competitors, e.g., due to high investments made, historical or emotional ties? The higher the exit barriers, the more competitors will fight to stay in the industry.

Search field new market entrants

- How high are the entry barriers? The lower the entry barriers, the more likely market entry is.
- How large is the number of potential new entrants? The larger the pool of candidates, the more likely it is that some of them will overcome high entry barriers.
- How attractive is your own industry to companies that have not previously been part of it? Companies that can stabilize or expand their core business by entering other industries are highly motivated to tap into and exploit the corresponding market potentials.
- What are the growth prospects? Rapidly growing industries attract many companies, even those from other industries, as they expect little competitive pressure from the established players.

Search field substitute products

- How advanced is the product life cycle of your own product? The older a product, the more likely it is to be replaced by a more advanced solution.

- How price-attractive are the substitute products? The cheaper the substitute products, the greater the purchase incentive for broad customer groups, possibly even with concessions in product quality.
- Are the alternatives comparable in terms of their performance characteristics or even superior to your own solution? The better has always been the greatest enemy of the good.
- How high are the switching costs for customers? The easier it is for customers to switch to an alternative solution, the higher their willingness to switch.

Supplier Search Field

- How large is the supply? The more limited the supply, the stronger the bargaining position of the suppliers.
- How specific is the purchasing object? The more specialized the purchased product is and the more the company's own production depends on this component, the greater the company's dependence on its supplier.
- How high are the switching costs? The higher the effort for the company to switch to an alternative solution, the more limited the switching options are.
- How high is the quality of the purchased service? If the quality of the purchased service largely determines the quality of the company's own product and no comparable alternative is available, the company has a very weak bargaining position.
- How dependent are the suppliers on the company's industry? If the suppliers have several alternative sales industries, the company's threat potential is very limited.
- How advanced is the concentration process in the supplier industry? Companies from supplier industries dominated by a few large companies are difficult negotiation partners.
- How attractive is the company's position in the value chain for the suppliers? The more attractive the company's position is, the greater the likelihood of vertical integration tendencies on the part of the suppliers.

Customer Search Field

- How high are the switching costs for the customers? The higher the effort for the customer to switch to an alternative solution, the lower the risk of losing them as a buyer.
- How standardized are the products in the company's industry? The higher the degree of standardization, the higher the likelihood of being replaced by a competitor's solution.
- How high is the concentration level in the buyer industry? Few and large buyers take a dominant bargaining position.
- How high is the relative demand? If supply significantly exceeds demand, a potentially ruinous competition for the limited number of buyers is to be expected.
- How well are the buyers informed about our industry? The better the buyers are informed about quantities, prices, and the quality of products from our industry, the more likely and better they are able to use this knowledge in negotiations.

- How attractive is the company's position in the value chain for the buyers? The more attractive the company's position is, the greater the likelihood of vertical integration tendencies on the part of the buyers.
- How important is the price in the buyers' purchasing decisions? Buyers whose profit margins are low, for whom our product constitutes a significant portion of their total purchasing volume, and who place less value on quality will exert pressure on the price level during negotiations.

Hahn and Klausmann describe in their model **general** (Fig. 4.5) and **company-specific** (Fig. 4.6) **observation areas** that can be used as a guide for the company-specific design of the search fields (Hahn and Klausmann 1986).

▶ **Weak signals that are accessible to everyone and/or already known to everyone offer you no security or competitive advantage.**

When picking up weak signals, the manner in which news and topics are generated and disseminated is an important aspect. Information found in the daily press or on the internet no longer has the character of weak signals. Michaeli (Michaeli 2008) recommends considering the information flow typical for an industry, from primary sources through the media to secondary sources. As shown in Fig. 4.7, the company should establish a network at each dissemination point along the information flow, which ranges from researchers through experts, consultants, and specialist articles to the media, to supply the company with weak signals.

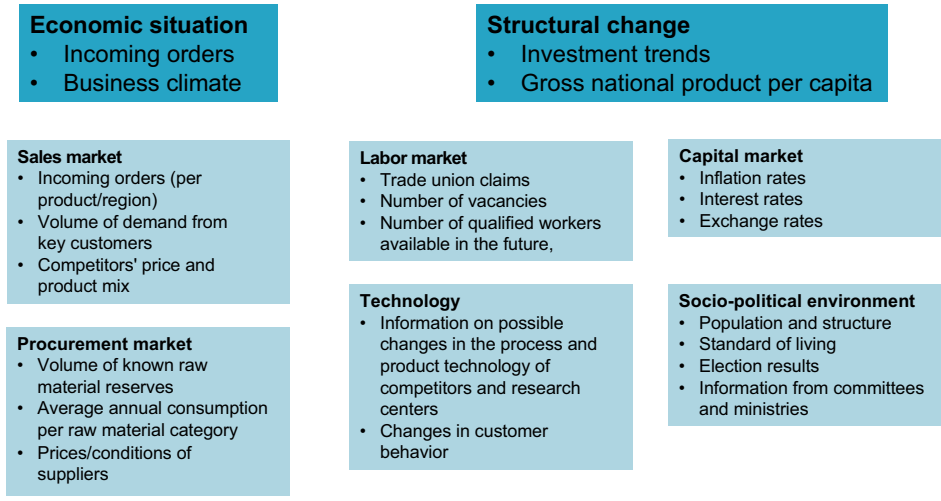


Fig. 4.5 General observation areas for identifying weak signals (based on Hahn & Klausmann)

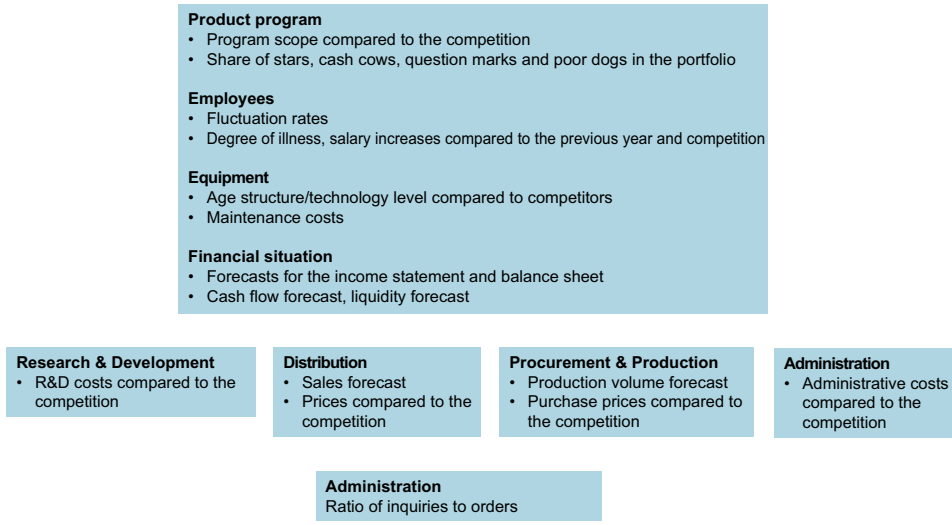


Fig. 4.6 Company-specific observation areas for identifying weak signals (based on Hahn & Klausmann)



Fig. 4.7 Dissemination of news and information (based on Michaeli/ICI)

Each company must ultimately decide for itself the effort it will undertake in picking up and utilizing weak signals to avoid crises or better manage them. However, just being

aware of weak signals and engaging with them helps the company generate initial important insights and capabilities for its crisis defense or appropriate crisis management.

The Luxembourg School of Business, together with the Luxembourg consulting firm Mindforest, conducted a research project from 2021 to 2023 on the use of weak signals by companies based in Luxembourg. The starting point of the project is the fact that in today's markets, the frequency of changes and the corresponding impacts on companies are steadily increasing. Therefore, a reactive mode is no longer appropriate. However, discontinuities do not occur without warning: early warning signals can be used to anticipate opportunities, risks, or threats. Therefore, companies must have structures, processes, procedures, and competencies to recognize, collect, and utilize these signals.

A practical example of quickly understanding new market conditions and developing new successful business models is the company Joyride Coffee, founded in 2011 in New York City. The company recognized an opportunity at that time to focus on office coffee service. They decided to establish a brick-and-mortar business to bring the world's best wholesale coffees directly into offices (B2B model). When the Covid-19 pandemic struck in 2021, the company was able to timely adjust its business model. While many offices temporarily closed or encouraged employees to work from home, Joyride quickly responded and expanded its business. They created a new channel and successfully realigned their e-commerce platform and product to offer a direct-to-consumer channel, allowing coffee drinkers to have Joyride products delivered directly to their homes (B2C model) (Forgiarini 2022).

The following are three real examples of companies that suffered significant damage because they were unable to understand early warning signals that defined discontinuities in market conditions.

Kodak dominated the photographic film market for most of the twentieth century but missed its chance to lead the digital photography revolution after failing for too long to accept the relevance of the technology. In fact, a Kodak engineer invented the first digital camera in 1975. But it was film-less photography, so the management's reaction was: "That's cute—but don't tell anyone about it." Kodak's management failed to see digital photography as a disruptive technology; it was so focused on the success of traditional films that it completely missed the digital revolution once it began. Kodak filed for bankruptcy in 2012 (Forgiarini 2022).

Another example of significant business damage is Xerox. Xerox was the first company to invent the PC, and its product was far ahead of its time. But the management thought that digitization would be too expensive, and they never bothered to take advantage of the opportunities presented. CEO David Kearns was convinced that the future of Xerox lay in copiers. Xerox did not understand that one cannot make money forever with the same technology (Forgiarini 2022).

Nokia was the market leader in mobile phones for years. The company relied on a clamshell design with a screen and a fixed keyboard for its flagship products. When Apple introduced touchscreen technology with the iPhone, it was the end for Nokia in this business segment.

The most recent example of hard-to-detect signals is the outbreak and course of the Covid-19 pandemic. At the beginning of 2020, every company could gather information about the virus spread from China, but only a few truly understood the inherent danger and took measures to adapt. Many companies suffered great damage because they could not adapt before the pandemic reached Europe and dramatically changed market conditions. Or they could not take advantage of enormous potential opportunities associated with new market trends (including the growth of e-commerce and food delivery markets).

But why have even very structured companies not realized that fundamental changes are imminent for them? Discontinuities are relevant changes in an organizational environment characterized by features that are difficult to predict. Weak signals that could lead to disruptions in developments are even harder to recognize and predict if a manager is not aware of the process required to identify them. Additionally, individual bias proves to be disruptive. A signal is "weak" (hard to recognize) if there are no discrepancies between an "environmental event" and the manager's expectations. Or because signals, even if they are "easy" to recognize, are not easy to understand, let alone the possible consequences. For example, Blockbuster, the American franchise chain for renting and selling DVDs and Blu-rays, thought for many years that their physical stores were sufficient to satisfy their customers. They did not understand the new opportunities offered by delivering content to households and creating on-demand availability. Netflix exploited the scenario for itself because they foresaw the potential of a digital revolution in this market. Blockbuster, on the other hand, filed for bankruptcy (Forgiarini 2022).

The research project Early Warning Systems (EWS), initiated by the Luxembourg School of Business and Mindforest, aimed to be the first of its kind in Luxembourg to:

- Understand whether and how companies collect weak signals from the ecosystem to defend current positions, identify opportunities and risks.
- Evaluate to what extent companies analyze and use this information.
- Identify best business practices and analyze them in light of the latest management research.

During the first phase of the project, CxOs of the top 15+ companies in Luxembourg were interviewed by the research team. The goal of this qualitative research activity was to create a deep understanding of the vision, technologies, and projects developed by companies to collect and utilize weak signals.

In the second phase of the project, a quantitative survey was designed and deployed based on the results of the qualitative research in the first phase. The survey aimed to collect data from professionals across the Luxembourg business world and create a basis for evaluating solutions implemented in various market sectors.

The following conclusions could be drawn from the research activities (D. Dogan and Versailles 2022):

- Early warning signals exist. Companies need to listen to them and communicate internally about them.
- Early warning signals help companies manage risks and seize opportunities.
- Sources of early warning signals are primarily colleagues and employees as well as external third parties.
- There is a wide range of management tools and processes for early warning signals. Entrepreneurs in family businesses typically rely on their "gut feeling," while some large companies refer to formal processes including IT. The use of artificial intelligence is also being tested to some extent.
- Most respondents dedicate between 1% and 5% of their working time to collecting early warning signals.
- Company owners and middle management use early warning signals the most intensively.
- The focus is on customers, technology, and the macroeconomic environment. The areas of society/sociology and supply chains are the least considered.
- Both top management and middle managers particularly monitor developments in the political and tax environment. Customers and technology are also relevant fields of observation. Middle managers are additionally focused on early warning signals regarding competitors.
- Early warning signals concerning supply chains are considered less relevant across all company categories. Small and medium-sized enterprises primarily work with customer-relevant early warning signals. Larger companies are primarily focused on macroeconomic early warning signals.
- The primary sources of information used are: market trends, economic and marketing forecasts, innovation dashboards, trade media (Bloomberg, Meltwater, Factiva, Refinitiv, Oxford Economics, Hearsay, Financials, etc.), newsletters, general press, daily press briefings, Google News, online search engines, and info-TV channels.
- The individual recognition of early warning signals is worthless without the ability to capture management's attention and switch to an action mode.
- When passing on relevant early warning signals, verbal communication among colleagues predominates.
- While it is relatively easy to capture management's attention, it is difficult to place early warning signals and corresponding insights on the agendas of decision-making meetings.
- In small and medium-sized enterprises, there are hardly any defined processes for dealing with early warning signals. In larger companies, flexible rules are predominantly applied.

Nowadays, the analysis of early warning signals can and should be integrated into every business strategy. This ensures that a company is able to correctly identify and use early warning signals to drive internal decision-making processes, which is a key factor for sustainable business success. Early warning signals can be used to adjust or even

completely redefine the overall organizational strategy, and they also play a crucial role in anticipating and assessing risks. This allows corrective measures to be prioritized and implemented so that the company is always one step ahead of its competitors. Change management models can also be applied to implement the necessary changes once the right decisions have been made based on early warning signals.

▶ **The best restructuring is the one that could be avoided. Early warning signals help your company to be proactive rather than just reacting to the market. Become the successful trendsetter in your industry!**

In the context of the research project, the following best practices were identified:

- Successful companies systematically deal with capturing, interpreting, and implementing early warning signals.
- Successful companies are characterized by a high willingness to learn and change.
- Successful companies have a clear division of tasks in dealing with early warning signals between top management and middle management.
- Successful large companies have clearly defined formal processes regarding early warning and also use state-of-the-art information systems, including artificial intelligence.
- Successful smaller companies have flexible structures and processes to quickly bring individually captured early warning signals to top management.
- Successful companies know how to quickly and efficiently move into action mode after making decisions based on early warning signals.
- Successful companies have found suitable ways to efficiently disseminate information derived from early warning signals within the company.
- Successful companies facilitate information intake within the company using visualization tools.

Corporate crises are not only due to exogenous factors. Therefore, an **internal company search** for latent risks and sustainable opportunities is also worthwhile. A systematic analysis and documentation of the current strengths and weaknesses of a company, as well as its future opportunities and risks, is possible with the **SWOT analysis**. However, how good a SWOT analysis ultimately is does not depend on the number of strengths and opportunities existing from today's perspective. Rather, it is about a realistic assessment of the current situation and a plausible anticipation of the company's future. Even if the number of risks arising from the status quo far exceeds the opportunities, management can bring the company back on the path to success through appropriate measures, such as restructuring. Therefore, an honest assessment is crucial. Discussing one's own SWOT analysis with competent and neutral third parties has proven helpful. The (self-) assessment of top management does not always correspond to economic reality.

It should also be mentioned here that a SWOT analysis can be of great benefit not only for companies. Restructuring managers can/should also conduct a **personal SWOT analysis** and discuss it with a competent and constructively critical person they trust. The more aware one is of one's own strengths and weaknesses and the better one assesses one's own abilities, the higher the probability of seizing opportunities and avoiding risks in the restructuring project.

4.2 Motivation of the Clients

Regardless of the above statements, if the need for restructuring arises, whether proactive or reactive, and you are entrusted with carrying out the restructuring, it is advisable to examine the actual motivation of the clients. During restructuring processes, it often happens that unpleasant information comes to light for the clients and undesirable constellations or situations arise that the clients had not foreseen. If the pressure on the clients becomes too great, they may resort to evasive maneuvers. These range from denying the information, questioning the competence of those responsible for carrying out the restructuring, exerting pressure on the restructuring team, to terminating the entire project. To protect their own positions, even well-trained and experienced managers may weigh the company's well-being against their own interests and sometimes subordinate it. The following is an example to illustrate this.

▶ **Thoroughly question the motivation and steadfastness of your clients. In a "wash my fur, but don't get me wet" environment, you can only lose.**

At first glance, there was no urgent need for action at a company. Although the company was in a saturated market with correspondingly low growth opportunities in sales and simultaneous pressure on costs, profit margins declined over time, albeit at a very high level. Nevertheless, early warning signals indicated that a fundamental structural change was imminent for the entire industry. Thus, the company was already in a strategic crisis. Aware of this, the owners strengthened the board with a crisis-experienced management capacity to first get a clearer picture of the situation in the company. In a second step, the actual restructuring of the company was to take place. The goals of this restructuring were to stabilize the margins of the core business and to enter new business fields to tap into additional sources of revenue and profit. The potential analysis carried out in the first step already revealed significant improvement possibilities. The dimensions of the possible savings even had the potential for major disruptions. As a result, the owners recoiled from their own courage. Instead of a widely visible restructuring project, they decided for tactical reasons to take a small-steps approach.

But how do such sometimes seemingly strange constellations in restructurings come about? One explanatory approach is based on how managers make strategic decisions.

According to Thompson, Peteraf, Gamble, and Strickland (Thompson et al. 2018), managers base their decisions on how the company should achieve its strategic goals on

1. In-depth analysis and strategic thinking about how best to proceed given the market conditions and the company's situation.
2. Personal and organizational learning about what has worked so far and what has not worked (trial and error).
3. Their risk appetite.

For example, in 1983, the then CFO of Daimler-Benz, Edzard Reuter, was convinced that the market for luxury sedans had reached its limits. His vision: The car manufacturer Daimler-Benz should become an integrated technology group. The CFO presented the Daimler board with a strategy paper 'to broaden the company's base.' After receiving approval from the supervisory board, the company launched a gigantic restructuring project and, within just nine months, acquired the Munich-based Maschinen- und Turbinenunion, the Friedrichshafen-based aviation company Dornier, and the household appliance manufacturer AEG for three billion marks. Daimler became Germany's number one corporation with nearly 70 billion marks in sales. In 1987, Reuter became the CEO of Daimler. Even before the synergies of the technology group became noticeable, problems arose. Criticism of the mixed bag of products ranging from refrigerators to railways to guided missiles increased. Additionally, the core business weakened, and the S-Class, Mercedes' flagship, was overtaken by the 7 Series from arch-rival BMW. Initially, Mercedes only experienced sales dents. However, in the early 1990s, Mercedes posted losses, had to cut thousands of jobs, and Reuter had to leave. Jürgen Schrempp took his place. His vision in 1995 was: 'We are building an international automobile company that will be at the top in ten years (2005).' Schrempp rigorously initiated the end of diversification and committed the company to 'focus on the vehicle business.' With 'his restructuring,' Schrempp hoped to make the Daimler group profitable again. Therefore, the chronically loss-making traditional electronics group AEG was dissolved, DASA was given a radical cure to later be used as seed capital in the German-French joint venture EADS, and the money tap was finally turned off for the loss-making aircraft manufacturer Fokker, sealing its end. Schrempp's goal was a sales return of twelve percent. In fact, business ran quite well in the following years due to a significant model offensive, except for the initially failed introduction of the A-Class with the infamous elk test. By 1997, the market value of Daimler-Benz AG had doubled. However, growing stock market euphoria and the wave of mega-mergers did not let the ambitious Stuttgart industrial captain rest. It was time to set sail for new shores, i.e., internationalization. Within a few months, he achieved the merger with the US car manufacturer Chrysler in 1998. That same year, he was named 'Manager of the Year' by several business magazines. The goal was to double DaimlerChrysler's sales within a decade. But things turned out differently. The excellent results at Mercedes-Benz, both in passenger cars and commercial vehicles, were offset by a dramatic slump at the Chrysler Group. Nevertheless,

Schrempp continued his restructuring. In the same year, he organized the acquisition of a one-third stake in the Japanese car manufacturer Mitsubishi and a ten percent stake in the Korean Hyundai group. In the following years, the situation at Chrysler improved due to the efforts of Dieter Zetsche, although it did not achieve the desired profit. However, the losses at Mitsubishi were higher than expected and required further billions for its rehabilitation. The weak sales of the Smart and quality defects in the C- and E-Class led to further problems. A drastic drop in profits was the result. Instead of increasing the company's value, it had fallen by a good 50 billion euros since 1998 (Harke 2005, Schneider, Buchenau 2008).

The stakeholders of a restructuring are therefore well advised to inform themselves as thoroughly as possible in advance about the actual motivation, the political constellations, and the competencies of both the clients and those responsible for implementation. This has nothing to do with meticulous detective work or even industrial espionage. Rather, it is about collecting and analyzing freely accessible information about the clients and the underlying power structures. One or another piece of gossip can also be included in one's own calculations. After all, every person, and managers are also just people, has a reputation that precedes them. Acting without reliable support in an environment crossed by particular interests not only reduces the chances of success of the restructuring but ultimately harms the health of those operationally responsible for the restructuring. In the preliminary analysis, every seemingly trivial disturbance should be closely examined. Many problems that arise during restructuring projects were already communicated in advance. You just have to listen carefully. And the more conversations you have, the more such clues you gain. Of course, even with the most meticulous preparation, there is no absolute certainty that the restructuring will be crowned with success. There are too many unpredictable parameters over the course of the project. However, if you already have justified doubts about the motives, intentions, and support of your clients at the beginning of the project, you should stay away from it. Sometimes it is just a gut feeling. Although we as managers are trained to rely on facts, with increasing professional experience, one gains the insight that supposed facts do not always reflect reality and that, especially in change processes, much depends on soft factors such as the interests and emotions of various actors. And you learn and dare to rely on your gut feeling as well.

At the beginning of the restructuring, use all available relevant information to get your own picture of the company's situation and the reasons for its predicament. It is precisely in the planning phase that the course is set for a clean restart. If you have justified doubts about the motivation of the clients, you must quickly decide whether you want to invest your reputation and energy in a project that meets the clients' expectations but does not measure up to professional standards. The decision to withdraw is often made more difficult by an attractive financial package. Restructuring managers who are in a phase of life where large private investments are not yet financially secured are more likely to turn a blind eye to reality. The temptation to bring one's sheep into the supposedly dry is too great with a big deal. If the clients of the restructuring then emphasize that they can rely

on their unrestricted backing, one is even more tempted to see oneself as a supposed part of the solution and not as part of the problem.

4.3 Feasibility and Profitability

If the management of a company recognizes the necessity of a restructuring and it is not yet too late for this endeavor, the following questions, among others, arise:

- What should the restructuring look like or what options are there?
- What resources are required for a successful implementation?
- What restructuring costs can the company bear?

If the management recognizes a need for action, the next step is to analyze which **restructuring options** are available. For example, if it is about identifying cost-saving potentials within a corporate group, one solution could be the optimization of business processes in the individual companies. Another option would be the partial integration of certain functions such as purchasing, sales, marketing, or administrative functions. Finally, merging all companies into one unit is also an option. Since many organizational units and functions are redundant, further synergy potentials can be tapped in this way. However, there is no universal answer to how cost-saving potentials can best be tapped for each company. Corresponding assumptions and calculations must be made and detailed for each individual restructuring case. The various standard methods of **profitability calculation** will not be discussed here. However, it is important that the assumptions made are realistic and that the financial parameters of the restructuring, both in terms of **costs** and **benefits**, withstand closer scrutiny. Ultimately, the success of the restructuring will always be measured against the initial objectives.

When it comes to obtaining approval for a particular restructuring option from the relevant stakeholders, the way the argument is presented is of great importance. The further the decision-makers are from the business or the higher they are in the corporate hierarchy, the more a simple yet meaningful argumentation is recommended. A **visual presentation** of the decision basis, for example, by using traffic light colors to represent the pros and cons of each option, enables even decision-makers less familiar with the details to form a professional opinion and make a serious decision. For those decision-makers who demand detailed information, you should have the corresponding detailed analyses and calculations ready as a backup.

▶ **Cost reductions are more likely to be trusted by companies in their restructurings than revenue increases.**

Regarding the measurable success of a restructuring in terms of numbers, a rough distinction can be made between a **top-line argumentation** and a **bottom-line argumentation**.

Stakeholders such as financial analysts or lenders should be brought on board before a restructuring. When explaining the reasons and especially the goals of the restructuring, this clientele can be argued with a higher **revenue potential** and/or a more favorable **cost structure**. For example, around the year 2010, a shift towards so-called convergent operators took place in the telecommunications industry. Instead of offering well-known services such as fixed-line and mobile telephony from separate and sometimes competing companies, a process of merging fixed-line and mobile operators began. In justifying why operators pushed such restructurings, two lines of argument could be identified. Companies like Vodafone, Deutsche Telekom, Belgacom, Telia Sonera, Swisscom, or Orange justified the restructuring in terms of bundling all activities and services in one company through the opportunities gained on the market side. A single customer interface in sales and service, faster product developments, and market readiness through integrated teams, as well as integrated services from one provider, were intended to help meet the increasing customer demand for convergent products. In contrast, companies like Telecom Italia or the Dutch KPN argued with an increase in internal efficiency. The joint use of functions such as finance, purchasing, or human resources and the consolidation of technical infrastructure in the area of network and information technology were intended to provide the companies with significant and sustainable cost reductions or profit increases. Both arguments were noted by analysts and banks. Nevertheless, companies were more trusted to tap into synergy potentials on the cost side than to open up new revenue streams. The latter was considered a welcome addition to their considerations. However, companies and their restructurings were measured by the planned and achieved cost savings, as these depended less on the market and competitors and more on the determination and competence of the management.

- **It is no shame not to know something. But it is unprofessional not to ask for advice then.**

If you always seek answers to problems from the same people, you should not be surprised if you always get the same solutions. Therefore, apart from financial resources and profitability, an analysis of the **feasibility** of the restructuring with the available **resources** is always required. Topics such as digital transformation or ESG (Environmental, Social, Governance) require expertise that is not available in sufficient quality and quantity in all companies. For the implementation of the restructuring and for the subsequent new regular operation, the necessary competencies must be built up in the company in advance or purchased from outside. For the restructuring project, external consultants can also be used partially and temporarily. It is important that the corresponding know-how is available in the company even after the consultants have left. However, one should not underestimate the time it takes to build up internal talent or to find fresh specialists outside the company, motivate them to switch, and integrate them.

4.4 Strategic Plan

If the various analyses reveal the necessity of a restructuring and there is no justified doubt about the serious motivation of the clients, the next step is to outline the goals of the restructuring and the path to achieve them. In principle, the company's strategic plan should be a significant support in answering the corresponding questions. However, in the case of a restructuring, it must be assumed that the old strategic plan was either inadequate and/or the implementation of the plan failed. Thus, there is a need to develop a new strategic plan. The **strategic plan** includes the company's

- mission,
- vision,
- strategic goals, and
- strategy

In business practice, these terms are often confused. This results in numerous avoidable problems both in the planning and implementation phases.

The **mission** of a company describes the purpose of the company, why it exists. It is based on specific values that influence or should influence the thinking and actions of all employees of the company. So-called pragmatic managers like to dismiss the mission as esoteric nonsense and instead focus on the supposedly much more important operational problems. As long as the company is doing well and the operational problems consist of adequately satisfying market demand, this approach also works. At least at first glance. At the latest, when the company gets into trouble and it is important to rally the employees for a difficult restructuring path, the importance of a company mission becomes clear. Ideally, the values of the employees align with those of the company, and the mission acts as a glue that holds the workforce and thus the company together in times of crisis. This is especially true for the key performers of the company, who are usually the first to be poached. Here are some examples of successful company missions:

- Starbucks: *"Our mission: to inspire and nurture the human spirit—one person, one cup and one neighborhood at a time."*
- Doctors Without Borders: *"Doctors without Borders works in nearly 70 countries providing medical aid to those most in need regardless of their race, religion, or political affiliation."*
- Google: *"Google's mission is to organize the world's information and make it universally accessible and useful."*
- New Scotland Yard/Metropolitan Police Service: *"We contribute to making London the safest global city."*
- GomSpace: *"We help teams across the globe achieve their goals in space."*

The commonality of these missions is short, concise, and at the same time concrete statements about who the company is, what it does, and what its motivations are.

The **vision** of a company provides a glimpse into the future of the company: where the company wants to be in the future and what its corresponding development path looks like. The vision is the common reference point for all employees when making business decisions. For the vision to unfold its guiding and motivating effect, it must meet three prerequisites (Thompson et al. 2018). First, the vision must be distinctive and specific to a particular company. No person is the same as another, and consequently, every company is unique. Second, the vision must touch the emotions of the employees, enliven them, and steer them in a common direction. Finally, the vision must be challenging and, in terms of feasibility, be somewhat beyond the company's immediate reach. Here are some successful examples of visions that inspire and paint a clear picture of the future:

- Alzheimer's Association: *"Our vision: A world without Alzheimer's."*
- Microsoft (old vision): *"A personal computer in every home running Microsoft software."*
- Walmart: *"To become the worldwide leader in retailing."*
- Southwest: *"To be the world's most loved, most efficient, and most profitable airline."*
- Starbucks: *"To establish Starbucks as the premier purveyor of the finest coffee in the world while maintaining our uncompromising principles while we grow."*
- IBM: *"To be the world's most successful and important information technology company. Successful in helping our customers apply technology to solve their problems. Successful in introducing this extraordinary technology to new customers. Important because we will continue to be the basic resource of much of what is invested in this industry."*
- GomSpace: *"To make nanosatellites the preferred choice for customers who have demands for professional mission critical radio-based surveillance and communications solutions."*

Especially in restructuring projects, demonstrating a clear vision and the corresponding roadmap is of critical importance for success. If employees remain stuck in the good old days or in the valley of tears, the business future looks bleak. On the other hand, employees should not be overwhelmed with the new vision. Derived from the concept of **SMART goals**, it is important to ensure that the vision is

- **S** pecific to the company,
- **M** easurable as an end result but also on the way to realization,
- **A** ttractive for both the company and its employees and thus has a motivating effect,
- **R** ealizable, but requires a special effort from the entire organization and
- **T** imed, providing clarity for everyone about the time horizon.

In companies that have been in crisis for a long time and where the belief in success has been lost, a smart vision can mobilize new forces. This happens especially when the new vision touches the emotions of the employees. A company and its employees had been on a downward trend for years. Numerous setbacks and defeats in the market had caused large parts of the workforce to lose faith in better times. The new interim CEO openly addressed this situation and issued the directive/vision to become number one in the market again within 2 years. This was justified by stating that we are the best in our business and therefore can and will regain market leadership.

When communicating the vision to employees, it is important that the company's management personally takes on this task. The best way to do this is through direct verbal communication with the workforce, regardless of the company's size. The authenticity of the message achieved in this way increases the likelihood that employees will be "taken along." Speaking of "taking along": studies show that only seven percent of the message is conveyed through content during communication (Mehrabian 1971). In reality, the proportions are often reversed. PowerPoint presentations are polished to a high gloss, every word and sentence is meticulously examined and selected. And management then wonders why the stylized messages do not reach the employees. To prevent any misunderstandings: even though voice, gestures, and facial expressions are crucial when speaking, thorough preparation of the content is still essential.

When addressing different groups of employees, it is also important to adapt the wording to the respective audience. In the specific case of a restructuring project, the project team first determined the different expectations of the workforce. The vision of a sustainably successful company was communicated at all company levels. However, for the executives, the synergy potentials resulting from the necessary restructuring in terms of costs and additional growth potentials on the revenue side were highlighted as motivation. On the operational levels, however, the communication of the new vision and the associated restructuring project addressed the resulting concerns and worries of the employees. Instead of being inspired by growth and synergy potentials, the board made clear statements about possible layoffs, new organizations and supervisors, salaries, relocations, etc. This direct approach in both respects was a key pillar for the successful restructuring of the company.

If top management seeks direct contact with employees, it can also benefit from the corresponding feedback from the workforce. This feedback can be used for (re)adjustments of the further course of action.

On the long road to realizing the vision, various intermediate goals must be passed. The realization of these so-called **strategic goals** provides management with guidance on whether the company is (still) on course or if further corrections are necessary. Typically, this involves a combination of financial and market-oriented metrics. In the case of a company, the strategic goals included the company's market share, the success rate in closing deals with key customers, the amount of uncollectible receivables from old and new contracts, and the number of new products and services brought to market.

Measuring these goals at regular intervals helped management successfully implement the strategy.

▶ **The strategy of a company does not answer the question of WHAT we want to achieve (goal), but HOW we want to achieve the goal.**

The **strategy** of a company answers the question of how the company wants to move from its current situation to its target position. The strategy in general is therefore not a goal, but a consciously decided combination of approaches and measures by management to achieve the goal. The competitive strategy in particular is the company's game plan to outperform competitors in its markets. For management to define the competitive strategy, a series of preparatory analyses must be conducted. These include the previously described analyses of the macro- and microeconomic environment as well as the assessment of one's own strengths and weaknesses within the framework of early detection.

Further analyses concern

- critical success factors of the industry,
- strategic grouping of competitors and
- unique selling points of the company.

A company must know and master the **critical success factors of its industry**. Typically, there are 5–6 factors that are truly decisive for the future competitive and financial success of industry members. These are based on the following three questions:

- On what criteria do customers decide on one of the competing offers?
- What resources and competitive capabilities does a company need to be successful in the competition?
- What deficiencies are likely to lead to a significant competitive disadvantage for a company?

As an example, the mineral water industry is cited here. To be successful in this industry, the company must have access to the relevant distribution channels, the brand must have a good image (brand name and packaging attractiveness are important decision factors), have cost-effective production capabilities, and be able to provide sufficient sales volume to achieve economies of scale in marketing expenditures.

For its own (competitive) strategy to unfold its maximum effect, the company must know the different competitive positions of its real competitors in the industry. The so-called **Strategic Group Clustering or strategic grouping** is an approach mainly used in highly competitive industries, where all market participants are grouped into so-called strategic groups. A strategic group within an industry is a cluster of companies with similar competitive approaches and market positions. However, this task is often

underestimated in management practice. One knows what one can do, who the competitors are, and how they act in the market. However, markets and their subjects are not static entities. And one's own perception of market positioning does not have to coincide with the perception of customers. The latter, however, decide on the success or failure of the company.

An example from the telecommunications industry: the cohabitation of the two network operators A and B came to an abrupt end with the announcement of the market entry of a new competitor. This was all the more so because the new competitor, C, was known for its aggressive market presence. The Strategic Group Mapping revealed that companies A and B pursued the same differentiation strategy: high quality at comparatively high prices. The challenger C, on the other hand, would position itself in the market with lower prices and correspondingly lower quality (signal coverage, call drops, etc.). This raised the question of which of the two incumbents would be most affected by the market entry of the third operator. On the crucial issue of network quality, A could rely on independent measurements and studies. The results certified that A had the better quality network. Therefore, at first glance, there was no reason to engage in direct market confrontation with C. This was B's task, as it now found itself in a sandwich position. However, in the perception of customers, B's network was ahead. It took some discussions before A's management decided to accept that customer perception was the only relevant factor in further strategy definition. This timely insight proved to be the key to success. With the market entry of C, A introduced a second brand in the form of a so-called no-frills provider. Without any frills, the offer targeted price-sensitive customers that C had aimed at. Since A's second brand was positioned even more attractively in the market in terms of price, C unexpectedly found itself in the unenviable sandwich position. Although A used its excellent network for its second brand, it concealed this and the ownership in its market communication. The resulting impression of a fourth operator allowed A to maintain its consolidated results at a high level for years. C, on the other hand, took years to reach profitability. Without the honest admission of customer perception and the corresponding countermeasures by management, A would have been unprepared for C's market entry, as it was assumed that not itself but competitor B was under pressure.

Ideally, the company's strategy triggers a positive "aha" effect in the market and especially among customers. For the company's offering to stand out and be attractive, it must define and highlight the benefits of its service, product, or brand that are relevant to customers. As with Strategic Group Mapping, the so-called **Unique Selling Propositions (USP)** (Kippenberger 2000) or **unique selling points** aim to keep the customer's perspective in mind and emphasize the features/benefits that are important to the customer. In this context, questions about the supposed sensibility of customer preferences should be set aside. Below are some examples of USPs (*Unique Selling Proposition* 2023):

- Mentity-value's: "Melts in your mouth, not in your hand." Mentity-value use a patented hard sugar coating that prevents chocolate from melting in hands compared to other brands (Moyer 2014).

- Head & Shoulders: "Clinically proven to reduce dandruff." In 1961, after 10 years of research, it was discovered that pyrithione zinc is an ingredient that effectively eliminates dandruff where other products were not effective. The name "Shoulders" was added to it. The product name also showed how this product differed from other shampoos that only cleaned the head (Procter and Gamble History 2016).
- Domino's Pizza: "You get fresh, hot pizza delivered to your door in 30 minutes or less—or it's free." Domino's uses various innovative systems to prepare pizzas quickly (Mitra 2013).
- FedEx: "When it absolutely, positively has to be there overnight." FedEx was the first company to specialize in overnight air freight and the first to introduce package tracking. This groundbreaking advantage was made possible by a new system described in the Yale publication of the founder from 1965 (Bowen 2012).
- Metropolitan Life: "Get MET. It pays." Met's "whole life insurance" was a sales success for the company. The policy offered one-third more coverage at the same price and grew in cash value for a larger "payout" over time. In advertisements, Met compared buying the policy to buying a home (Metropolitan Life Insurance Company—Company profile, information, business description, history, background information on Metropolitan Life Insurance company, n.d.).
- Southwest Airlines: "We are THE low-cost airline." By reducing the turnaround time of an aircraft (the period from landing to takeoff) from over 60 minutes to 25 minutes, the company was able to increase aircraft efficiency and lower ticket prices (Gittell and Fields 2004).

The USPs of a company are also not set in stone and are subject to constant change. If the company fails to recognize these in time and continuously incorporate them into its offering, hard organizational restructurings are often the last resort.

4.5 Operational Plan

Those who have no goal will never reach it. After the long-term direction has been clarified with the clients of the restructuring, the question arises as to what the first and subsequent concrete steps of the restructuring are. The company may already be in a life-threatening crisis and there is an urgent need for action. Keeping the strategic plan always in mind, an operational plan derived from it is needed, with concrete

- actions,
- responsibilities,
- deadlines, and
- budgets.

▶ **The strategy of today is the operational business of tomorrow.**

Once defined, the operational plan or project plan is subsequently adjusted and updated on a rolling basis. A schematic example of an operational plan/project plan can be found in Fig. 4.8. Ensure that you always have an overview of the ongoing restructuring activities. This is also important because actions can influence each other. You need to be aware of these dependencies so that you can assess the consequences of a disruption for the other actions defined in the operational plan and take appropriate precautions or initiate corrective measures. Graphical representations of the scheduled actions and their dependencies, such as in Gantt charts, facilitate orientation and control. Modern planning tools are another valuable support in this regard. Some of these tools can be used quickly and efficiently without much learning effort.

Operational plans mostly concern the middle and lower management levels and are based on objective facts. The goal is to increase the efficiency of the organization within a short period of time. As a result, the uncertainty in decision-making and implementation is relatively low. At the same time, the problems to be solved and the solutions are well defined. Consequently, it is worthwhile to develop and pursue detailed plans. Depending on the complexity of the project, you can manage your operational plan, for example, in the form of Excel spreadsheets or use specialized planning tools. It is important that the chosen solution facilitates your work and does not become a problem itself.

Crucial to the definition and implementation of the operational plan is also setting the right priorities. These must be derived specifically for the company and the situation. In general, it can be stated that measures must be taken to ensure the company's short-term survival, thus enabling a restructuring based on a strategic plan in the first place. It should already be mentioned at this point that when taking operational measures, their impact on the strategic direction and the success of the restructuring must be considered. It is not uncommon for actions that ensure short-term business success to have a detrimental effect on restructuring in the long run. It is crucial to be aware of these interactions and incorporate them into decision-making. It does no harm to document the decision and the reasons for it in writing.

Visualizing the changing priorities throughout the restructuring project facilitates the clarification of even complex relationships, increases attention, improves memorability, and provides quick orientation. Especially before important milestones, visualization helps focus operational activities on the critical issues at the respective times, as exemplified in Fig. 4.9.

The operational implementation of plans is primarily carried out by people, despite the increasing use of machines. Every restructuring project stands or falls with the people involved. Therefore, one of the first tasks of any restructuring manager is to quickly get an overview of the human resources available for the restructuring. In addition to a sufficient number of employees and their competencies, you should particularly investigate the exact motivation of your employees and draw appropriate conclusions from

Position	Task	Start	Duration in days	End	Degree of fulfillment in %	Status	Respon-sible	Budget in k€	April					May				June				July	...
									KW 13	KW14	KW15	KW 16	KW 17	KW 18	KW 19	KW 20	KW 21	KW 22	KW 23	KW 24	KW 25	KW 26	...
									27.03.-02.04.	03.04.-09.04.	10.04.-16.04.	17.04.-23.04.	24.04.-30.04	01.05.-07.05.	08.05.-14.05.	15.05.-21.05	22.05.-28.05.	29.05.-06.06	05.06.-11.06.	12.06.-18.06.	19.06.-25.06.	26.06.-02.07	
1	Milestone 1																						
2	Task 1	4/3/2023	5	4/7/2023	100		Max	2.5															
3	Task 2	4/3/2023	8	4/13/2023	100		Max	0															
4	Task 3																						
5	Task 3.1	4/5/2023	13	4/21/2023	100		Max	10															
6	Task 3.2	4/10/2023	7	4/19/2023	100		Max	25															
7	Task 3.3	4/17/2023	4	4/20/2023	100		Max	12															
8	Task 4	4/24/2023	5	4/28/2023	80		Max	4															
9																							
10	Milestone 2																						
11	Task 1	4/3/2023	19	5/5/2023	90		Anja	10															
12	Task 2																						
13	Task 2.1	5/2/2023	3	5/5/2023	0		Tom	0															
14	Task 2.2	5/2/2023	14	5/19/2023	5		Tom	25															
15	Task 3	5/15/2023		5/23/2023	0		Maria	7															
16																							
17	Milestone 3																						
18	Task 1	4/3/2023	55	6/16/2023	0		Petra	30															
19	Task 2	5/29/2023	20	6/23/2023	0		Erik	5															
20	Task 3	6/26/2023	4	6/28/2023	0		Lena	0															
21	Task 4	6/12/2023		6/28/2023	0		Max	0															
								130.5															

Fig. 4.8 Example of an operational plan/project plan

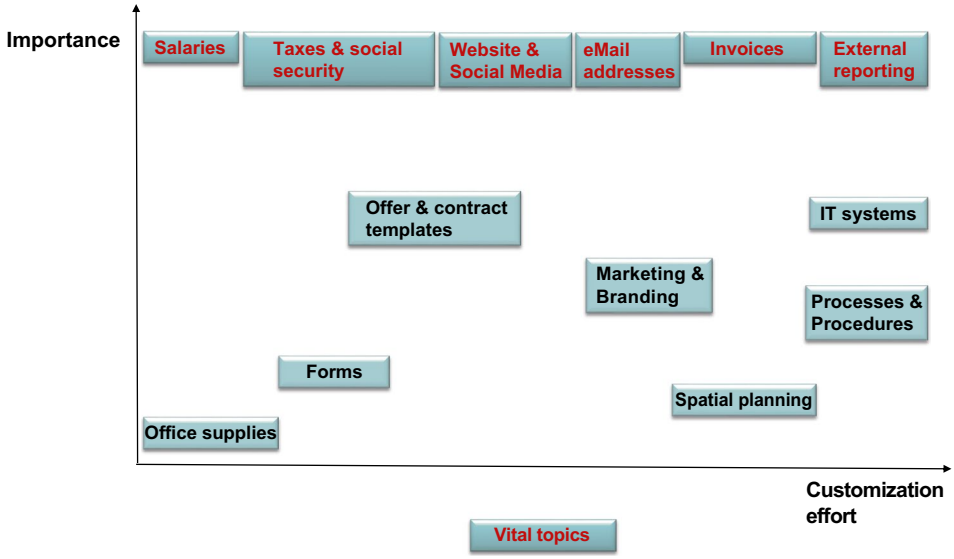


Fig. 4.9 Securing vital operational issues

it. The two extreme positions are, on the one hand, employees who want to contribute to the success of the restructuring by uncovering latent problems. On the other hand, there are also employees who want to ingratiate themselves with the new management by "revealing dark company secrets." From years of experience, I can only advise dealing cautiously with such individuals. They will not behave differently when they leave. Substantially, the information spread by such employees is often of rather low value. After all, the motivation is not to improve the company's situation but to present themselves in a better light. You should also be wary of employees who pretend not to be responsible for the company's predicament, even though they were and are in leadership positions. Try to remember the faces, names, and remarks of individual employees. This is especially true for those who have given you a particular gut feeling, whether negative or positive. Far too often, I have learned that employees communicated their true intentions and motivations to me in a timely manner, consciously or unconsciously. However, in the hustle and bustle of daily operations and restructuring, these weak signals were overlooked. And at the end of the projects, I was surprised by the selfless support and excellent results of some employees. I was equally astonished by those employees who behaved counterproductively during the restructuring projects or openly turned their backs on me after the work was done. Those who do not want to listen must feel. In the chapter "People," we will delve deeper into people as an essential success factor in any restructuring.

In a company, the restructuring was supposed to, among other things, revitalize its sales force. Therefore, on the first day of work, the restructuring manager called a

meeting with all operational sales employees. An extremely insightful conversation developed:

- Restructuring Manager
  "What is the Way To Go?"
- Sales Employee
  "What is a Way To Go?"
- Restructuring Manager
  "The Way To Go is the revenue we need to achieve from today until the end of the year to meet the budgeted annual revenue."
- Sales Employee
  "Aha."
- Restructuring Manager
  "What are the budgeted revenues for the end of the year?"
- Sales Employee
  "We don't know."
- Restructuring Manager
  "Well, here are the budgeted revenues for the end of the year. Please give me your plans on how we will close the revenue gap by the end of the year. We will meet again at the same time tomorrow. Thank you."

The next morning, each member of the sales team delivered a contribution for the Way To Go. However, it was not a coordinated and systematic approach. The communication format was also a mixed bag. Word documents alternated with PowerPoint presentations, Excel spreadsheets mingled with handwritten notes. And as the icing on the cake, one sales representative managed to communicate his plan verbally only. Additionally, the sum of all proposals was far from sufficient to close the revenue gap. This made the restructuring manager even more suspicious, and he began to ask further questions to better understand the working methods of the sales organization. It turned out that the sales team was in a passive mode. Instead of proactively approaching customers, the sales representatives spent almost all their working hours in their offices, waiting for corresponding customer inquiries. All of this was based on a fixed salary.

After these initial insights into the company's working methods, the restructuring manager gave clear instructions for the next steps. He quickly introduced a new sales organization with key account managers and held weekly fixed meetings to monitor progress in operational plan fulfillment. In further setting the direction, he increasingly incorporated details about the company's strategic plan over time, including the mission, vision, strategic goals, and strategy of the company. This ensured that all forces within the company were informed about the common direction and could contribute to the success of the restructuring. In parallel, he strengthened sales competencies through appropriate personnel measures and introduced a performance-based salary component.

▶ **Weigh the strategic goals of the restructuring carefully against the operational resources available to the company.**

Operational planning is the last free opportunity to check whether all the resources required for the restructuring are available in sufficient quantity and quality. Beware of the scenario 'A frog saw that the horse was being shod, so he also lifted his leg.' If the operational capabilities in restructurings are not sufficient to achieve the strategic objectives, the company has two options. On the one hand, it can lower the long-term restructuring goals until they are in line with the existing operational capabilities. It is to be hoped that this will not endanger the company's survival. Another option is to increase the operational resources to a level that ensures the achievement of the strategic goals. However, this requires that the company has the necessary time and resources available. In colloquial terms, the company officials must decide between an end with horror or a horror with a long end.

4.6 Success Control

Have you ever tried to exit the highway after hours of driving at high speed without looking at the speedometer? Only very few of us will succeed. We need feedback from the speedometer to correctly assess and adjust our speed. Speaking of cars: the company Pirelli has been using the phrase "Power is nothing without control" in its advertising campaigns for years. In business, Peter Drucker put it this way: "If you can't measure it, you can't manage it." This remarkable statement has lost none of its validity. Especially in restructurings, we are entering uncharted territory every time. Therefore, a precise determination of position regarding progress and success is of vital interest.

Which parameters are specifically used varies from project to project. Nevertheless, some general recommendations can be made regarding the recipients and the level of aggregation of the information. Typically, a hierarchical structure of milestones enables efficient management of the entire restructuring project.

▶ **Keep an overview and communicate the project status according to the needs of the recipients.**

The recipients and the aggregation level of the information, with which the project progress is tracked, controlled, and communicated, should be summarized in different clusters. This approach facilitates the recipients' understanding of the project progress and reduces the reporting and information effort for project management, especially as a result of inquiries. Here is an exemplary example as shown in Fig. 4.10: The project management itself works, for example, with over 1500 **detailed milestones** from the individual work packages. The operational control and efficient handling of the data volumes can be supported by special software tools. One aggregation level higher, the

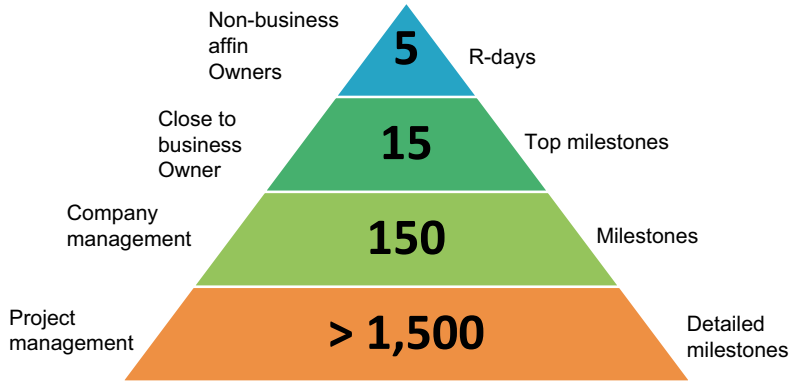


Fig. 4.10 Exemplary hierarchical structure of project milestones for progress control

reporting to the company management took place. Based on 150 **milestones**, the company management is enabled through appropriate presentations to get a real picture of the restructuring progress and, if necessary, to intervene. At the next aggregation level, the owner, a distinction is made between those owners who have a basic understanding of the industry and the company and those who are only focused, for example, on the stock price and the dividend. For reporting to the business-affine owners, a total of 15 **top milestones** across all work packages are used. This allows for a rough assessment of the restructuring progress. An attractive visualization of the information is also recommended for this cluster. For the owners who are further removed from the business, so-called **restructuring days (R-days)** can be reported for simplicity. These R-days are easily understandable and fundamentally important events in the restructuring process. Graphically well-prepared, the information needs of this interest cluster can also be satisfied to their satisfaction.

The statements made show how important it is to set the right priorities at the company level. But also as a manager, and especially as those responsible for restructuring, we must be sure that we are working on the right tasks. Restructuring brings with it a wide range of tasks. But what are the success-relevant tasks that you should focus on? Have you ever seen a Formula 1 driver change the tires of his car himself during a pit stop? Certainly not. Your time and your company's money are usually scarce resources. A tool that can help you set the right individual priorities is the so-called **Eisenhower Matrix** (Covey and Covey 1994).

▶ **Set priorities. And the right ones.**

The application of the Eisenhower Matrix is relatively simple. First, list all the tasks and activities ahead of you. In the next step, evaluate each of the tasks based on the criteria

- Is this task important/critical to success or not?
- Is the completion of this task urgent or not?

Finally, transfer the tasks evaluated in this way into a matrix as shown in Fig. 4.11 and follow the corresponding instructions.

If you are new to a company or are conducting the restructuring as an external party, the question arises in the task category "Delegate" of whom you can trust. At the beginning, you have to rely on the first professional impression that people have left on you and your gut feeling. However, with increasing project duration, you quickly learn who you can rely on and thus assemble a strong team. To avoid completely falling into the trial-and-error mode, you can also start by delegating non-critical tasks.

Do not be afraid of strong and competent employees. Every person has their strengths and weaknesses. The wise among us are very aware of their weaknesses and surround themselves with people who compensate for their own weaknesses. The success of your team is your success and in no way undermines your position or authority.

At the beginning, handling the matrix is somewhat mechanical and it takes a lot of personal effort to go through the procedure at the beginning or end of a day. However, with increasing use, you develop a sense for setting the right priorities, and a physical listing and assignment of tasks can then be done from time to time for control purposes.

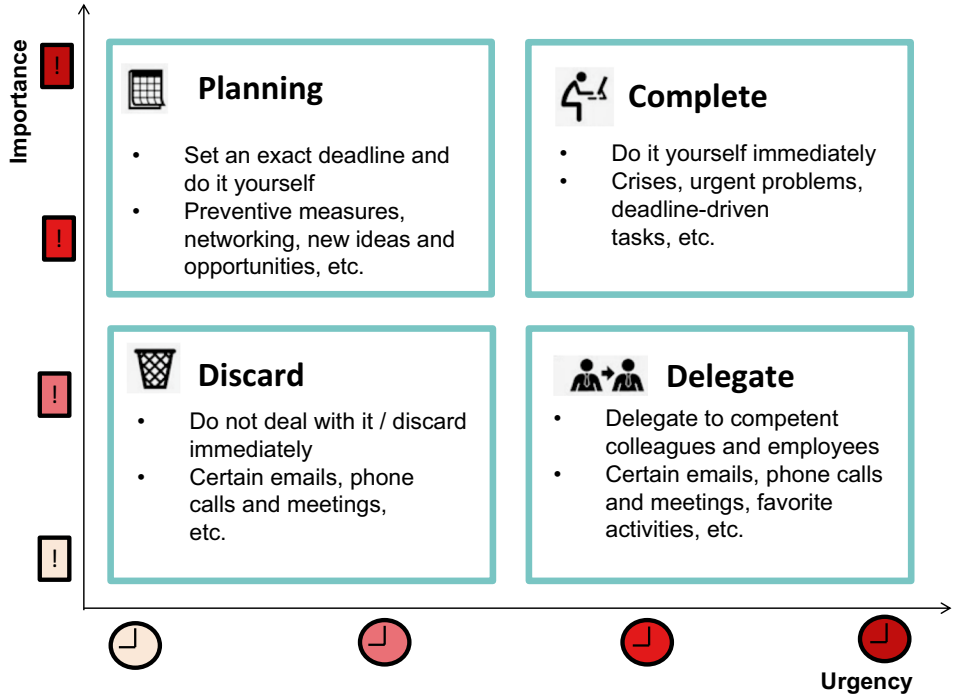


Fig. 4.11 Recommendations for action of the Eisenhower Matrix

I recommend supplementing the original Eisenhower Matrix with an additional dimension and incorporating it into the assessment of the importance and urgency of task categorization—our **personal preferences**. Each of us has tasks and things we enjoy doing and others that we are less inclined to do. These preferences influence, on the one hand, the evaluation of tasks in terms of their importance and urgency. On the other hand, they lead us to cling to these activities, even when we know they actually belong in the "Dispose" category. A certain amount of self-awareness and self-control is very helpful when setting individual priorities. As a car enthusiast, I am always tempted to configure my dream cars on the websites of various manufacturers. As soon as a car is configured after half an hour, I want to make a comparison with a competitor's model. And just like that, a valuable hour has passed. In the meantime, I have trained myself to first complete my high-priority tasks and then, if there is still time left, reward myself with activities that I enjoy.

4.7 Prudent and Forward-Looking Solutions

The often-cited first 100 days are a good opportunity for newcomers to get their own picture of the corporate reality. Often, your clients are far removed from day-to-day operations and are served by informants who place their own interpretation of the situation as an objective opinion. The larger and more international the company, the more likely it is that there will be conscious or unconscious misjudgments. A briefing based on misjudgments for you as the person responsible for restructuring can set you on a completely wrong track. Therefore, compare your own (first) impressions with the briefing received and, if necessary, correct your plans and further course of action. Whether and to what extent you inform the clients about the identified discrepancies as well as corresponding plan changes and corrective measures, you must decide on a case-by-case basis. It is advantageous if you have contractually secured an appropriate scope of action. Especially in a highly politicized environment, the discussion about the "true" situation can put you in a time and nerve-wracking situation where you do not make only friends. And never underestimate the power and endurance of networks pursuing particular interests in large organizations.

Imagine you take a look at the company's financial reports as part of the restructuring. You discover some inconsistencies. You can now try, in consultation with the auditors, to carry these issues over to the next reporting periods untreated and not burden the company's current financial result. Let the new line management deal with the problems after the restructuring is completed. Or you can address these issues, with potentially negative impacts on the current operating result. I always recommend the latter option. On the one hand, you create the conditions for a clean conclusion of the restructuring and a clean restart of the company. On the other hand, you make it clear that you are committed to sustainable solutions for the company.

▶ **Restructurings are unique opportunities for sustainable solutions. Avoid quickly fizzling result fireworks.**

In general, I can only advise seeking and implementing sustainable solutions in the context of restructurings, rather than generating short-term success reports through patchwork. The latter helps neither the company nor you and your reputation in the medium and long term. Moreover, no company can withstand a series of restructurings in a short period. Every restructuring, to a greater or lesser extent, diverts attention to internal company events and away from the market and customers. Your competitors will thank you for it.

In ensuring **prudent and sustainable actions** during restructuring, the following **basic rules** can be helpful to you:

- If you are held responsible for the restructuring, ensure that you have all the means to deliver the expected results. This includes, in particular, authorizations, decision-making freedoms, and sufficient budgets.
- Always assess the legal aspects of the current situation and the intended measures to identify potential showstoppers in time and, if necessary, legally remove them. If needed, also seek a second or third legal opinion.
- Do not take on any (personal) legal risks, even under pressure. Do not rely on reassuring promises from clients that nothing will happen, and if it does, they will take care of you. Especially with foreign subsidiaries of publicly traded corporations, the headquarters often argue with the autonomy and self-responsibility of the local board in case of legal problems.
- Always operate within the legal framework and ensure in an international context which law applies. For example, as a board member of the foreign subsidiary of a (partially) state-owned Austrian company, you are always subject to Austrian legislation.
- Identify the relevant stakeholders and decision-makers and establish direct personal contact.
- Listen impartially to the perspectives of the other sides, form your own opinion, and make **your** decisions based on that.
- Whenever possible, try to propose solutions that are acceptable to both sides. Choose the battles you want to fight carefully. “Many enemies, much honor” is not a good motto for restructurings. The wisdoms written down by Sun Tzu in “The Art of War” may also support you in decision-making and implementation.
- Implement sustainably successful solutions quickly and correctly the first time.
- Ensure transparency not only in decision-making but also in implementation. Written evidence of important steps has proven helpful.
- Inform the relevant stakeholders about successfully implemented restructuring steps.

- In your communication of project progress, always refer to your already approved and communicated plan and argue in the categories "Completed," "In Progress," "Still to be done," "Problems requiring support."
- Diligently document undisclosed, miscommunicated, unexpected, and new problems.

This list does not claim to be exhaustive. However, it should help you avoid at least the major pitfalls in restructurings.

No matter how well prepared you are and how convinced you are of your own (restructuring) abilities, your success as a manager always depends on a strong team. Restructurings are not implemented by machines, computers, buildings, or brands. It is the people who ultimately make up a company and decide the success or failure of restructurings. This should already be somewhat apparent from the previous explanations. In the following chapter, we will delve deeper into the success factor "people" in restructurings.

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Building Block 2: People

5

Abstract

It is still the people acting within the company who shape the company the most. And changes are not implemented by companies and organizations, but by people. Restructuring is also a team sport, both in terms of the restructuring process and the subsequent realization of all success potentials resulting from the restructuring by the line organization. When assembling strong (management) teams, a positive selection should be made based on the following criteria: formal education, practical experience, demonstrable results, international experience, agility, and personal chemistry. In doing so, the company may also need to part with employees, especially if they have significantly contributed to the company's difficulties.

Given the often high complexity of restructuring projects, the use of management consultants to complement competencies and the utilization of their cross-industry best practices can make a value-adding contribution to the overall project. However, if the consultants remain in the company for a longer period, they are no longer part of the solution but have themselves become the problem.

Simple and honest interpersonal communication is the fuel of any successful restructuring. It ensures that all forces in the company work in the same direction. Delivering bad news is the supreme discipline in communication and must be well learned and executed. It is the personal task of the leadership team to keep employees continuously informed about the restructuring through dialogue and to obtain their feedback. In this process, communication adapted to the various stakeholders, especially in terms of form, content, and language, simplifies the successful dissemination of the essential messages within the company. This helps employees on their emotional journey through the change process and allows the company to quickly refocus on the market and day-to-day business.

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The restructuring of a company is a complex process of change. In times of digital transformation, we are tempted to believe that the solution to most of a company's problems lies in the digitization of its processes. Indeed, technology can be easily replaced, and this process can be beneficial to the company in its endeavor to position itself more competitively in a sustainable manner. However, the essence of a company is neither the buildings nor the machines or any technology. It is still the people acting within the company who shape it the most. And changes are not implemented by companies and organizations, but by people. The selection of the right people, especially a strong management and restructuring team, is crucial for the future success of the company. With every compromise that the company and you make in the selection of employees, you reduce the chances of success for the restructuring and the company. In particular, the nepotism prevalent in context-driven cultures is pure poison for society in general and for the respective company in particular. A worldwide analysis I conducted on the correlation between perceived corruption and the per capita gross national product in a country over the past 20 years has shown that countries with low perceived corruption have a significantly higher standard of living for the population (Dogan 2021).

▶ **Humans are creatures of habit. Even if many pretend to love change.**

Restructuring means change. Thus, change becomes an inevitable part and truth of business life, and no one can run away from it. When changes are well planned, formulated, and communicated, they can lead to positive outcomes. But regardless of how meticulously planned, changes are very difficult for people to accept, embrace, and appreciate. Why is that? Despite the recently much-praised agility of individuals and organizations, most contemporaries, when push comes to shove, are more interested in stability and predictable routines. While management during restructuring is often focused on improving systems and outcomes, it does not even recognize that employees are clinging to their old ways (mindsets, behavior patterns). If a company really wants or needs to "reorder," "redesign," or "replace the old structure with a new one," the people or employees must also undergo changes. Only when the workforce makes personal changes or transitions can the company move forward and reap the benefits of restructuring. Every organization is therefore well advised to support its employees in their transitions or changes. Changes for the individual can be traumatic and bring many issues of security and power loss or prestige problems. The easier it is for employees at all levels of the company to move forward on their new path, the easier it will be for the organization to move towards success.

This brings us to the all-important question: **What drives us humans**? Many theories have been developed about our motivation, and even more wise books have been written about it. I have read some of them. And history is one of my hobbies. From the combination of both, I have derived a plausible and simple explanation for human behavior and summarized it in Fig. 5.1. Ultimately, the following three forces drive every individual and the world: love (in all its forms), power, and money.

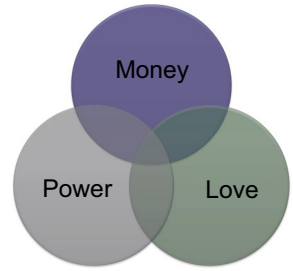


Fig. 5.1 What drives people

Sometimes it is just one force, other times the combination of two or all three forces. If we want to motivate our employees and our companies to change within the framework of restructuring, it is helpful if we, as those responsible, know what drives our employees. Of fundamental importance is appropriate and respectful human communication with employees in all matters of restructuring.

The selection of the best employees for the restructuring and the new line organization, as well as the way you communicate the restructuring to the workforce, are the two essential design aspects when it comes to the success factor "people."

5.1 Assembling Strong Teams

Restructuring is a team sport, both in terms of the restructuring process itself and the subsequent unlocking of all success potentials following the restructuring by the line organization. Consequently, the assembly of strong management teams must begin early in the change and implementation process. The degrees of freedom in employee selection are not always large. Requirements from stakeholders, legal frameworks, or cultural peculiarities such as the seniority principle can dilute the basic principle of "the right people in the right places." However, wherever and whenever opportunities for positive selection arise, they should be consistently utilized. As the person responsible for restructuring, it is also your duty to create such opportunities. A good restructuring story combined with intelligent communication and the involvement of relevant critical stakeholders in advance can overcome many perceived barriers to free employee selection.

▶ **Your success depends on the strength of your team. Therefore, be sure to focus on a 'positive selection' of your employees.**

In our private lives, we usually take a lot of time and effort in selecting people close to us. When choosing our employees, with whom we spend more (awake) time than with our private partners, we are less meticulous and accept many things. Yet, your personal success significantly depends on the quality of your team. The success of a company is largely determined by the quality of all its employees. A **positive selection** of employees is based on the following criteria:

- **Formal Education**
  For certain tasks, a corresponding successfully completed formal education is indispensable. Or would you let yourself be flown from A to B by a pilot who does not have a pilot's license but flies flawlessly around the living room at home on the computer? But even in less dramatic categories, the fact that someone has intensively dealt with a subject over a certain period and has provided corresponding recognized knowledge and performance certificates says a lot about the person.
- **Practical Experience**
  A diploma alone says little about an employee's actual practical skills. Autodidacts like to argue that they overcompensate for missing diplomas with talent and practical experience. Indeed, practical experience increases the effectiveness and efficiency of well-trained employees.
- **Proven Results (including Failures)**
  Especially in large organizations, employees can spend a long time without being noticed. However, you should distinguish between those employees who do their work well without much noise and those who are carried along by the top performers of an organization without having made a significant contribution to success themselves. Therefore, inquire about their previous successes when selecting your employees. And do not forget to ask about their failures. In applications for a position, some candidates need to be slowed down in their flow of speech about their past successes. When asked about the dark side of the moon, their failures, there is silence, or they are unaware of any defeats. Be cautious with such contemporaries. Smart people make mistakes and learn from them. Those who have not made mistakes have either worked little and/or are not particularly smart.
- **International Experience**
  The globalization of the world and the internationalization of business life are progressing further and further. Living and working in a European Union country alone means that you and your employees will sooner or later have to deal with foreign languages, cultures, and mentalities. Employees who cannot operate on an international stage find it increasingly difficult in such a working world. And they make it harder for you to successfully accomplish your tasks. At least good English skills are considered a basic requirement for more responsible tasks today. Additionally, "Cultural Fitness," i.e., the willingness to accept and adapt to other cultures, mentalities, and behavior patterns, is conducive to high work efficiency. No matter how uneconomical and strange some business customs and practices in other countries may seem to us, there are (good) reasons for them. Ultimately, employees who have proven themselves internationally should also be successful in domestic settings.
- **Agility**
  The ability to quickly and efficiently adapt to new circumstances is an important quality that your employees should possess in times of increasing change. In job interviews, the question about personal agility is often answered with a clear yes. After all, candidates are aware of one of the current buzzwords and what the desired answer is.

However, follow up to see if the verbal promise has already been followed by corresponding actions that genuinely demonstrate individual agility! Because what is agile for one person may still seem rather sluggish to another.

- **Personal Chemistry**
  This last criterion may not immediately correspond to a professional approach. But we are all aware of situations where we meet someone privately or professionally and feel after a short time that we have already experienced a lot together and feel comfortable in the other's presence. These are usually good prerequisites for good and successful cooperation. However, each of us has probably also met people with whom we had nothing to do, but who made us feel uncomfortable in a very short time. Ideally, the potential new employee meets the required profile, and the chemistry between us is right. But what if the candidate's competencies are beyond doubt, but our body goes into defense mode? Consider carefully whether you want to go to work every day with a stomachache, knowing that you will have to work with a person for hours whom you and possibly the rest of the team find inexplicably unbearable. Is a less competent person who harmonizes better with you and the other team members perhaps the better choice in the end? Ask yourself these questions, as the answers also determine the outcome of future cooperation. Competent teams, where the chemistry and working atmosphere are right, are usually more successful than working groups where people have to work together to solve a task because of their individual competencies. This spans the arc from individual gut feeling to the efficiency of teams and organizations.

Restructuring brings the end of the familiar and the beginning of something new. In fact, not everything changes through restructuring. After all, in the rarest cases is everything a company has done and how it has approached things bad. It is about combining the best of both worlds, the old and the new. To ensure continuity of the good things from the old world, you should ensure a good balance in your team between experienced company/business know-how carriers and fresh, unburdened new employees. And thinking about the future, you should lay the foundation for a talent base during the restructuring from which the company can draw its future top performers. From your strategic considerations, you can already derive today which professional and leadership competencies your company will need in the future. Start today with the development and expansion of these competencies so that the corresponding employees are available to you tomorrow. This is equally a good insurance against a new crisis-induced restructuring.

The manager of a company was able to build on her long-standing professional successes. In particular, she had stored the experience that she had so far led all her teams in the desired direction and was very successful together with them. However, one of her previous tasks had left significant marks on her, manifesting in a clear aversion to employee layoffs. In addition to her line function, she was also co-responsible for the restructuring of the company. The new environment was characterized by a strongly context-driven culture with many political trench wars. She was advised to immediately

part with certain employees, as they were allegedly part of the problem and not part of the solution. This assessment was supported by some concrete negative examples. The manager took note of the advice and indicated that she wanted to form her own picture of the entire existing team. Already on the first working day, she also noticed that the leadership style of her predecessor differed significantly from her own. While her predecessor led his employees through one-on-one conversations, the manager was used to leading her organization or the employees directly reporting to her as a team based on target agreements. She also expected proactive collaboration in the day-to-day operations from her team members. This included the independent coordination of team members among themselves. Only issues that could not be resolved by the team were to be escalated to her. On a weekly basis, there was to be a fixed meeting for the entire team, where all relevant topics were to be discussed and a progress check of the restructuring was to take place. At her first meeting with her team, she announced the new working and communication style. For her employees, this was akin to a culture shock. In the following weeks and months, the team found it very difficult to meet the manager's demands for more teamwork. Time and again, the manager insisted on the team approach and also provided the corresponding explanations for it. Nevertheless, no real success was forthcoming, and the employees remained in their silos. The manager then consulted with the HR department on how she could better help the team members grow into a real team. Together, they decided to hold several team-building workshops. Additionally, there was the possibility of individual coaching for the team members. Finally, the manager organized social events outside office hours out of her own pocket to foster team spirit. At the same time, the manager received hints from her environment that her project with these employees would fail. The professional qualifications of the employees were not questioned. The problematized issues were their silo mentality, their reluctance to take individual responsibility, and their tendency towards political games. The manager's gut feeling also told her that something was not right this time and that the chemistry between her and some of her employees was not right. However, she pushed these hints aside. On the one hand, she wanted to avoid personnel changes due to the exhausting experiences of her previous job. On the other hand, the teamwork began to improve slowly. At least, the manager had this impression. This was supported by a significant operational performance increase. After the successful completion of the restructuring, the manager left the company. Hardly had this happened, however, the manager heard that the individual employees fell back into silo mode. Some of them even began to mock her transparent leadership style within the company.

▶ **If you give the same employees the same tasks, you will get the same solutions.**

For a first rough overview of the question "Who is who?" you can use the **Competence-Potential Matrix (4L-Matrix)** from Fig. 5.2. In doing so, you evaluate each of your employees based on two criteria. On the one hand, you assess whether the employee already has the required competencies for the current and future tasks. On the other

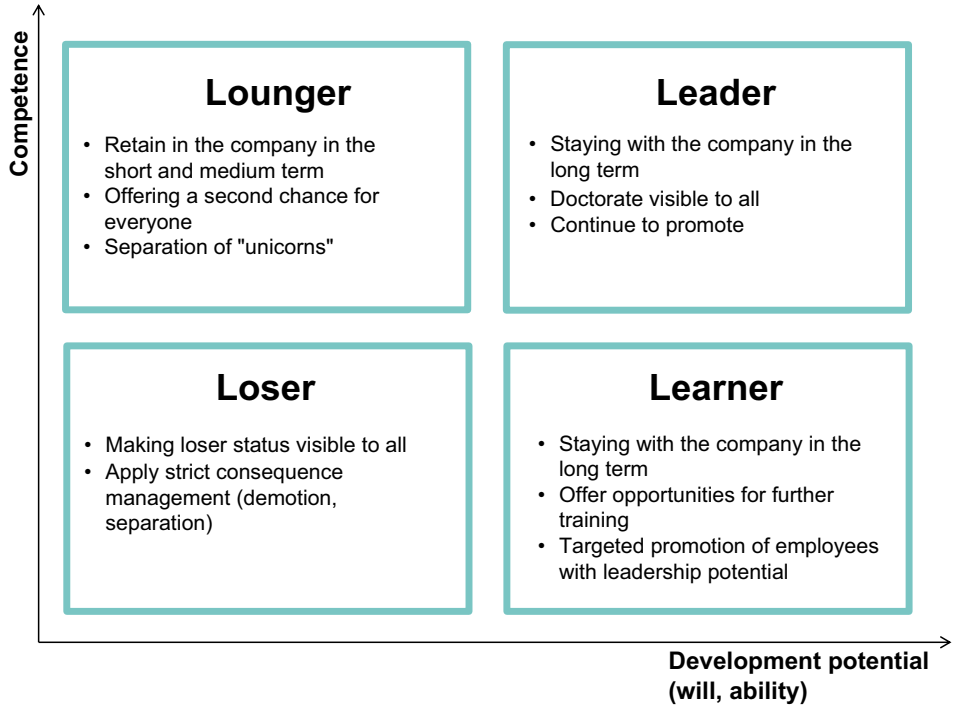


Fig. 5.2 Competence-Potential Matrix (4L-Matrix)

hand, you estimate the employee's development potential, i.e., their willingness and ability to learn.

The following recommendations for action arise from the four quadrants:

- **Leader** (high competence/high development potential)
  These employees should already occupy important positions during the restructuring, which are clearly visible to everyone, and thus serve as role models for the other employees. It is a clear signal to the organization about which (new) qualification, personality, and behavior profiles are now valued.
- **Learner** (low competence/high development potential)
  These employees do not yet meet the technical requirements that the new organization brings. Nevertheless, these employees clearly show their willingness to continue their education and also have the corresponding potential. They are the pool from which you will develop your future leaders.
- **Lounger** (high competence/low development potential)
  These employees are important for the restructuring because they are key knowledge carriers. Furthermore, they can be used in their line functions to add value to

the company in the short and medium term. However, you should not become too dependent on such employees. Those employees who have already reached the end of their learning curve will feel overwhelmed in the medium and long term. Therefore, you should already consider during the restructuring what future options you want to offer these people within or outside the organization. Employees who have development potential but do not want to exploit it should be given a second chance. I have had the opportunity to meet such "unicorns" in every company. Inspired by the successes of past days, they consider themselves indispensable and see no need for changes, especially not in themselves. Once confronted with changes, these people often exhibit strange behavior. For example, during the restructuring of a company, an employee began to assert his intellectual property rights for work he had done for the company. In any case, such employees take up a lot of your time, which you do not have (or should not have). Therefore, be quick and consistent in dealing with them. If these employees do not respond to repeated requests for change, I strongly advise a rapid separation. This is also a clear message to the entire organization that there is a change process and that it does not stop at the luminaries of the company, regardless of their level.

- **Loser** (low competence/low development potential)
  Such employees have often significantly contributed to the need for the company to undergo restructuring. "Low performers" can be found at all levels of the company. They should be the clear losers of the restructuring. Otherwise, the restructuring is at risk of failing, or the sustainable success of the company will not materialize. If the company is in a precarious situation and the low performers survive the restructuring, their leaders/high performers will sooner or later become so demotivated that they either reduce their efforts to a minimum or leave altogether.

The 4L matrix may seem very mechanical and emotionally distant at first glance. Normally, we make our decisions based on our expertise and previous experiences. However, both components do not protect us from making wrong decisions when assembling a team in certain situations. Therefore, a rationally supported analysis and decision-making process, especially when selecting employees already working in the company for future tasks, is very helpful.

During restructurings, it becomes clear that even a leadership concept that has been successful for years can fail. Every company, with its specific context and employees shaped by the respective corporate culture, is different. Restructurings are neither the time nor the place to (consciously) ignore reality and make too many compromises in employee selection. Pay attention to weak signals that indicate problems with employees and also trust your gut feeling. As mentioned at the beginning, weak signals are always there. You just have to be attentive and look/listen closely. A team that does not meet the technical and/or your requirements absorbs too much of your own energy. This harms your health in the medium and long term. And it makes it difficult or impossible to deliver top performance, which is essential during restructurings. Your restructuring

success depends on the strength of your team. Therefore, proceed very progressively and pragmatically when assembling your restructuring team and filling other key positions.

▶ **Restructurings are a matter of trust. Carefully consider whom you can trust.**

You have surely also experienced that some contemporaries are very adaptable when it comes to saving their own skin. Just as in politics or private life, such survival artists can also be found in companies. Since restructurings require the highest level of trust and loyalty within the restructuring team, but also when filling key positions in the company, I recommend using a **lustration matrix** as shown in Fig. 5.3 if necessary. This allows you to identify burdened employees who have significantly contributed to the company's crisis and, if necessary, relieve them of their duties. This has nothing to do with denunciation. You are merely assessing the employees based on their contribution to the company's crisis and their ability to influence the company.

Here too, four quadrants with the corresponding action recommendations arise:

- **Perpetrators** (strong influence in the company, significant contribution to the company crisis)
  These are usually executives with many years of experience in the company. Due to their position and the decisions they have made, they have significantly contributed

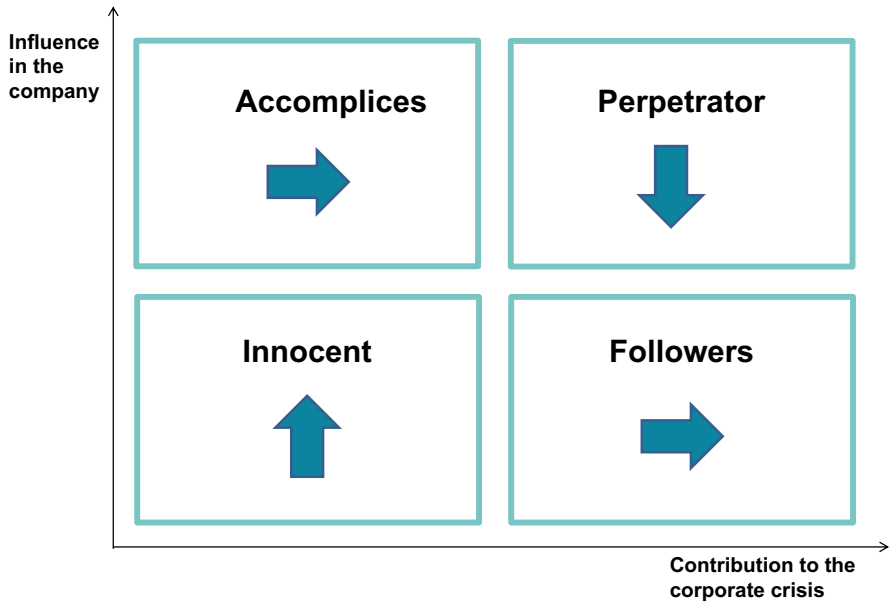


Fig. 5.3 Lustration matrix

to the company's predicament. Nevertheless, they behave as if they had nothing to do with the crisis in the face of restructuring. If you are not dependent on their knowledge, I advise a swift separation.

- **Accomplices** (strong influence in the company, minor contribution to the company crisis)
  These executives must have known about their colleagues' misconduct due to their position in the company. A look at meeting minutes is enough to determine whether they supported these decisions or not. If they opposed the wrong decisions and/or came up with constructive counterproposals, further cooperation may be considered. Given the appropriate competencies, a probationary period for developing proposals for the company's reorientation and a variable salary component dependent on the company's performance can be agreed upon. From my own practical experience, a 70% fixed salary and a 30% performance-based salary component on a monthly basis have proven to be a threshold value. If the monthly budget is met, the executive receives the variable salary component. If the budget is exceeded, the monthly bonus increases proportionally. If the monthly budget is not met, only the fixed salary is paid. Compensation in the following month is not possible. If the candidate agrees, this is at least an indication of their honest intentions and confidence in their abilities. Among those employees who accept the new salary scheme, the wheat is quickly separated from the chaff. On the one hand, there are those who formally accept the new salary scheme but immediately resign internally. On the other hand, there are employees who are confident in their own abilities and believe in the success potential of the restructuring. Additionally, such employees can provide you with many valuable background information that can help you with your own orientation. Pay attention to whether these employees provide you with factual information or if it is merely personal gossip. In the latter case, put a stop to it immediately, as it only distracts you from your actual work. Let's not kid ourselves: after your departure, the most skillful turncoats among the accomplices will align their flags with the new wind and may also speak ill of you. This should not concern you. Proceed purely pragmatically.
- **Followers** (weak influence in the company, significant contribution to the company crisis)
  Every mismanagement needs its followers. Directives from above are uncritically accepted and implemented by such employees. In the worst case, the wrong decisions of top management are even justified and communicated further down the operational levels of the company out of full conviction or self-interest. Especially in context-driven cultures, such employees are characterized less by their competence than by their loyalty and are deliberately promoted within the organization. If you are not necessarily dependent on such employees, I advise separation or demotion. On the one hand, you send a clear signal to the team and the workforce that you are drawing a clear line regarding the company's past history. If you do not opt for a radical solution, you should at least set some clearly visible and audible examples. On the other

hand, you also rely on unburdened, loyal, and competent key employees at the operational level to implement your plan.

- **Innocents** (weak influence in the company, minor contribution to the company crisis)
  The vast majority of employees had or have neither a significant influence in the company nor have they substantially contributed to the need for restructuring. Therefore, you do not need to worry too much about this category. However, ensure that your messages reach, are accepted, and implemented by the people in the company. As with the accomplices and followers, you should also note in this category those employees who avoid any unprofessional comments about the old leadership. Employees who focus on their tasks are a good basis for successful restructuring at both the team and company levels.
  Check whether a variable salary component is possible at the company-wide level as part of the restructuring. Specifically, this would mean that instead of a monthly fixed salary, all employees receive an 80% fixed salary and a 20% performance-based salary. If the monthly targets are met, the employees are paid the 20%, thus achieving the target salary of 100%. In the case of exceeding the monthly budget, employees could earn more than 100% of the target salary. At the beginning of the restructuring, the variable salary component for all employees of the company can be exclusively tied to the achievement of a common goal. This is associated with the message 'We are all in the same boat, and each of us can contribute to achieving the restructuring goal.' At least for your restructuring team, I recommend such an incentive. Not all employees can adapt to these new working conditions. Some will throw in the towel on their own, and an amicable termination of the contract will be agreed upon. Others do not accept the bonus option and temporarily continue their work without the option. A third category of employees accepts the variable salary component but resigns internally. Try to identify these people, discuss the issue openly with them, and provide support where appropriate. In hopeless cases, I also recommend a swift separation here.

5.2 Use of Consultants

Given the often high complexity of restructuring projects, the question repeatedly arises whether it is sensible to involve external consultants. But even with seemingly simpler projects, management is sometimes inclined to outsource this unpleasant task to an external service provider. From practical experience, I would strongly advise against the latter in particular. Employees of a company quickly recognize whether their leadership is shirking responsibility and the often unpleasant work. These are the worst possible conditions for a remobilization of the (remaining) workforce.

In my opinion, the engagement of external business consultants and their scope of tasks should depend on whether and to what extent all necessary competencies for a successful restructuring are present within the company. The use of business consultants to

complement competencies and leverage their cross-industry best practice experiences can generally make a value-adding contribution to the overall project. However, this is tied to a number of prerequisites.

> **Rule of thumb: If your consultants have been in the company for more than six months, they are no longer part of the solution but have become part of the problem.**

First and foremost, it must be ensured that the company management is visibly at the helm. This is best demonstrated by the leadership of the company developing and communicating a clear vision for the company and a plan for its realization. If the support of external consultants is required, the company management or project management should be able to select them themselves. Consultants imposed by the owners have, in my experience, a negative signal effect on the responsible management. On the one hand, the owners thereby withdraw part of the management's authority, even though the management remains ultimately responsible for the success of the restructuring. On the other hand, such an approach fosters distrust of the management towards the consultants, which is not conducive to the start and successful progress of the restructuring project.

Once the consultants are on board, it must be ensured that they are not put in a position to play power games. Especially large consulting firms have the ability, due to their networks, to exert significant influence on the decisions and processes in the restructuring project through various stakeholders. This danger is particularly present in large corporations, where consultants often have direct access to the top management and can thus indirectly influence the restructuring project in an operational company.

Expectations of business consultants are usually very high. Even if their competence is beyond doubt on paper, it often happens that the consultants become part of the problem during their engagement. This is especially the case when the expected successes do not materialize despite longer collaboration. The consultants are then no longer part of the solution but become part of the problem themselves. Instead of focusing on the restructuring and operational business, both sides get lost in unproductive arguments about who is to blame for the misery. Therefore, part ways with your consultants immediately if you find that they have become part of the problem.

Finally, the staffing and competence of the consulting team as well as the pricing should be appropriate to the project content. Examine each member of the consulting team in advance regarding their potential contribution to the project's success. And closely monitor during the project whether and to what extent the individual consultants are providing adequate value creation for the project. An adequate consulting team allows you not only to benefit from their professional competencies and access to cross-industry best practices. The certainty of being able to rely on professionals in the back office who take over the administrative tasks in the restructuring project for you also allows you to focus on the important and right topics. Just think of the time it would take

if you had to design and create the various reports and presentations for the stakeholders of the restructuring yourself.

A family-owned company developed very successfully over many years. Nevertheless, the management wanted to set the course for the future in good time. Two questions were at the center:

- What should the future organization (structure and process organization, personnel competence) look like to handle the next growth spurt (doubling of sales within five years)?
- Who should lead the company when the founding seniors retire from the operational business?

The medium-sized company had been run solely by the senior boss until then. All essential decision-making processes were tailored to him. His family members also worked in the company. Due to the leadership constellation, the company had reached the limits of its growth. The company founder and senior boss realized that a more formal and division-of-labor organization would be necessary to tap new growth potentials. There was no one in the company who could take on the restructuring. So the company boss decided to look for an external consultant. He immediately ruled out the large consulting firms. He neither spoke their (business) language nor was he willing to pay the corresponding fees. Therefore, he looked for a consulting team that, on the one hand, understood his (small) world, but on the other hand, brought enough knowledge and practical experience to move his company forward. And the consulting fee had to fit within his budget. Finally, he found such a consultant. Moreover, the chemistry between the company boss, the consultant, and his small but efficient consulting team was also right.

A key success factor of the restructuring was the intensive collaboration between the company head and the consultant on an equal footing. The division of tasks was as simple as it was efficient: the company head knew what he wanted and was intensely involved throughout the entire project, while the consultant provided the corresponding solution options. All topics were openly addressed and discussed. Decisions were made jointly and communicated to the staff by the company head. Additionally, he took care of the implementation. The result was a structured and task-divided target organization that could handle the targeted doubling of sales. Along the way, interim organizational solutions were planned, which were activated upon reaching the corresponding sales thresholds. Regarding the succession issue, the company founder did not insist on a family solution but gave the consultant free rein in developing and implementing solution options.

A company whose sales and profits had been declining for several years had very different experiences with consultants. The owners then decided to realign the company to tap into new revenue potentials. From the owners' perspective, the current management had not approached the problem decisively and competently enough so far. Therefore,

no sense of a fresh start could develop among the employees. Instead of replacing the company's leadership, the owners initially hired highly decorated external consultants to support the management in the restructuring. After an appropriate familiarization period, the consultants began supplying the company leadership with their supposedly new ideas for further cost reduction. In reality, they were merely running through their standard cost optimization program. This happened despite the fact that the company had already been running intensive cost-saving programs over the past years to stabilize profit margins. The generous consultant fees were thus doubly counterproductive. And so, the consulting engagement dragged on for months without being able to present usable results for the company. Particularly on the revenue side, the consultants provided virtually no practically usable impulses or solutions. The consultants were aware of the situation and switched to a justification mode towards the clients. This also included questioning the competence and motivation of individual company managers. This maneuver was initially successful. Because the clients of the restructuring then expanded the consultant mandate and their competencies. A first look at the expanded consultant competence promised great things. However, upon closer examination of the resumes, it quickly became clear that even the broadened consultant base could be of little help to the company. Additionally, the consultants increasingly took over the communication of restructuring-relevant topics within the company. This ultimately led to a further alienation of the organization from the restructuring. After more than a year of only conditionally successful collaboration with the external consultants, the owners pulled the emergency brake. The company's leadership was newly staffed with managers experienced in restructuring, and the collaboration with the consultants was terminated.

In addition to the classic business consultants, I would like to point out a special category of external consultants at this point: **lawyers**. Restructurings are a slippery slope with numerous legal challenges and pitfalls. Just think of the complex issues of labor law. Therefore, from practical experience, I can only advise you to surround yourself with trustworthy lawyers. This is especially true for companies that do not have an internal legal department. But even companies where legal competencies are available should bring in specialized lawyers for specific issues during the restructuring. This increases the chances that the entire restructuring will proceed relatively smoothly despite the sometimes tectonic personnel and organizational shifts.

- **Consultants are not self-starters. Professionally managed by those responsible for the restructuring, they can make a valuable contribution to the success of the restructuring project.**

Consultants not only incur costs for the company due to their fee invoices. Also consider and evaluate the time invested in interactions with them. If the benefit of using consultants is to exceed their total costs, you must carefully consider in advance why and for what purpose you want to use external consultants. Only with the right preparation,

targeted use, and constant tracking of their value creation can you expect their positive contribution to the success of the restructuring project.

5.3 Human Communication

We already talked about weak signals announcing changes. Despite all confidentiality, you must assume that the workforce will learn about the restructuring before the first official communication. Wild rumors then make the rounds and lead to employees and the company focusing more on themselves than on the operational and strategic day-to-day business. And instead of being on the communicative offensive, you suddenly find yourself in a defensive role, having to counter all sorts of rumors, half-information, and untruths, and you can no longer reach the employees with the actual message of the restructuring. Therefore, keep the circle of people involved in the restructuring considerations as small as possible. Furthermore, shorten the time span from the first, albeit background, but still recognizable restructuring activities to the first official communication to a minimum.

▶ **Communication is an art. It requires not only professional competence but also a lot of empathy and even more inspiration and creativity.**

When formally announcing the restructuring, the first shot must absolutely hit the mark. Therefore, thoroughly consider in advance,

- what you want to say (**Content**),
- whom you want to address (**Recipients**),
- how you want to convey the messages (**Form**),
- when this should happen (**Timing**) and
- who communicates (**Sender**).

Lies have short legs. This folk wisdom is a good guiding principle in defining the content of communication during restructurings. If changes are imminent in the company, then tell the employees. And tell the employees the truth, no matter how good or bad the news to be delivered may be. Explain to them why the upcoming changes are necessary, what the changes will specifically look like, what you expect from the employees (e.g., changing traditional behavior patterns), and what the employees can expect from you (e.g., retraining programs or coaching). Repeat this restructuring story like a mantra over and over again. This ensures, on the one hand, that the content you communicate reaches all employees. On the other hand, the constant repetition of the same message underscores the seriousness and determination of the management regarding the implementation of the restructuring.

When **delivering bad news** to employees, special caution is required. Managers tend in such situations either to mitigate the drama of the events and their consequences by making promises to employees that they cannot keep later. Phrases like "I will personally take care of each one" are short-term solace for the manager's tormented soul and long-term poison for the employees and the manager's credibility. Another negative extreme is the message that the restructuring is a significant cut in the company's operations, but things will not be as bad as they might currently sound. Knowing full well that this is not the case, managers try to temporarily escape an unpleasant situation. The more dramatic the consequences for the managers and employees when the restructuring later hits the company with full force.

Restructurings are usually a lengthy process. Accordingly, the content of communication must be adapted to the respective process status. Especially at the beginning of the restructuring process and specifically from the first official communication, employees go through a literal roller coaster of emotions. While management is already focused on the goals of the restructuring and has a clear plan for implementation, the affected employees initially experience the greatest possible confusion. Your task as a restructuring manager is to help employees gain clarity about their future and their further course of action, thereby managing the entire situation.

▶ **Restructurings often necessitate the delivery of bad news. This is the supreme discipline in communication and must be well learned or trained.**

Derived from a **phase model** by the Swiss-American psychiatrist **Elisabeth Kübler-Ross** (Kübler-Ross 1974), with which she describes the experiences and behaviors of the dying, the handling of dramatically bad news such as the possible loss of a job can also be anticipated for employees in companies. This allows you to adapt your communication or the content of the communication to the corresponding situation/phase in which your employees find themselves:

- **Shock**
  The restructuring formally begins with the official announcement of the plan by management. If the company leadership has managed to avoid the creation and spread of rumors about the impending restructuring, the employees are at least surprised, if not shocked. It is important here that you clearly and distinctly communicate to the employees the necessity of the change, what it will look like, and what the next steps will be. And do not forget to point out the consequences of non-compliance for the company and the individual.
- **Denial**
  The restructuring is initially denied. Especially in companies that are still doing well or whose management is known for not implementing many of its announcements, employees claim that it is a false report. Additionally, in this phase, employees try to improve their negotiating position through extra effort and hope for rewards. In this

phase, it is crucial that you consistently communicate the restructuring story over and over again.

- **Frustration and Anger**
  If the information about the restructuring does not cease, employees realize that the reality is different. Frustration and anger spread due to the fact that they are affected by the restructuring. If it is also clear which employees are the winners and which are the losers of the restructuring, the losers feel envy towards the winners. Do not take the employees' anger personally and instead communicate how you will support the employees during the change.
- **Depression**
  As the restructuring progresses, frustration and anger are replaced by despair and loss. The impending or actual loss of a job, status symbols, salary components, etc., and the concern about how the private and professional environment will react to this defeat, plunge the employees into a motivational low. Additionally, existential fears may also arise. Help the employees in this phase by communicating even more emphatically what specific support they will receive from you during the change process.
- **Acceptance and Experimentation**
  After envy and anger, especially the losers wait for the restructuring-related changes to occur. This is accompanied by the first attempts of the employees to find their way in the new situation. The winners of the restructuring are already highly motivated and have embraced their new tasks. The losers look back on what they have achieved in the company and begin to deal with their new reality in the company or prepare for alternatives outside the company. Communicate a clear perspective to the winners in this phase. And let the losers know that they will have the freedom to come to terms with the new situation. At the same time, you should particularly highlight the support options from the company in your communication.
- **Decision**
  The employees have arrived in the individual reality after the restructuring. The learning curve in changing behaviors and work content rises sharply. Accordingly, more and more positive feelings arise. Inform the employees in this phase about the progress the company has made due to the restructuring and that the efforts have paid off. Communicate individual success stories of the restructuring, showing that adapting to the new reality is rewarded by the company. At the same time, you should clearly illustrate with striking examples the negative consequences of refusing to adapt to the changes for the individual.
- **Integration**
  The employees have internalized the changes associated with the restructuring. Whether it is a new job, a new location, a new supervisor, new work processes and behaviors, new salary schemes, etc., all these innovations have now become the new normal for the employees. Therefore, in this final phase, you can focus on regular communication content.

Before you make your first official communication about the restructuring, you can get an idea in advance of how the planned restructuring might be received by the various stakeholders, and especially by the employees. Instead of blocking information, you can deliberately release communicative trial balloons. For example, you can launch reports about an impending restructuring through the press. From the stakeholders' reactions, you can possibly derive actions and/or corrective measures for the further course of action.

Restructurings generally involve many stakeholders. As the person responsible for restructuring, you must address the diverse informational needs of this entire heterogeneous population. Even though the restructuring story must be consistent in itself, the preparation of communication varies depending on the recipient. Not all information related to the restructuring is relevant to all stakeholders. For example, you do not need to inform the company's external capital providers about delays in replacing company software. On the other hand, your employees at the operational level have little interest and understanding of the synergies resulting from the restructuring and the improvement of the EBITDA margin. They are more interested in questions of job security, the new supervisor, the new salary system, and a possible relocation.

▶ **Simplicity is the ultimate sophistication. (Leonardo da Vinci)**

Whoever the recipients of your messages may be, ensure that your communication is as simple as possible. Leonardo da Vinci already knew that **simplicity** is the highest level of development and thus an art. Comparable to a good wayfinding system at an airport, where you are almost automatically guided to your boarding gate by the various displays, signs, and pictograms upon entering the terminal, your communication must also be immediately understandable for each of the target groups. Identify your various stakeholders precisely and meticulously analyze their informational needs regarding the restructuring, especially concerning the content. Then, create tailored communication packages in which you always convey the same core restructuring message but pay close attention to the specific topics and word choices for the respective recipients. Do not even try to impress employees at operational levels with a speech filled with foreign words and management terms. Use short and simple sentences.

As part of a company's restructuring project, a new software tool was also to be introduced. The consultants brought in and a potential supplier of the company then organized a meeting to present a product in more detail. During the presentation, the consultants and the supplier's representatives competed to use as many technical terms and specific abbreviations as possible. They obviously believed that this would impress the company's decision-makers with their competence. A company employee interrupted the word battle and asked what one of the repeatedly mentioned abbreviations actually meant. When neither the consultants nor the supplier's representatives could answer the question, the competence house of cards collapsed. Worse still, the credibility of both the consultants and the supplier was permanently damaged.

Instead, use simple stories and analogies from other areas of life that any normal person knows. And there is nothing wrong with applying this approach even at so-called higher levels.

When giving **feedback to employees**, whether in the project team or to other employees of the company, ensure that it is effective and efficient. The following **ten basic rules** (Center for Creative Leadership 2019) can help you with this:

1. The feedback evaluates actions, not individuals.
2. The feedback is concrete and precise.
3. The feedback reflects your personal view and does not speak for others.
4. Negative feedback is not packaged between positive messages.
5. The feedback contains no generalizations.
6. The feedback does not analyze the motives for the employee's behavior.
7. The feedback is short and concise.
8. The feedback contains no implicit threats.
9. The feedback does not use inappropriate humor.
10. The feedback is a statement and not a question.

Another area of focus regarding appropriate and respectful human communication is the form of communication. If the restructuring is crisis-related, a negative connotation is unavoidable. No one, including board members, likes to be the bearer of bad news. If the company is in trouble for the first time, it is even more challenging because no one knows exactly how to deliver bad news. Against this background, there is a great risk that those who should convey the message will avoid direct address or confrontation with the employees. Internal communication then prepares an email for the staff, it is signed by the board, and the latter assumes after sending it that all employees are now informed about the restructuring.

Restructurings are highly emotional moments in professional life. No one, especially not your employees, should be left alone with a (virtual) document in this situation. Therefore, consciously seek **personal contact** with your employees and proactively create (new) opportunities for direct communication with people. In smaller companies, this is certainly easier than in large corporations. In the latter, for example, there is nothing against the CEO giving a speech to parts of the workforce and a livestream over the intranet when announcing the restructuring. Also, a division of the board, where each board member directly addresses parts of the workforce, is an appropriate form. In any case, your personal presence shows appreciation for your employees and how important the restructuring is to you. The credibility of the leadership team is crucial in mobilizing the workforce to implement the necessary changes. People do not follow buildings or machines, but people. Ideally, you will succeed in inspiring at least parts of the workforce with enthusiasm for the new strategy and turning the implementation process into a joint battle for a sustainably successful corporate future.

Direct contact with employees also has the advantage for you that you receive immediate feedback regarding employees' reservations, concerns, and fears. You can then tailor your further communication accordingly. In this way, you are always in touch with the pulse of the organization as the restructuring progresses.

▶ **Keep your employees and the company's employees constantly updated. And benefit from their ideas and concrete suggestions**.

As the person responsible for restructuring, try to personally address as many employees as possible throughout the duration of the project. Countless trips to all possible locations, recording the different reservations, concerns, and fears, as well as subsequently offering solutions and openly communicating when there are no solutions, have been very positively received by the people in the company in my experience. Also, think about organizing workshops where employees from all areas and levels of the company can discuss with those responsible how the restructuring can be best implemented and utilized.

"To also involve employees in the content of building the new company, a multipart workshop series titled 'Creating Opportunities Together' was launched during the merger of Mobilkom Austria and Telekom Austria to form A1 Telekom Austria, in which employees from various company areas and levels developed innovative ideas for a common future. The 'Vision 2015' again formed the starting point for discussions on five core themes of change:

- Innovation Leadership
  What creative ideas and suggestions are there for the product and service range of A1 Telekom Austria in the future?
- Knowledge Management
  What do we understand by knowledge and how can the knowledge of individual employees be systematically mapped in the company and made available to everyone?
- Performance Management
  How can performance management be used to promote employee performance?
- Customer Relationship
  What does optimized customer relationship management look like in 2015?
  What conditions must be in place for the customer service concept to be anchored in the company?
- Work-Life Balance
  Satisfied employees are high-performing employees. What can A1 Telekom Austria do to balance work and private life?

The goal of the deliberately heterogeneous working groups was to incorporate the knowledge and competence of employees from various areas of the two companies into important future topics, to discuss cultural and value differences on the individual topics,

and to conduct constructive, open conversations across the company. At the end of the process, the results were to be presented to the board.

… At the start of the workshop series 'Creating Opportunities Together,' all employees of Mobilkom Austria and Telekom Austria could apply for one of five topic areas. To capture all aspects of both companies, special emphasis was placed on differences when assembling the working groups. The working groups were therefore composed of employees from various hierarchy levels and areas of both companies. During the first workshop, the participants of the working groups developed a common understanding of their topic and identified positive and negative sub-aspects. This was followed by the development of new ideas. These formed the basis of the first phase of the online discussion. During the first online discussion, which lasted about two weeks, the results of the individual working groups were presented and discussed. Every employee could vote on the importance of suggestions and contribute their own perspective. In the second workshop, the participants reviewed, summarized, and supplemented the collected material. This information formed the basis for a common understanding of the respective topic area. During a second phase of the online discussion, all employees again had the chance to engage with the results from the workshops. In this step, misunderstandings were cleared up. All additions and changes from this discussion phase were incorporated into the final result after a discussion period of about two weeks. At the end of the company-wide discussion process, the result was presented to the board and discussed together with them. For the majority of the proposals developed in the working groups, the board decided that they should be pursued further within the framework of their own or already ongoing projects even after the discussion process was concluded." (Bredl 2011).

Of course, not all communication with stakeholders can take place face-to-face. This is also not necessary. Additionally, other forms of communication can be used. Video messages and chat rooms from the board and those responsible for restructuring are efficient forms of communication. Furthermore, regular newsletters on the progress of the restructuring have proven effective. The emphasis here is on regular. In times of uncertainty, it is important for the success of the restructuring that employees are constantly kept up to date and that there is a significant source that continuously informs about the actual status of the project. Additionally, use the landing page when computers are restarted in the morning to communicate important restructuring messages, especially success stories.

Restructuring demands a wide range of challenging leadership and communication tasks from those responsible. There is no template or checklist that fits all companies and their restructuring projects. Apart from generally binding recommendations, this results in a multitude of creative possibilities for company- and situation-specific communication. In this context, consider the power of symbolism. Pictures usually say more than a thousand words.

During the merger of Mobilkom Austria and Telekom Austria, the corporate cultures differed significantly from each other. The mobile communications company Mobilkom Austria saw itself as a self-confident, dynamic, internationally oriented innovation leader.

Telekom Austria, on the other hand, symbolized, as a former state-owned enterprise and central Austrian infrastructure company, primarily security and sustainability (Bredl 2011). Against this background, those responsible for restructuring had to expect significant resistance. Therefore, a simple but powerful symbolism was used in the communication of the restructuring. On the one hand, the slogan of the merger was chosen as "One Team—One Dream." Additionally, the logo of the merger was two intertwined ropes. The color scheme of the two ropes represented the corporate colors of the two companies. If one pulled on the ends of the ropes, trying to separate the two companies and thus prevent the merger, the knot only became tighter. With such a simple image, the government officials communicated that the merger was serious and that resistance would only further strengthen the will to merge.

Restructuring is a long-lasting process. The time span in Mentity-value transactions from the start of the project to the organizational and legal merger is relatively short compared to the duration of harmonizing technology, processes, and the creation of a common corporate culture. Therefore, you must deal with the timing of communication, i.e., when certain information is published, throughout the entire duration of the restructuring project. For the start of the reorganization, I refer to the above statements.

For the further successful course, it is essential that the employees who ultimately implement the restructuring are accompanied and supported with broad and regular communication. Inform the workforce openly about the status of the project. This prevents unnecessary discussions and ensures that misinformation does not spread. The demonstrated transparency also strengthens the employees' trust in the project management. And it makes it easier for employees to set the relevant priorities for the further course of the restructuring. When determining essential communication times, important milestones of the project should be used as a guide. Additionally, you should provide the relevant stakeholders with important ad-hoc information specific to the situation.

The previous statements have shown that successful restructuring requires equally successful communication. But not everyone is a good communicator. Nevertheless, every restructuring is a matter for the boss. Therefore, it is beneficial for the success of the restructuring if the initial communication is carried out by the CEO. But what to do if the CEO has many other talents, but communication with people is not one of his strengths? The communication must reach people already when announcing the restructuring. Therefore, it only shows the greatness of the CEO if he finds a specialist for the management of the restructuring who also has the necessary communication talent. In his speech, the CEO can briefly outline the necessity and scope of the restructuring and then hand over to the project manager. Alternatively, the CEO and the company spokesperson or the board can announce the restructuring project as a team.

In times of increasing use of artificial intelligence (AI), the temptation is close to leave the communication or the definition and formulation of the content to corresponding tools. I can only advise against this. At the latest when you stand in front of the employees and face their questions, your personal communication talent is required. If you have been involved in the design of the communication yourself, it will be easier for

you to address the actual needs of the employees in terms of content. In a highly emotional situation like restructuring, employees are also particularly sensitive. If your current choice of words deviates from the known, this will not go unnoticed, cause further unrest, and undermine your credibility. Always be aware of where you stand with AI, what goal you want to achieve, and ask yourself how AI can support you in achieving the goal. For example, comparing a speech you have written yourself with the corresponding suggestion from AI can provide valuable hints for improving your own speech. But you are and remain in the lead.

▶ **Management by delegation is not a good option in communication. Restructuring is a matter for the boss.**

For further communication in the day-to-day business of restructuring, it is important that employees see the permanent **involvement of the board** in the restructuring project. To further embed the restructuring within the company, so-called restructuring ambassadors can be appointed and trained. These are employees who receive targeted training on aspects related to restructuring and work closely with the restructuring managers. In addition to their line activities, they act as loudspeakers for the restructuring, communicating relevant information to their business environment. At the same time, they function as microphones, capturing the mood, reservations, and suggestions of their colleagues and conveying them to the restructuring managers. These managers can then take targeted measures to ensure the progress of the project. Occasionally referencing the restructuring ambassadors in their communication to employees visibly establishes the connection to the company management.

The company management also demonstrates its leadership role and commitment to restructuring through the communication of significant events in the project. Achieving important milestones, business successes due to restructuring, or significant personnel changes are just a few occasions when the company leadership should personally address the workforce.

For the sake of order, it should be mentioned here that delegating restructuring communication to third parties outside the company is not recommended. This includes any external consultants that may be brought in. You can seek any support for preparing the communication. However, the actual addressing of employees must be done by the company leadership and the restructuring managers.

Apart from formal communication, you can also make the exchange of information with stakeholders, especially with the workforce, less formal. Occasionally show up among the employees and engage in conversations with them without any particular reason. From the topics raised by the workforce, you can draw valuable conclusions for the restructuring project. For example, are there aspects that you have not yet considered, or are certain pieces of information not yet received or understood? If you are new to the company, such occasions help you gain a better understanding of the company's history. After all, there are reasons in the past why the company is the way it is today.

Additionally, you can form your own picture of the current situation in the company and compare your impressions with those of your informants.

- **Always be authentic. Both in the content and form of your communication.**

However, only apply the "**Management by Walking Around**" concept if you believe in it. Employees quickly notice if you are only trying to feign a connection with the workforce. Especially if you are accompanied by internal communication during your rounds and shortly thereafter you are seen smiling into the camera, surrounded by employees, on the intranet, you have a veritable trust problem.

Top managers of a company demanded a lot from their organization during the restructuring. In some cases, drastic measures had to be taken. Entire organizational levels were eliminated from the company. In this respect, being driven onto the company premises in stately limousines every morning was not an exemplary and motivating action for the workforce. Even though the leasing rates of the vehicles and the salaries of the drivers had almost no material impact on the success of the restructuring, the message to the employees was extremely poor. Instead of addressing the employees with an explanation regarding the costs, the top management decided to prematurely and comparatively expensively terminate the leasing contracts. The managers switched to more modest company cars and drove them themselves from then on. The positive signal effect on the employees was not missed. Only their neighbors asked them if they had lost their jobs.

In another case, a restructuring manager made himself a lame duck right at the beginning of the project. Hardly in his new position, he completely refurnished his office luxuriously. At the same time, he communicated to the workforce the necessity for everyone to tighten their belts. After the employees got wind of the action, his credibility was gone. From then on, he could only enforce his plans through the demonstrative exercise of power. The results of the restructuring were correspondingly modest.

While information involves the one-way transmission of messages from one person to one or more other people, communication is not a one-way street. Therefore, ensure that your restructuring story reaches all employees. On the other hand, listen very carefully to the feedback, proactive suggestions, and other information that the organization gives back to you. It is inevitable that you will encounter the "**ghosts of the past**" of the company, either on your own or due to information from the workforce. When this happens, you must quickly decide how to deal with these ghosts. Fundamentally, restructuring is a good opportunity to clean up the past and thus ensure a fresh start for the organization. Therefore, it makes sense to deal with the relevant issues. However, you should always keep your eyes on the restructuring goal. If dealing with the past takes too long, you must clearly signal this to your clients and coordinate the further course of action with them. If the issues from the past are a latent burden on the restructuring, you should continue to work on their resolution. If dealing with past issues can wait and has no impact on the success of the restructuring, focus on the progress of the project. If necessary, you can delegate the resolution of old issues to other employees.

Particularly problematic are the **crossfire information** that you encounter during the ongoing restructuring, which were initially neither recognized by you nor signaled to you by the employees. In these cases, too, you must weigh, depending on the relevance to the restructuring success, whether to address the problems and how to possibly deal with them. One option is to sweep the problems under the rug, after all, you were not informed about them during the briefing. This can indeed be beneficial to the project progress and possibly also to the company's short-term results. Additionally, it keeps the possibly still working responsible parties in the company calm. Especially the big bosses do not want to be reminded of past misdeeds, even if they have tasked you with finding and resolving them. I consider this an unprofessional approach. Moreover, you become part of the problem and risk a later, also financial, escalation. I therefore recommend the second option, where you professionally address restructuring-relevant, albeit unpleasant for some, issues with awareness and without hesitation. This creates the prerequisites for future company success. The restructuring process will be temporarily slowed down, and reopening old wounds does not always contribute to improving the working atmosphere. However, the success of the restructuring and your own success in a professional environment are not measured by short-term successes, but by the medium- and long-term competitiveness of the company.

In a company, crossfire information was part of the daily routine. Hardly had the restructuring managers believed they had worked through the past and could fully concentrate on the future-oriented restructuring when the next projectile hit. Nevertheless, they were not deterred by this. Both in their formal and less formal communication with the employees, they repeatedly emphasized the restructuring story: '*Despite the years of setbacks we have had to endure, we want to make our vision of a successful company a reality. The basis for this is a new competent management with a concrete plan as well as proven and new employees for its successful implementation. This requires new ways of thinking and behaviors from all of us, which we will bring into a new organization and more efficient work processes. Initial successes will quickly materialize because we demonstrably understand our business. This will be an additional motivation for us.*'

▶ **The focus in restructurings is forward-looking. Occasionally look in the rear-view mirror and clean up thoroughly if necessary.**

Since the company was a representative from the SME segment, the restructuring managers took complete control of the communication themselves. Among other things, they conducted two team-building events per year. They used these events to thank the employees for their ongoing commitment and to break down the initially existing silos between the organizational units. Additionally, they shared their professional thoughts, ideas, and information with the employees. They also involved the employees in the long-term planning of the company. After a brief introduction to the topic of "strategic management," the employees could express their opinions on where they see the company in one, five, or ten years (vision) and what it takes to get there. This was a novelty

for the company and the employees, which was highly appreciated by the restructuring managers. There were also other informal events such as barbecues, joint visits to concerts, and sports events. Into this idyll, more or less professional doomsday messages repeatedly poured in, originating from the time before the company's restructuring began. The restructuring managers took note of all such information. Topics they deemed important were made public within the company. Topics they believed to be of no or little relevance to the restructuring success were ignored or delegated to internal or external employees working on appropriate solutions. With this pragmatic forward strategy, they ensured that at least the unprofessional information almost completely ceased after a short time.

You are not alone in dealing with problematic information from the past. Typically, the company's auditors and internal audit are good allies. If the company has a compliance committee, you can also consult it. The company's legal department is also a good point of contact. And if things get really bad, the judicial authorities are a possible and/or necessary contact.

Especially in **context-driven cultures**, any escalation can also become very unpleasant for you. Without appropriate precautions, it will become very lonely around you. Therefore, appoint experts you trust to your team and distribute them throughout the company. Do not immediately and unconditionally trust the employees and teams you find. Trust must be earned over a longer period. Nevertheless, even after a long period of seemingly trusting and successful collaboration, be prepared for (personal) disappointments. If you already have relevant experience, then you should also trust your gut feeling. If you do not have a good feeling about certain employees, at least be cautious about what you communicate and entrust to them. Use the reorganization as an uncontroversial opportunity to hire competent and loyal new staff. This increases your own performance and that of your team. And it allows you to be aware of things happening below the surface (passive resistance, moles in the service of particular interests, etc.).

How should one behave best in a context-oriented environment? You may be familiar with the song "Hotel California" by the American rock band "The Eagles." A line from the song goes: "You can check out anytime you like, but you can never leave!" Be careful not to check into the **Hotel California** by giving in to one of the many attractive offers and invitations or by succumbing to the pressure exerted on you when the "nice" way doesn't work. In the short term, you will appear as a loser, possibly also because your environment will spread corresponding information about you. In the long term, however, professionalism pays off. And the fact that you have remained true to yourself and your values gives you a long-lasting good feeling. This will be further reinforced later when you can observe how the guests of Hotel California are driven by constant worry and stress.

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Building Block 3: Partitioning

6

Abstract

A new division of labor (partitioning) as a result of restructuring can best support the company in achieving its strategic and operational goals. In the specific design, the new structure should be aligned with the company's strategy. In the operational area, the new organization should be built around topics and not around individuals. Furthermore, the success of the restructuring depends on the proper sizing of the organization with regard to current and future challenges. A crucial question in this context is the clarification of make or buy. In an increasingly specialized and divided world of work, the management of current and future core competencies is of great importance. These core competencies must not be outsourced under any circumstances. Conversely, the absence of or the inability to quickly develop core competencies can halt the restructuring project at the outset or necessitate a realistic adjustment of the restructuring goals.

The term restructuring stands for replacing an old structure with a new one (newword n.d.). In proactive mode, this means that the company adapts its products and/or services to future demand, thereby ensuring that it is doing the right things (effectiveness). At the same time, the company ensures that the way its products and services are developed, produced, and distributed is correct, i.e., the company achieves the best possible ratio of resources used to benefits gained (efficiency). In reactive mode, the company has missed the timely adjustment and must make the necessary adjustments under time and result pressure. In both scenarios, the efficiency aspect is at the forefront when it comes to the question of partitioning. Specifically, it is about how a new division of labor (partitioning) as a result of restructuring can best support the company in achieving its strategic and operational goals.

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▶ **Both restructuring and the strategic and operational day-to-day business are activities involving division of labor. Carefully consider how you want to use your own resources and those of the company most beneficially.**

In partitioning, considering some principles can contribute to increasing the efficiency of the entire organization:

- **Structure follows Strategy**
  "Structure follows strategy" is a business principle coined by the American historian Alfred D. Chandler in 1962, which states that a company's organizational structure (business units, departments, teams, processes, and technology) is aligned to achieve the company's strategy (Chandler 1969).
  The underlying logic can be well explained by Michael E. Porter's concept of the five generic competitive strategies. These strategy options are listed in Fig. 6.1. The fundamental basis for a company's long-term above-average profitability is a sustainable competitive advantage. According to Porter, there are two basic types of competitive advantages a company can have: low costs or the uniqueness of the offer from the buyer's perspective (differentiation). The two basic types of competitive advantages, combined with the scope of activities for which a company seeks them, either the entire market or submarkets/niches, lead to four generic competitive strategies to achieve above-average performance in an industry: comprehensive cost leadership,

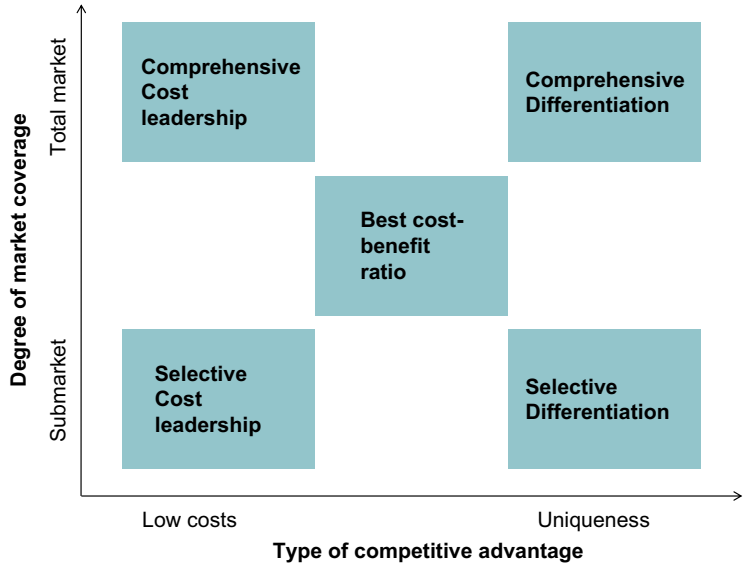


Fig. 6.1 Generic competitive strategies according to Porter

comprehensive differentiation, selective cost leadership, and selective differentiation. In the original concept, a company had to choose one of the two types of competitive advantages. As Porter put it, "stuck in the middle" was not possible in the 1980s. With the advancement of automation and computerization of production, a fifth generic competitive strategy emerged: best cost-benefit ratio. By applying this strategy, the company offers unique goods and services from the customer's perspective at relatively low prices.

For a company to operate at low costs and thus still make profits despite low selling prices, the organization must be designed as lean as possible. If necessary, the company will relocate production sites to countries with low wage levels. In contrast, a company pursuing the differentiation strategy usually requires a more extensive organization capable of offering, for example, customized solutions for the most diverse customer demands.

The integration of Mobilkom Austria and Telekom Austria is a good example of the structure follows strategy approach. Around 2010, the telecommunications industry in general and in Austria in particular were characterized by the following features:

- Market
  The trend towards convergent products continues, and customer demand is steadily increasing at a high level.
- Competition
  Many competitors are already integrated in their home markets.
- Technology
  Further convergence is not feasible without integration, as increasingly complex connection systems are required. For further convergence, an integrated, hybrid giga-network is required as a basis (bundling of investments, increasing performance).
- Competitiveness
  Organizational and system-technical integration sustainably strengthens competitiveness and offers clear advantages for customers." (Bredl 2011)

Subsequently, in-depth analyses were conducted to determine which organizational form best supports the implementation of the strategy for developing convergent products in the telecommunications market. The result was the complete merger of the two companies.

- **Build your organization around themes, not individuals**
  In context-driven cultures, it is common practice to provide "important" individuals with lucrative positions. On a macroeconomic level, I was able to demonstrate through relevant research activities that there is a glaring negative correlation between the perceived corruption in a country and the performance of its economy, and thus the standard of living of its population. The greater the perceived corruption, the

lower the economic performance of the country and the lower the standard of living of the population (Dogan 2021).
In companies, where a large part of a country's value creation takes place, it is no different. The allocation of positions, as a manifestation of corporate corruption, sustainably weakens the success potential of your restructuring project. Therefore, ensure that you (can) carry out the (re)partitioning based on themes and tasks and not on the wishes and possibilities of supposedly important personalities. First, define the best possible organizational structure for the company's success and then select the most suitable position holders based on the principle of positive selection. If your clients insist on providing for "deserving" individuals, then create corresponding functions that save face and salary but do not impair the operational performance of the new organization.

▶ **What you can do is more important than who you know.**

The succession arrangements in small and medium-sized enterprises can sometimes serve as very good examples of professional repartitioning. Instead of naturally placing the management of the restructured company in the hands of their children, some business owners decide to employ them according to their abilities within the company. In some cases, this means that the juniors do not belong to the company management and find themselves in other positions within or outside the company.

- **Proper Dimensioning of the Organization**
  As the saying goes, "You make your bed, you lie in it." In restructuring projects, there is a great risk of wanting to solve all the company's problems at once. The result is then an organization that is the best possible overall solution on paper, but which cannot yet be supported by the current revenues. Therefore, when restructuring, make sure that the (re)partitioning can be supported by the company's results. If necessary, start with the critical organizational units and work your way through the entire organization step by step with the resulting improvements in results.
  In the restructuring of a company, the first wave of repartitioning hit the sales department. This was the largest and most critical weakness of the company. Over time, the positive effects of the restructuring measures taken there manifested in the form of increased sales and profits. Due to this positive development, the restructuring managers initiated the second wave of repartitioning. To process the orders acquired by the now powerful sales organization in a high-quality and efficient manner, they dissolved the overloaded technical department and created two new independent organizational units. The newly created "Operations" department was consistently focused on fulfilling the customer orders acquired by the now powerful sales team. The department was entrusted to an employee who had proven to be very committed and valuable during the restructuring. This sent a clear signal to the organization that individual adaptation to the changed working conditions also paid off for the individual. The second newly

created department, "Innovations," took care of new technical solutions for current and future customer needs. A new external executive was recruited for this function.
In the restructuring of another company, the financial viability of decentralized internal and external sales units was first scrutinized. As a result, some of them were closed. Other offices were downsized or even expanded. Remaining external decentralized field staff were subordinated to central sales. The sole criteria for the repartitioning and resizing of the decentralized sales organization were the business potential and its resulting financial viability. In the subsequent review of the administrative units in the company, their new partitioning was based on the criteria of effectiveness and efficiency. It turned out that the restructuring hit some parts of the company well-prepared. They had already understood the restructuring message during the realignment of sales and administrative functions and had made corresponding organizational adjustments on their own. As a result, there were no or only minor further changes in partitioning in these areas. Other organizational units, however, had assumed that only sales and administration would be reorganized, and that they themselves would not be affected and could continue to operate in the old mode. As it turned out, this was a glaring misjudgment.

- **Identify Potential "Showstoppers" Early**
  In restructuring, a lot of time and energy is invested in strategic analysis and financial evaluation of the project during the preparation phase. Despite an excellent plan, sufficient available resources, and positive business prospects, you may find that you fail with the project. The reason for this is so-called "**showstoppers**" from the areas of regulation, law, accounting, and taxes as well as human resources. Clarifying insurmountable obstacles already during the project preparation phase can save you a lot of time, money, and trouble. Especially for companies in regulated industries, obtaining external legal opinions can provide clarity on whether and what problems are to be expected. It should also be examined whether the restructuring in general and the (re)partitioning in particular are legally possible. Furthermore, you need to get an overview of the possible tax implications on the company's results in advance, if this aspect has not yet been considered in the financial evaluation. Top management likes to think in terms of market share and revenue growth as well as cost reduction. Accounting will take care of the control. In the worst case, however, negative tax effects compensate for the rationalization effects of the restructuring. Finally, the agreements made with the workforce and their representatives must be reviewed to determine whether they allow for repartitioning and, if so, under what conditions.

▶ **Do not waste unnecessary time by identifying potential showstoppers of the restructuring early.**

The company had rather unpleasant experiences with showstoppers in the following example. Like many other companies, it attempted to tap into synergy potentials by

consolidating activities in a low-wage country. The affected country subsidiaries were to cease their local activities in this regard and purchase services from the so-called Shared Service Center. However, before this could happen, the following prerequisites had to be met from the perspective of each individual country subsidiary:

1. Clear definition of the activities and organizational units to be outsourced and those remaining in the local company,
2. Clear overall responsibility for the overall result,
3. Positive business case and
4. No insurmountable legal and/or regulatory hurdles.

There were no problems with the clear geographical reallocation of activities. The issue of overall responsibility was also quickly resolved, as overall responsibility remained with the country subsidiary. Even from a legal and regulatory perspective, there were no major difficulties to report. The real problem turned out to be the positive business case for some local country subsidiaries. The expected invoice from the Shared Service Center for the services to be provided exceeded the local costs for the same activities in some cases. Purchasing these services under the given conditions would thus be equivalent to a profit shift abroad. A clear showstopper.

Restructuring is fundamentally a good moment to ask the question of "**Make or Buy**" and, if necessary, to answer it anew. In the case of outsourcing, external parties perform certain activities of the value chain instead of carrying them out internally. The dissolution of internal organizational units and the outsourcing of activities to third parties generally makes sense when

- the activity can be performed better and/or cheaper by external specialists,
- the activity is not crucial for achieving a sustainable competitive advantage,
- the risk is reduced by changing technologies and/or changing buyer preferences,
- the ability to innovate is improved,
- focusing on operational activities increases flexibility and reduces the time to market for new products, and
- the company improves its ability to quickly and efficiently access various types of expertise (Thompson et al. 2018).

After a corresponding restructuring, the company can focus on the core value chain activities where the company's strengths are best showcased. However, one thing should be considered in "Make or Buy" decisions: organizational units, activities, and competencies that are not crucial for the company's success today are generally irrevocably lost through outsourcing. The company, however, faces significant difficulties if the outsourced organizations and the associated know-how later become a decisive competitive factor.

When purchasing an automobile, the technical characteristics of their vehicle were the decisive purchase argument for buyers for decades. However, over the years, the decision

criteria shifted. Today, the design of the vehicles is one of the most important core competencies that a car manufacturer must possess. Looking into the near future, mastering battery technology will become the decisive competitive factor. Therefore, car manufacturers are trying to retain and further develop the corresponding competencies in-house. If this is not possible on their own, specialized companies are currently being acquired at high costs. The losers of the structural change in the automotive industry will be those companies that do not manage to efficiently integrate the organizational units with the corresponding competencies into their own company in time.

A similar upheaval is taking place in the advertising industry, especially in outdoor advertising, which companies must anticipate organizationally. Starting with the advertising column, through big boards to mega boards, the core competence of a company operating in this industry was finding a suitable plot of land for setting up the advertising medium and physically attaching the advertising message in paper form or as a mesh banner. With the advent of digitalization, finding a suitable location for the digital advertising medium remains relevant. However, to bring the advertising messages to the screen, companies now need IT specialists and corresponding organizational units. With the entry into the digital world, the application area of the medium also expands. Digital advertising media can also collect a variety of information that can be relevant for the company itself, but also for third parties. In particular, the recording and analysis of multidimensional data that have a timestamp and a geographical reference will become a new revenue option with advancing digitalization. To take advantage of this, companies today must provide the corresponding organizational units, specialists, and tools.

A question that is repeatedly raised in the context of restructurings concerns the location or locations of the company. Particularly, the engagement at foreign locations should be included in the partitioning considerations, as the leverage for success is significantly stronger there than in location comparisons within a country. The main motives for relocating abroad are access to new customers and valuable natural resources, increasing competitiveness through lower costs, repeatedly exploiting one's core competencies, and distributing business risk across a broader market base. In contrast, there are specific challenges and risks that the company must consider when taking such a step. Examples include time differences, language barriers, different business cultures and lifestyles, exchange rate fluctuations, divergent regulatory and legal requirements, as well as differences in market demographics and income levels. These aspects can become so significant that, in the context of restructurings, a relocation of activities back to the home location may also be sensible. While at the end of the last century, the pendulum from the perspective of Western Europe swung towards relocating to low-wage countries, in recent years, a reversal of the pendulum movement has become apparent. Not least, the Corona crisis and the war in Ukraine have shown how fragile and vulnerable labor-divided processes over greater geographical distances are. Therefore, weigh the advantages and disadvantages of international/global partitioning on their sustainable effects on business success.

In the case of a restructuring project, a global competence and service center for certain activities was established at the location of the corporate headquarters. Since the

location was in a high-wage country, the motivation for this step was not primarily to realize cost-saving potentials. Rather, the corporation wanted to ensure that the country subsidiaries benefit from the competencies bundled at the corporate headquarters. This decision was in line with the company's competitive strategy, which was based on differentiation through quality and speed.

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Building Block 4: Processes

7

Abstract

Division of labor always carries the risk that organizational units isolate themselves and work in silos. The larger and more confusing the company, the more likely it is that areas and departments will even reduce their communication to a minimum or even further. If the left hand does not know what the right hand is doing, and no one has an overview of both hands, coordinated and targeted action is not possible. In this respect, during a restructuring, the company should also be examined for the effectiveness and efficiency of its business processes and adjustments should be made if necessary. The focus is on gaps and redundancies, cost drivers, weaknesses, and risks in the processes.

In business processes, the exchange of best practices within a corporate group, with customers and suppliers, or even with companies from other industries can provide valuable insights into one's own process re-engineering. Administrative processes are usually perceived by a company's employees as not value-adding per se. Regular review and improvement of their effectiveness and efficiency provide the company with double benefits. In any case, digital transformation and the creation of digital twins facilitate thinking and acting in processes.

Business processes are structured sequences or a series of interconnected tasks within companies and organizations, through which defined goals are achieved. A process includes clearly defined inputs as well as a concrete output. The inputs include all those factors that, directly or indirectly, contribute to the added value of a service or product. These factors can be divided into

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- Management processes
- Operational processes
- Administrative processes

(Appian. n.d.)

▶ **We are used to thinking in static organizational units. Real life takes place in the processes of the company. Analyze the company from a process perspective during restructurings.**

Division of labor always carries the risk that organizational units isolate themselves and work in silos. The larger and more complex the company, the more likely it is that areas and departments will even reduce their communication to a minimum or even further. Apart from the fact that this contradicts the process concept, the company loses significant efficiency as a result. If the left hand does not know what the right hand is doing and no one has an overview of both hands, coordinated and targeted action is not possible. Therefore, during a restructuring, the company should also be examined for the effectiveness and efficiency of its business processes and adjustments should be made if necessary.

Business processes are documented through process management and constantly improved through process optimization. (Innolytics AG n.d.) The focus is on

- Gaps and redundancies
- Bottlenecks
- Cost drivers
- Weak points
- Process risks

In business practice, the documentation of a company's business processes is often dismissed as administrative ballast without any benefit for day-to-day operations. Therefore, process management is usually avoided by line organizations and is only consulted when, for example, it is a matter of obtaining certification or proving compliance. Thick folders in which the business processes are documented are then usually leafed through and attached as proof of performance. In fact, with such an attitude, the company deprives itself of a significant wealth of knowledge and potential for success.

If process management already exists in the company, the existing documentation can be built upon. This should first be checked for its currency. If there are discrepancies between the process descriptions and the actual processes, the documentation should be adjusted accordingly. The second step is to identify **redundancies** and/or **gaps** in the business processes. In the case of redundancies, at least two organizational units are working on the same task. This usually occurs more frequently in large companies, as it is harder to keep track of who is doing what. On the other hand, the paths in large

companies are supposedly too long. Therefore, they indulge in the luxury of redundantly performing certain services themselves instead of obtaining them from another organizational unit.

Even in inherently agile companies, as in the following example, redundancies in business processes could be identified and eliminated through process management. The analysis of the processes based on the existing documentation revealed that a key figure important for its control was being determined simultaneously in three places within the company. To make matters worse, each of the three organizational units used a slightly different definition of the key figure. Apart from the waste of resources and the confusion caused within the company, this also contributed to decisions being made partly based on incorrect information. The subsequent process optimization stipulated that controlling became the "single point of truth" for the relevant key figure. All other organizational units had to cease their related activities and use the figures from controlling.

If there is no process management in the company yet, the restructuring or its preparation can be used to carry out an initial documentation of the processes. You should proceed pragmatically. The initial documentation of all business processes of a company is a lengthy matter. If the restructuring is taking place under crisis conditions, you probably do not have the time for it. Therefore, try to set priorities by, for example, documenting and analyzing only the main processes in the first step and going into details in the next steps. Alternatively, you can set content priorities and document and analyze the business processes in detail, for example in sales, and take care of the other organizational units later.

The more complex an organization is, the greater the risk that certain activities will not be carried out at all. One organizational unit assumes that another unit will take care of it. This unit, in turn, relies on someone else to take care of the matter. In the end, no one takes on the task. If it is not a vital issue for the company, this condition can persist for a long time. Such process gaps are usually discovered by chance. Nevertheless, the company loses more or less significant contributions to success as a result.

In the following example, the process gap in the company's liquidity management became apparent. The sales department considered its task completed with the receipt of the order. The company's finance department, which also had a treasury unit, regularly reported on the company's liquidity. The finance department saw the sales department as responsible for ensuring timely payment receipt and fulfilling the planned cash-in. Personal animosities between the department heads, combined with the generally prevailing silo mentality, led to the absence of systematic liquidity management in the company. Instead, the company's top managers intervened when a liquidity bottleneck threatened or had already occurred. Subsequently, as part of the restructuring, the process responsibilities were redefined. The responsibility of the sales department now covered the entire process "from cradle to grave." Thus, the sales department was responsible not only for the receipt of the order but also for the timely receipt of payment. However, since the sales department relies on a positive relationship with customers, the company decided on the "good cop, bad cop" solution. This means that the sales staff repeatedly reminded

their customers of due payments. From the moment the communication between the company and its customers became more unpleasant, the finance department took over. The sales department could then refer to the "bad cops" and withdraw from negative communication with the customer.

But even in companies whose business processes exhibit neither redundancies nor gaps, capacitive **bottlenecks** can significantly impair process and company efficiency. Therefore, identify those processes in the company that reduce overall performance due to insufficient resources. You can further distinguish between quantitative and qualitative bottlenecks in resources. Since some resources cannot be provided in the immediately needed quantity and/or at short notice, you must determine your future resource needs today and ensure their future demand-oriented provision.

In the automotive industry in general and among the service partners of car manufacturers in particular, there is currently a significant shortage of mechanics. This leads to orders having to be postponed, service appointments not being met, and sometimes even a decline in service quality. The reasons for this are, on the one hand, the fact that other industries are competing for similarly trained skilled personnel. On the other hand, automotive workshops are currently fully confronted with the structural change in this industry. The transition from combustion engines to electric motors significantly reduces the attractiveness of automotive workshops as employers for mechanics. The challenge for service partners is to find employee profiles to meet the current demand for classic mechanics, to partially release them again in a few years, and to build or find new employee profiles for services within the framework of future mobility solutions.

The analysis of your business processes also allows you to identify the **cost drivers** in your company. In the context of classical budgeting, corresponding amounts are allocated to the individual cost centers based on empirical values. The cost center managers are responsible for adhering to their budgets. This answers the question of where the respective costs arise. However, it remains open which quantitative characteristic influences the costs of the activity or process. By identifying the cost drivers in the context of process analysis, you create a benchmark for cost causation. Ultimately, this leads in business practice to the cost driver being determined by the number of process executions in many cases (Georg n.d.). On the other hand, the cost drivers are also the actual reference size for the allocation of indirect overhead costs and thus contribute to an even more accurate profitability analysis.

In process management, you should always keep in mind that the performance of the entire value creation process chain is determined by its **weak points** or its weakest part. The selection of individual components plays a not insignificant role in this. If you have exhausted the potentials of the actual process optimization and your total costs are still above the target cost level, one option is to replace certain components of your product with a more cost-effective variant. In principle, there is nothing against this as long as the quality of the overall solution is not called into question. In the worst case, over-optimization ends in a catastrophe. For example, the cause of the fatal end of the Space Shuttle "Challenger" on January 28, 1986, was a sealing ring that had become brittle due to the

frosty temperatures that morning (Lorenzen 2021). This had a value that was negligible compared to the human and material damage caused.

In order to avoid such serious events and to sustainably increase the efficiency of the company, it is recommended to ask the question from a procedural perspective: What can go wrong in which process step? Thinking in scenarios and incorporating appropriate internal control and correction systems can protect the company from greater harm due to **process risks**. Nevertheless, a careful consideration between administrative effort and the benefit for the company is appropriate. For example, companies whose shares are listed on U.S. stock exchanges must demonstrate so-called Sarbanes-Oxley Act compliance. This involves the establishment of an internal control system within the company. This system is intended to ensure that the financial reports produced by the company accurately reflect the actual situation of the company. A key element is the establishment of control mechanisms. These mechanisms are intended to ensure that manipulations during the booking and reporting processes can be excluded. For this purpose, critical points are identified where the question is asked, what can go wrong, in order to then introduce preventive, alarming, or corrective procedures. The effort expended by companies for this is not insignificant. In fact, the quality and reliability of companies' financial reports have significantly improved after the scandals involving MCI Worldcom, Enron, and others. However, the bankruptcy of Lehman Brothers and the Wirecard scandal also highlight the limits of such initiatives. The latter have intensified the call for even more internal control and monitoring. There is little that can be done against corresponding legal and regulatory requirements. However, if it is the company's own initiative regarding the assurance or increase of process efficiency, consider carefully how to achieve an optimal balance between effort and benefit.

The managing director ran his company single-handedly. Imitating the managing director, the department heads also isolated themselves both horizontally and vertically. At the corporate management level, there were neither regular cross-departmental meetings nor the corresponding meeting minutes from which one could infer which decisions were made when, why, and by whom. Often, it was also not clearly defined who was responsible for what. The operational employees completed their work in the order in which the tasks arrived, due to a lack of guidance, and not based on their priority for the company.

In the **management processes**, weekly documented meetings with the department heads were introduced as part of the restructuring. The following points on the agenda were firmly set:

- Action points from previous meetings
- Status report
  - Marketing & Sales
  - Operations (Procurement, Production, Shipping)
  - After Sales Service
  - Finance

Agenda items beyond this had to be submitted to management 2 days in advance. Urgent topics could be brought into the meeting without prior notice. The meeting minutes essentially consisted of a table that followed the **AID logic** (Table 7.1):

- **A** ction (Task with responsible person and target date)
- **I** nformation (Exchange of information important to all attendees)
- **D** ecision (Joint meeting and recording of important decisions)

Since the organization was used to thinking and working in silos, this step was initially ridiculed as an attempt to "democratize" the company. However, both the department heads and the other employees of the company quickly realized that the participatory approach brought with it significant co-responsibility and required a lot of initiative. At the same time, positive effects on the company's results became apparent. When the company then also set some examples in cases of non-compliance, the grapevine fell silent, and the employees henceforth focused on their tasks.

Especially in **operational processes**, companies that are part of larger organizations can benefit from the **best practices** within the group. Although company-specific adjustments are required for certain processes, the time and financial effort for process improvement are significantly lower in these cases than with traditional approaches, where companies often rely on the expertise of management consultants. Companies not

Table 7.1 Example of an AID meeting minutes

Category	Agenda item	Content	Deadline	Responsible
I A	Peer review	• Some employees from department XY have received very poor reviews from a colleague. • Check if the employee has given such poor reviews in the past.	16.09.23 16.09.23	Greta
A		Give employees who received a poor review the opportunity to respond.	16.09.23	Greta Johannes
A		Request the employee who gave the poor reviews to provide appropriate evidence.	16.09.23	Greta Johannes
I	Product profitability	See ppt attachment.		
A		Clarify why the profitability of product X has decreased by 26% compared to the previous year.	27.09.23	Robert
D		Product Y will be withdrawn from the market at the end of the year.		
I	Next meeting		29.09.23	

embedded in a conglomerate can gain impulses for their process engineering through participation in benchmarking studies and the exchange of experiences with companies from other industries.

In a corporation, the following improvements in operational business processes were realized through internal group Best Practice Sharing, among others:

- In sales, the principle "One face to the customer" was introduced. For the most important industries, experienced customer service teams were established, consisting of a central contact person and their back-office staff.
- Mandatory and regular coordination processes were introduced between sales and operations. This significantly increased delivery reliability and customer satisfaction.
- In the sales process, the sales department strengthened its advisory function and supported customers in choosing the product that best met their specific needs. Both the advantages of particularly well-performing products and the customer benefits of specific solutions were explained.
- The company's activities in the area of maintenance and after-sales service were significantly intensified. Among other things, metrics and other performance proofs were provided to customers, which further clarified the benefits for the customer.
- For internationally active customers, the possibility of one-stop shopping was introduced. The company took on the task of providing cross-border solutions for customers through collaboration with sister companies in the group.

In addition to leveraging the experience potential within the corporate group, discussions with customers and suppliers are a valuable source of approaches for improving operational processes.

Thus, the industry in which the company operated in the following example was not spared from the wave of digitalization. However, in discussions with customers, it became clear that analog products still often represented the best solutions from the customer's perspective. A radical shift to digital solutions was therefore (still) not necessary. From personal contacts with suppliers, the restructuring manager learned that they had a significant impact on the costs and quality of his end product. Consequently, he initiated various tenders, where the criteria of price, quality, and innovation capability were prioritized. Indeed, numerous suggestions for improving the existing analog service spectrum came from the suppliers during the tender processes, and concrete proposals for new solutions were made. Some of these were also implemented by the company to the satisfaction of the customers.

▶ **Big Data is nice. Value adding information is better.**

In the **administrative processes**, such as internal reporting, a regular inventory has proven effective in my experience. All reports written within the company are categorized into

- absolutely necessary,
- useful, or
- unnecessary

The creation and distribution of unnecessary reports should be stopped immediately. Instead, the company focuses on those existing and newly defined reports that are necessary for corporate management. The creation of reports should be automated as much as possible, and the time gained should be used for analyzing the data and developing corrective measures. This goes hand in hand with an enhancement of the controlling function in the company as a true business partner. Furthermore, the type of information provision can be examined. In terms of acceptance and use of the reports, especially by the line organization, the design of the reports is adjusted for easy comprehensibility. Graphical solutions are particularly welcomed by recipients. Additionally, the use of information from the reports by the line organization should be systematically tracked and used for adjustments. In times of digital transformation and increasing data flood, companies are inclined to create ever new reports without critically questioning the existence of existing reports. It is not the actual amount of data and reports that is decisive. For the success of a company, the presence of the right and adequately prepared information with the respective decision-makers is crucial.

A still current trend is the already mentioned establishment of **Shared Service Centers**. In these, primarily repetitive administrative tasks are carried out for several companies in a group. Considering appropriate conditions, costs can be reduced, and at the same time, the quality of service delivery can be increased.

▶ **Digital transformation and the creation of digital twins facilitate thinking and acting in processes.**

Further optimization potential lies in the further **digitalization of information flows**. In the first step, analogous to reporting and following the lean management approach, relevant information is identified. In the second step, solutions for their rapid and cost-efficient dissemination within the company are sought. Essentially, this involves the extensive automation of all processing and distribution processes.

Furthermore, the increasing use of **artificial intelligence** opens up many additional application areas for the optimization of administrative processes. These include monitoring data centers, using chatbots at the customer interface and for appointment scheduling, document penetration for rapid exchange and familiarization with document files, as well as predictive distribution and planning of resources (e.g., personnel deployment planning, in-house logistics), and many more (Materna n.d.).

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Building Block 5: Platforms

8

Abstract

A platform is the basis or standpoint from which considerations, intentions, and actions are taken. Corporate restructurings are a good opportunity to review the future viability of a company's classic IT platforms. When digitizing the company, make sure that it does not become an end in itself. Be clear about what you want to achieve and only then ask yourself how digitization can be useful to you in this regard.

Restructurings mean a significant change for almost all stakeholders inside and outside the company. The right company-specific choice and design of platforms for accompanying internal and external communication are of essential importance. Communication is not a one-way street. Listen carefully to your counterparts and ask them questions. Incorporate new insights into your opinion formation and do not insist on your standpoints.

In an increasingly complex working world, division of labor is a must. Therefore, ensure pleasant and efficient forms of collaboration both internally and externally during the restructuring as well as in the subsequent day-to-day business.

According to Duden, a platform is a basis or a standpoint from which considerations, intentions, and actions are taken (Duden n.d.). In the business environment, the term is generally used for IT platforms, i.e., hardware and operating systems on which various application programs run. In the context of restructuring projects, the term can be expanded to include the dimensions of "communication" and "collaboration." The three most important platforms in restructurings are schematically represented in Fig. 8.1.

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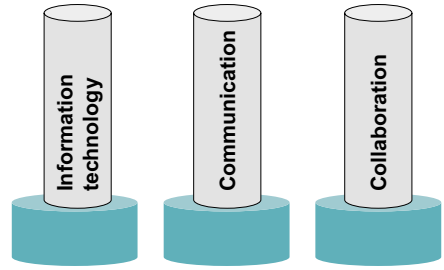


Fig. 8.1 Platforms of restructuring

8.1 Information Technology Platforms

Corporate restructurings are a good opportunity to review a company's IT platform for its future viability. This is especially true as we are in the midst of the fourth industrial revolution. Its result, Industry 4.0, is commonly defined as "the beneficial networking of people, machines, products, systems, and companies along the value chain and over the product lifecycle. This aims to produce more efficiently or productively and generate more customer value." (Industrie 2025 n.d.) In times of digital transformation, there are even increasing reports that inappropriate or outdated IT platforms have brought some companies into economic distress.

In **Industry 4.0**, the following technology fields are cited as its foundations:

- Digital twin (digital twin/cyber-physical systems)
- Smart factory (smart factory)
- Internet of Things (internet of things/IoT)
- Big Data
- Cloud computing

The term "**cloud**" stands for software and services that are run on the internet instead of on local computers. This is accompanied by a new business model. Software and services for internal and external use are neither developed in-house nor purchased and installed on-site, nor are they activated as a license with their acquisition costs in fixed assets. Rather, it is a lease-like contractual relationship, e.g., time-limited use for ongoing fees (Pfitzer n.d.). Activation is therefore not permitted. The ongoing fee must be expensed as incurred.

When it comes to deciding which software and services to rent, the following categories are distinguished (Watts and Raza 2019):

- **Software as a Service (SaaS)**
  Software as a Service is the most commonly used option by companies in the cloud market. SaaS uses the internet to deliver applications to its users, which are managed by a third-party provider. Most SaaS applications run directly through the company's

web browser, meaning they do not require downloads or installations on the client side. The most well-known examples of SaaS are Google Workspace (formerly G-Suite), Dropbox, Salesforce, Cisco WebEx, SAP Concur, and GoToMeeting.

- **Platform as a Service (PaaS)**
  Cloud platform services provide cloud components for specific software, primarily used for applications. PaaS offers developers a foundation on which they can build custom applications. All servers, storage, and networks can be managed by the company or a third-party provider, while developers can manage the applications. The most well-known examples of PaaS are AWS Elastic Beanstalk, Windows Azure, Heroku, Force.com, Google App Engine, and OpenShift.
- **Infrastructure as a Service (IaaS)**
  Cloud infrastructure services consist of highly scalable and automated computing resources. IaaS allows companies self-determined access and monitoring of computers, networks, storage, and other services. IaaS enables companies to acquire resources on demand and as needed, rather than having to purchase hardware directly. The most well-known examples of IaaS are DigitalOcean, Linode, Rackspace, Amazon Web Services (AWS), Cisco Metacloud, Microsoft Azure, and Google Compute Engine (GCE).

Internally, an inadequate IT platform can sustainably negatively impact the efficient management and control of resources, fixed and current assets, as well as ongoing business activities. Innovative IT solutions, based on robust and standard-compliant platforms, allow the streamlining of operational tasks. The resources thus freed up can be used more effectively for tasks that ensure the long-term success of the company. This transformation of workflows allows for continuous and economical adaptation to constantly changing customer needs. A prerequisite for this is the merging of digital information flow and the physical world. Each physical object has a **digital twin**. The physical object thus exists both in reality and in the virtual digital world. Equipped with integrated sensors, mini or microcomputers, real objects can be influenced through the digital information flow (**Internet of Things**). Those who follow Formula 1 closely know how precisely the command centers of the respective teams are informed about the status of their two vehicles. In case of an emergency, they can solve technical problems during the race or provide the driver with relevant information. In medicine, surgeons perform operations on patients even though they are physically in a completely different location. Airplanes constantly report important parameters to the airline's technical center during the flight. If a technical problem is anticipated, it can be immediately fixed after landing as part of preventive maintenance, even before any damage occurs.

In the production environment, the term **smart factory** is used in connection with Industry 4.0. In this concept, the digital twins are networked with each other via the Internet of Things along the entire value chain. Thus, the machines of a company autonomously communicate with the machines of the supplier. They recognize when the stock of required parts reaches a critical point, trigger the procurement process, and thus ensure uninterrupted production in the company.

Many entrepreneurs and managers are deeply impressed by such application possibilities. Some of them even feel pressured to do something in the field of Industry 4.0 now. If a restructuring is also taking place, where a lot can/must be tidied up anyway, the call for IoT, for example, quickly arises. Fundamentally, restructurings are indeed a good opportunity to address the topic. Because the step into the connected digital world requires the company's willingness for fundamental change. Numerous insights into business practice show that many companies want to use IoT. However, they are not ready for this concept or the underlying technology because they do not want to open their systems to third parties. On the other hand, there are companies that are open to profound changes but have only a very vague idea of what they want to do with it and what purpose it ultimately serves. Therefore, the digital transformation of a company must be based on a solid **digitalization strategy**. The company must have a clear idea of where it is today and what position it wants to take in a certain future. The digitalization strategy provides the answer to how elements of Industry 4.0 can help the company achieve its target position. Engaging with the technology fields of Industry 4.0 should not be an end in itself but must strengthen the company's competitiveness.

▶ **Ensure that the digitalization of the company does not become an end in itself. Be clear about what you want to achieve and only then ask how digitalization can help you with that.**

This is all the more true as the question of standardization represents one of the greatest challenges in the field of Industry 4.0. Expensive investments in new IT platforms, whether self-developed or purchased, can turn out to be complete misinvestments in the worst case if the own solution is not compatible with a (future) industry standard. The horizontal and vertical integration postulated in the context of Industry 4.0, as well as the continuity of engineering over the entire lifecycle, is to be realized according to the current state of affairs with the reference architecture model RAMI 4.0 (Zehbold 2022). Since further waiting is not a real alternative given the increasing dynamics of digital transformation, it is recommended, on the one hand, to use industry-oriented software and data solutions that are operated on currently globally leading technology platforms. On the other hand, the above-mentioned cloud computing concept reduces the technological and financial risk.

With the progressive realization of Industry 4.0, companies generate an ever-increasing amount of data with their ongoing user applications (**Big Data**). In addition to their use for optimizing internal processes, new business models can also be generated. Data or the information generated from it can thus become a product or service for third parties. The larger the data stock and the more relevant and up-to-date the information generated from it, the greater the business potential for the company. The storage of large amounts of data is no longer a handicap. Storage media are now comparatively inexpensive and available in sufficient quantities. The timely processing of large amounts of data, such as georeferenced and timestamped data from moving objects, and the

provision of information in real-time, still represents a technological challenge. Small IT companies have already developed useful solutions here and there. However, large companies often hesitate to adopt these because they have often already invested immense amounts in developing their own, albeit not always functioning, solutions. Useful and functioning solutions from smaller third-party providers are then often hidden from important decision-makers with considerable effort.

In external relations, a distinction is made between industry-related platforms and end-customer platforms. The digital platforms of major providers such as Apple, Google, Microsoft, Amazon, or Alibaba are well known in the consumer sector. These companies almost exclusively share the global market among themselves and have become the highest-valued companies in the world. However, there is still room for design in industry-related platforms. Here too, scale effects play a decisive role in success. The more other companies have access to the cloud (external data storage) through their own applications (apps) and can offer digital, data-based products to their customers, the greater their chances of success. In addition to predictive maintenance, car-sharing solutions, and the sale of cars and insurance, more and more other services are being sold via corresponding IT platforms. Industry experts expect that two to three platform providers will establish themselves per industry (Giersberg 2017).

There is no way around the necessity of adapting the IT infrastructure to one's own needs and the needs of the market and continuously maintaining it. Relying on standard solutions, where available, reduces the risk of bad investments and allows access to a large number of potential customers, whether in the consumer or business customer segment. On the other hand, the company misses the opportunity to stand out from the crowd. However, differentiation should still be possible through the corresponding own user applications.

When answering the question of how extensively and intensively information technology platforms are used by a company, it should finally be considered that most business transactions are still conducted between people. For example, based on extensive big data analyses, a company can calculate the optimal selling price to achieve its revenue goals. In a sales context, however, an employee can still offer a better or lower price. Even if the analyses say he should not do so, he will offer a better price to a customer with whom he enjoys doing business. This personal interaction within a company and between companies is important. Ultimately, it defines the culture of the companies. The more digital the corporate culture becomes, the more work turns into a transactional relationship. This is accompanied by working to rule and the loss of loyalty to the company. In such an environment, there is no room for empathy and going the extra mile. But especially in crises and during restructurings, the company and you as the restructuring manager rely on the above-average commitment of people. The images of the self-sacrificing nursing staff in hospitals during the Corona pandemic are just one of many examples that illustrate this. The sensible and value-creating use of IT platforms and the building and maintenance of interpersonal relationships do not have to be contradictory. Many companies cannot always fully satisfy their customers in crisis situations. In

a purely digital culture, this means the end of the business relationship. However, if the relationship component is taken into account, the human judgment of the customer(s) can help the company through a period of weakness.

8.2 Communication Platforms

Communication platforms are distinguished between platforms for internal communication and those for external communication.

Corporate restructurings usually bring about a change that affects all employees of the company. In this respect, **internal communication platforms**, on which information is systematically exchanged between the restructuring managers and the workforce, are of great importance. The term information exchange was deliberately chosen because restructuring is not just about conveying the messages of management or the restructuring managers to the employees. The ideas and feedback from the workforce can also significantly contribute to the success of the restructuring. "If Siemens knew what Siemens knows," is a frequently quoted saying by Heinrich von Pierer, the former CEO of Siemens AG. Recognizing this treasure trove of knowledge by the restructuring managers, setting up appropriate communication channels, and consistently using this information in the project can positively influence the restructuring results. Some restructurings could have been prevented if some ideas and information from the workforce had reached the company management in time and had been incorporated into their decisions. But even during the restructuring, a flow of information from the workforce to management is helpful. Despite the competence of the restructuring team, you should never forget that the employees know their operational business better than you do. You were entrusted with the task as a restructuring manager because you are a capable manager. But you probably did not grow up in the respective operational business or you left it behind a long time ago. So, listen to the employees. Some of them will tell you that the restructuring is not necessary. Especially in traditional companies, you hear from employees that it is not necessary to change things because it has been done that way in the company for decades. These employees will neither ask themselves nor you how things can be done better. But some employees know what went wrong and also have ideas on how things can be improved. Involve these employees in the restructuring project and give them the recognition they deserve as part of the solution in advancing the organization.

Ideally, you will need someone to filter out the signals from the flood of information and ideas from the employees that are relevant to the success of the restructuring project. A well-known saying goes, "Success has many fathers, failure knows only one." Under all circumstances, ensure that the person who has a good idea also gets the opportunity to show you where it leads, and be careful not to sell this idea as your own. This will irrevocably destroy the communication platform. For something to change in a company, it needs someone who allows and drives the change. Your task as a restructuring manager

is to take up relevant information or good ideas, move them through the system, implement them beneficially for the company, and share the success visibly with the original idea giver. This inclusive management can help you advance the company and its restructuring even further.

Of course, it can happen that you miss or misjudge information or ideas and consequently make a wrong decision. Additionally, during restructurings, quick decisions sometimes have to be made. Even then, mistakes can sometimes happen. Ensure that you have enough leeway for mistakes and their correction. Learn from these mistakes, do not repeat the same mistakes, and also give others the freedom to make and correct mistakes. Naturally, the thought always lingers in the back of your mind that we are doing the restructuring because mistakes were made in the past. In this respect, this must not happen to us. However, an organization that is not willing or able to deal with mistakes professionally will sooner or later destroy itself anyway. Even a flawless restructuring is nothing more than an illusion.

In the face of impending or ongoing changes, silence is tantamount to a lie. Therefore, comprehensive changes, such as corporate restructurings, must be accompanied by comprehensive and continuous communication and change measures. The definition and implementation of specific measures are the responsibility of those in charge of the restructuring. It is best to develop a detailed communication plan for the respective phases of the restructuring.

During the preparation phase, I recommend communication within a very close circle, for example, within the first two management levels of the company. On the one hand, there is little concrete information to share. On the other hand, communicating vague information broadly would only fuel the rumor mill within the company and distract from day-to-day business. However, the company's executives should have information about the considerations being made and the core messages of the planned restructuring. Apart from being a sign of their appreciation and their welcome substantive contributions to the design of the restructuring, they are immediately able to provide information in the event of a communication leak if they are approached by their employees about the restructuring.

At the start of the restructuring, the recipient circle should be expanded to include the entire workforce. Employees should be continuously informed about the current status of things. Especially at the beginning of the restructuring, the reasons and goals of the restructuring must be communicated to the employees in an understandable manner. If foreseeable, the consequences for them can also be disclosed.

As the restructuring progresses, the first success stories of the restructuring should be brought to the forefront. But setbacks and the lessons learned from them should also be openly communicated to the workforce.

During the implementation phase, the following **internal communication platforms** are available to you, which you can design according to the corporate culture:

- **Employee Newspaper/Newsletter**
  At regular intervals, employees are informed about the current status of the restructuring. For example, at the beginning of the restructuring project, the following questions can be proactively answered:
  - Who is leading the restructuring or who is carrying it out?
  - Who are the contact persons for questions about the restructuring?
  - What can/should be said in conversations/phone calls about the restructuring?
  - What is the restructuring budget?
  - What is the restructuring goal?
- **Posters**
  Posters can be placed in the company, which briefly and concisely summarize the perspectives for the company that result from the restructuring.
- **Intranet**
  Regular information and special news about the restructuring can be communicated to the workforce via the intranet. One option in this context is the use of a landing page where the latest information about the restructuring is summarized. Every morning, employees are automatically directed to this website when they boot up their computers.
- **Email Address for Questions**
  Apart from communicating the essential restructuring messages to employees, a special email address can be set up and communicated, through which employees can submit their questions, suggestions, and criticisms. Involving the workforce in the concrete design of the restructuring increases the quality of the measures initiated and the acceptance of the project among employees.
- **Use of Social Media Platforms**
  The use of social media platforms is recommended not only for the younger part of the workforce. Below are some figures that support this (Kemp 2023):
  - The number of social media users worldwide increased from 1.72 billion in January 2013 to 4.76 billion in January 2023
  - 53.2% of social media users are between 20 and 39 years old
  - The daily time spent using social media increased from 01:37 minutes in the third quarter of 2015 to 02:31 minutes in the third quarter of 2022
  - The share of social media in online time increased from 26.3% in the third quarter of 2013 to 38.0% in the third quarter of 2022
  - Internet users aged 16 to 64 used an average of 7.2 social media platforms in January 2023
  - The most used social media platforms worldwide in January 2023 were Facebook with 2.96 billion users, YouTube with 2.51 billion users, WhatsApp and Instagram with 2 billion users each, and WeChat with 1.31 billion users.

▶ **We live in a world of constant change. Therefore, be open to new communication platforms as well.**

The use of this communication platform increases the likelihood that restructuring-relevant information, especially with the younger workforce, will be exchanged. Another advantage of social media lies in bidirectional communication. Besides a flood of information less relevant to restructuring, the comments can capture the mood of the workforce on the one hand. On the other hand, interesting suggestions or recommendations for restructuring outside the known paths can always be found.

- **Roadshow, Fireside and Video Conversations**
  To further intensify the dialogue with the workforce, direct conversations with employees at the operational level should be sought. In the case of multiple company locations, roadshows can provide those responsible for restructuring with deeper insights into the potential difficulties and additional success potentials of the restructuring. The same applies to the formats of fireside and video conversations.
- **Workshops**
  If significant changes are imminent during the individual stages of the restructuring, suitable workshops can be organized for the executives. External experts can also be brought in to help managers prepare and implement the changes. Moreover, these workshops are an excellent platform for the exchange of experiences among executives. In addition to discussing restructuring-relevant topics, this can also build and expand the dialogue in day-to-day operations.
  During the merger of Mobilkom Austria and Telekom Austria, the workshops were aimed at involving employees in the development of the new company to generate innovative ideas for a common future (Bredl 2011).
- **Ambassadors of Restructuring (Change Ambassadors)**
  The larger the company, the more difficult it is to establish comprehensive dialogue with all employees. To keep the mutual communication channels as short as possible, special employees can be trained as ambassadors of restructuring in all parts and at all levels of the company. Their main task is to support the restructuring or change process by acting as clearly marked microphones to capture the mood and thoughts of the employees on-site, thus providing the restructuring managers with impulses and suggestions for further development of the internal communication platform. On the other hand, they act as loudspeakers, filtering out the restructuring information relevant to the respective recipient groups and conveying it in a more understandable manner. The use of restructuring ambassadors as sparring partners in the change process, in particular, allows the restructuring managers to exchange the right information with the different areas and levels of the company both in terms of content and timing.
  In the A1 Telekom Austria project, a "Change Ambassadors" program was launched with the official start of the restructuring. Trained employees from across the

company supported the change in their immediate environment. One of the central tasks of the Change Ambassadors was to inform their immediate environment about the change and its background. At the same time, the Change Ambassadors also took on an ombudsman function, acting as a voice for the concerns,
questions, and problems of their colleagues to the management. (Bredl 2011)

- **"Icebreaker" Event**
  Every restructuring brings changes. And changes usually encounter more or less resistance in companies. To overcome the resistance, they can repeatedly reiterate the foundations for the realignment, inform employees about the progress of the restructuring, directly address the concerns of the employees, alleviate their fears, and try to lift their spirits. Especially in an emotionally tense restructuring context, you should consider an "Icebreaker" event. The goal of such an event is, on the one hand, to reduce resistance by consciously addressing the emotions of the employees positively. On the other hand, it aims to create a sense of community for the restructuring project. There is no patent solution for what kind of event it should be and how it should be designed. Therefore, the restructuring managers must engage intensively with the company's history and current culture to press the "right buttons."
  During the merger of Mobilkom Austria and Telekom Austria, the final event at the Ernst Happel Stadium in Vienna, with around 5000 employees from both companies, formed the emotional highlight of the change (Bredl 2011). Without knowing who was sitting next to, below, or above them in the stadium stands, the employees spent an extremely entertaining afternoon. You can view the TV commercial produced during the event on YouTube http://www.youtube.com/watch?v=9HwWpVY2K_E. The crucial experience for the employees during the event was that former competitors could quickly create something new together and have fun doing it. True to the motto of A1 Telekom Austria Sports "We create opportunities."

With the successful completion of the restructuring, I recommend communicating the (success) story of the restructuring to the various stakeholders once again. After that, the responsibility for communication within the company returns solely to line management.

"Do good and talk about it" is a fundamental principle of any **external communication**. Especially companies that have fallen into a crisis usually had few good news to announce over a certain period. It is all the more important to draw positive attention to oneself again with the start of restructuring and the first successes. The four main messages are

- "We are still here,"
- "There are significant (positive) changes in the company,"
- "This is where we want to go," and
- "This is our way there"

The communication of these messages should be widely disseminated on the one hand, so that as many stakeholders as possible learn about the restructuring and its positive

effects. For particularly important stakeholders such as key customers or regulatory authorities, personal contact by the company's leadership is also important. This is to ensure that the restructuring messages are properly received by these recipients. On the other hand, it is important to begin regaining any lost trust. In any case, communication must become an ongoing process. A company does well to inform its external stakeholders as needed about the progress of the restructuring. As time progresses, restructuring-relevant information in communication decreases and is replaced by current information from day-to-day business. In this normal mode, it is advantageous if the company enables interactive communication with its stakeholders in general and its customers in particular. This strengthens the bond between both communication partners. Proven concepts or best practices can be used for this.

In the following restructuring case, it is about a company in a context-driven environment. There was no professionally managed communication between the company and its external stakeholders. In a kind of "Wining & Dining approach," company representatives met spontaneously and independently with their respective external stakeholders. Newer communication platforms such as the Internet or social media were hardly used. There were no classic communication forms such as a company brochure. With the restructuring, the company decided to take a more professional approach. And so they began to systematically exploit various external communication platforms. In the automotive industry, it was and is widespread for potential customers to configure their desired car using a configurator and then possibly speak with a sales advisor. The company adopted this functionality and integrated it into its communication platform. It was thus a pioneer in its market. In a comparatively short time, the company's image transformed from a dusty backyard operation to a proactive trendsetter in customer and market communication. The company used this momentum and invited to a major event. All relevant external stakeholders, including the press, were invited and they heard the following key messages:

- After years of silence, we are back on stage,
- Thank you for your patience and good cooperation during the restructuring,
- look at the organizational progress the company has made,
- look at the product improvements and innovations we can offer, and finally
- an outlook on what to expect from the company in the future.

However, communication is not a one-way street. **Active listening** to what the other side has to say greatly expands one's own horizon. Let's take a mobile phone as an example. If it is turned on and we are asked what we see, the answer will usually be: a glowing screen with various application icons. If we now ask our counterpart what he or she sees, we will receive feedback: the back of the phone, the camera, the manufacturer's name/logo. If each insists on their perceived reality, the communication partners will have a hard time reaching a common perspective. The openness to exchange information about the different perspectives on one and the same object of consideration contributes to a

more complete and mutual understanding of the object. It often becomes clear that the realities of the respective sides are shaped by their own perceptions. This also explains why the roots of some conflicts are less fact-based and more on an emotional/personal level. Arguing continuously on the factual level will not solve the problem; worse, it will only provoke the other side even more. Such situations repeatedly arise in restructuring projects. Unfortunately, you will rarely be pointed to the emotional historical backgrounds. Nevertheless, you should make the effort to also consider the perspective and background of the other side. Your view of the overall picture will sometimes reveal surprising things about your clients. In any case, you will sustainably increase your chances of success. However, this does not mean that you solve the emotional/personal conflicts of others. Make this clear to all parties involved from the beginning.

- **Communication is not a one-way street. Listen carefully to your counterparts and ask them questions. Incorporate new insights into your opinion formation and do not insist on your positions.**

In one company, the collaboration with a business partner had escalated over the years and reached a deadlock. Each side had their supposedly factual arguments. Nevertheless, the restructuring team sought dialogue with the other side to solve this problem as well. It turned out that the business stalemate was less due to factual problems and more to the clash of egos of certain decision-makers in the respective organizations. However, none of the egos was willing to give in. As long as this constellation existed, a professional solution to the factual issue was unthinkable. As a result, the restructuring of the company itself was successful. However, the relationship with the said business partner remained problematic.

If you are drawn into ongoing or new legal processes during restructurings, always first examine your personal (real) legal situation. Under no circumstances should you engage in legal proxy wars where you could be held personally liable. Avoid becoming part of the problem and ensure that you always are and remain part of the solution. Always behave and act professionally, even in highly context-driven environments. Experience shows that this confuses the "system" and makes you unpredictable. The British government's wartime slogan "Keep calm and govern on" is also wise advice in the less dramatic context of restructurings.

8.3 Collaboration Platforms

My grandfather taught me that there is no shame in not knowing or being unable to do something. However, it is very shameful not to ask for support in such a case. Restructurings bring a multitude of tasks from various fields. Therefore, it is likely that even the most experienced restructuring manager does not possess all the relevant competencies.

Collaboration with competent internal and external partners makes it easier for you to manage your task and increases the chances of success.

The success of any manager depends on the strength of their **team**. Apart from the already mentioned selection of internal employees based on positive selection criteria, it is also advisable to rely on external experts. These should ideally be involved right at the beginning of the restructuring process. Specialized lawyers and communication and media experts can help you set up and communicate the restructuring project correctly. This is especially important as many eyes are on you at the beginning of the restructuring process, and you are being closely watched. Examining the existing legal basis is of particular importance. In the worst case, you can avoid entering a battle you cannot win early on. Alternatively, you can adapt your project to the legal framework and communicate this clearly to your clients.

The **customers** of a company are one of the most important collaboration partners. The success of any company in a competitive environment depends on the satisfaction of its customers. Customers served by a company in distress have likely had to make many compromises. The beginning of the restructuring is an important milestone in collaboration with customers, as it initiates an improvement in their situation. Therefore, business customers, in particular, should be proactively informed about the restructuring project. Besides the obvious reasons for the restructuring, the specific (positive) impacts on them and the project progress should be communicated. The latter allows the company to receive timely feedback from customers on whether the restructuring is actually bringing the expected improvements in collaboration on different levels (communication, processes, products/services, etc.).

A permanently successful collaboration requires mutual trust. Therefore, especially during the restructuring phase, do not make promises to your customers that you cannot fulfill later in terms of contractual obligations. Also, do not downplay the (poor) initial situation of the company. Address the existing problems openly, show the way to solve them through the restructuring of the company, and highlight the benefits for the customers.

Trust is also required internally. Restructurings sometimes resemble a roller coaster. After steep initial successes, there are always downturns and setbacks. Prepare the **workforce** for this roller coaster ride by incorporating the latent risks of a restructuring into the employees' expectations. And especially during interim downturns, seek dialogue with employees to keep motivation high and maintain the upward performance trend of the organization. Inform the workforce openly about what is happening and do not downplay the situation. But also show how you will (over)compensate for the setbacks and how important the cohesion of the entire organization is for this. Finally, you can refer to the initial successes already achieved together, which now need to be repeated. Individual employees or entire organizations that have already lost faith in a better future and see setbacks only as confirmation of their attitude can/must be repeatedly brought back to the positive restructuring path, among other things, by referring to their own

previous partial successes. Mutual trust between restructuring managers and employees is, in my experience, one of the most important platforms for long-term successful collaboration. However, trust cannot be bought or forced. It must grow over time. The more authentically the restructuring managers communicate and act, the faster this trust builds up among the workforce. When employees pull together in the restructuring effort, initial successes are achieved. These make it easier for the restructuring managers to rely even more on the workforce.

▶ **In an increasingly complex working world, division of labor is a must. Ensure pleasant and efficient forms of collaboration both internally and externally.**

A company managed to achieve a turnaround through its restructuring. The organization had practically experienced firsthand that through structured work and temporarily exceptional effort, in terms of workload, (re)building the customer network, and creative solutions, the seemingly impossible could be achieved. Due to special circumstances, the growth rates of revenues temporarily dipped back into the negative. However, the organization had already gotten a taste for success due to the recent achievements from the restructuring. During this phase, the entire management worked intensively with the sales team. They repeatedly referred to the work done so far, celebrated the successes of individual employees, and created a sustainable "now more than ever" atmosphere. Almost in a trance-like state, the sales employees tapped into every new revenue potential that presented itself. In doing so, the employees sometimes used unconventional and very creative methods without being prompted. The resulting renewed revenue growth was used by the company as fuel for the next boost of confidence in the restructuring. Thus, the entire workforce moved into a positive spiral of trust and success. The company developed organizational resilience. Further occasional setbacks no longer led to collective lethargy but were either classified as normal or even used as motivation for additional commitment and new successes.

In the chapter "Plan," Porter's concept of the five competitive forces was already explained. Suppliers and customers, in particular, can exert strong pressure on a company if they decide to diversify into the company's own business. In the telecommunications industry, the planning, expansion, and operation of networks were long considered the core competencies of an operator. Meanwhile, many suppliers have been able to convince their customers that it makes sense for them to give up the operation and maintenance of telecommunications networks and transfer them to the suppliers. Besides financial arguments, technological competencies and the increasing importance of the interface to the end customer play an important role in decision-making. However, the example shows how drastically the basis for cooperation between the company and its suppliers can change. Similar tectonic shifts are occurring in many other industries as well as at the interface between the company and its (former) customers.

The latter scenario also played out at a company whose core business was a significant lever for some of its customers' own businesses. It was therefore obvious that

these customers were considering diversifying into the company's core business and had already taken initial concrete steps in this direction. The restructuring manager quickly realized that supplier diversification into the company's core business required new collaboration platforms. A power play with the customers was not an option due to the balance of power. Instead, it was about developing and implementing new forms of collaboration. The corresponding considerations were integrated into the ongoing restructuring project. The company then developed a new business model operated by a separate organizational unit. In a kind of partnership, the company provided the (former) customers with access to technology, professional project management, and access to certain market segments for a corresponding fee. Instead of taking a confrontational course, a new cohabitation platform was created as part of the restructuring.

Externally, restructurings offer the opportunity to scrutinize entrenched and possibly no longer effective forms of collaboration with suppliers and customers. The better has always been the greatest enemy of the good. Especially with forms of collaboration that have been maintained for many years, questioning the previous collaboration platform also represents an emotional hurdle. Particularly when the previous and current results of the collaboration do not yet indicate acute problems and a good relationship has developed on an interpersonal level, companies hesitate to proactively address the issue. On the supplier side, this means missing out on cost-saving potentials, access to new relevant know-how, etc. However, if the problems due to the previous type of collaboration have become apparent or the company has very limited options to optimize operational expenses, companies find it easier. Unfortunately, the pressure to achieve results is then significantly higher, and the probability of success is lower due to the limited time frame.

For the reasons mentioned above, it is advisable to regularly conduct tenders already in day-to-day operations. Existing and potential new suppliers can demonstrate their potential to improve the company's performance. On the other hand, the need for insourcing may arise as a result. In the context of restructurings, all this must be accomplished under time pressure. Nevertheless, for the reasons mentioned above, it is advisable to tender all OPEX and CAPEX positions at the very beginning of the restructuring project.

At a company, the previous way of collaborating with all suppliers was reviewed as part of the restructuring. In certain cases, the procurement of the corresponding products and services was then re-tendered. The restructuring manager was quite astonished when the shaken collaboration networks showed their first reactions. In a context-driven environment, attempts were made to woo her and integrate her into side agreements. When the manager categorically refused, this initially caused some suppliers to be puzzled. Some of them interpreted this as the restructuring manager being dissatisfied with "their" terms and subsequently increased their beneficial contributions. When this also did not help and the manager even threatened to escalate the situation, they resigned themselves to their fate and henceforth tried to convince with professional arguments within the framework of the tenders. Apart from some negative comments about the restructuring manager, there were no more serious negative reactions. The savings realized through the

tenders were more than enough consolation for the manager. More importantly, the company gained valuable new solutions from the suppliers. These were integrated into the company's own service portfolio and helped the company further differentiate itself from its competitors in the market.

Specifically, the tendering process began with an **ABC analysis**. All supplier positions were analyzed for their contribution to the results:

- A-parts: high contribution to results
- B-parts: medium contribution to results
- C-parts: low contribution to results

As part of the tender, the company gained valuable information about the price and quality structure in the supplier market. This allowed for a more accurate assessment of the collaboration with the existing suppliers. Among other things, it turned out that one of the suppliers had an exclusive position in the company, without this being justified by particularly high quality or significantly lower prices. Based on benchmarks from the tender, the company began to redistribute the procurement volume among the suppliers. The previous exclusive supplier tried to stay in the game through partly unprofessional steps. For the restructuring manager, this was just another reason to reduce communication and procurement volumes with this supplier to a minimum. Shifting the volumes to new "hungry" suppliers opened up access to new innovative solutions for the company at affordable prices. Ultimately, the previous sole supplier also relented and began to professionally compete with its competitors for orders from the company.

The two examples show that it is worthwhile to stand up for a good cause and not to give in to unprofessional offers or threats. Even in context-driven environments, a professional and straightforward approach is possible and pays off. Remaining professional and behaving unexpectedly for your unprofessional counterpart only drives your "enemies" crazier.

A particular challenge with international collaboration platforms is the international service agreements. These usually involve the paid use of licenses, intellectual property, technical support, or management support. These are provided by affiliated foreign organizations for the company's own benefit. Unfortunately, this "instrument" is repeatedly misused in business practice for untaxed profit transfer abroad. A restructuring is a welcome opportunity to eliminate any grievances through a transfer pricing regulation or transfer pricing study. As has been emphasized several times, as a restructuring manager, you always do well to always operate on solid legal (local) ground. Also, consider less well-known **international legal regulations**.

"In the context of IT security, the term SOX often comes up. The term is an abbreviation for the Sarbanes-Oxley Act, a US law from 2002. … It includes regulations on which data companies must disclose and applies to all companies listed on US stock exchanges and their subsidiaries. The aim of the law is to protect investors' trust through this disclosed information. … Problems arise legally from the fact that SOX

requirements are sometimes not compatible with German regulations. For example, if a stock corporation based in Germany is also listed on a US stock exchange, the board members are personally liable for damages under SOX—under the German Stock Corporation Act, a board member is only liable for damages to the company, but not to shareholders or third parties. Legally, a German board member of a subsidiary of an American listed company faces personal liability for faulty management. If damage to the investor is also caused by gross negligence or even intent, fines and imprisonment may also be added." (Brennecke and Partner 2007)

Furthermore, always keep in mind that as a board member of a stock corporation, the representatives of the parent company are not allowed to give you any direct instructions regarding the restructuring. This is solely the responsibility of the company's general meeting or its resolutions. In a limited liability company, the owners can give you direct instructions as a managing director. However, always ensure proper written documentation. And never rely on supposedly reassuring statements from your clients that nothing will go wrong and if it does, they will hold you harmless. As soon as the matter reaches the hands of the judiciary, your clients will quickly withdraw and refer to your (local) decision-making authority.

If the company has many suppliers and customers, it is difficult to keep track of the status and quality of the collaboration. Modern **information technology platforms** can be a great help. A relatively easy-to-implement approach is contract management systems. The implementation of a professional, efficient, and simple software solution allows, for example:

- the digital storage of documents,
- the easy search of documents or text passages,
- the quick access to contract history,
- the early warning regarding contract expiration,
- the execution of profitability analyses,
- etc.

In comparison, the introduction of a Customer Relationship Management (CRM) system on the customer side is technically and organizationally much more demanding. "CRM is understood very comprehensively as a strategic approach that is used for the complete planning, control, and execution of all interactive processes with customers. CRM encompasses the entire company and the entire customer lifecycle and includes database marketing and corresponding CRM software as a control tool. The goal is to achieve optimal customer orientation" (Holland 2014). Companies repeatedly attempt to solve all their structural and procedural organizational problems as well as technological inadequacies by introducing a state-of-the-art CRM platform. Instead of focusing on optimizing the interface with the customer, they ultimately try, unsuccessfully in practice, to create the jack of all trades.

In the case of two companies, both of which were struggling with problems on the customer front, the temptation was great to use the restructuring for the implementation of CRM systems. The decision for such a system and its implementation should depend on the respective cost-benefit analysis. At Company A, the restructuring manager was aware that revenue was essentially generated from the personal contact of sales representatives with customers. Therefore, it quickly became clear that an elaborate IT solution was not necessary. They decided on a simple software solution that supported the sales team in planning and executing their activities. Thus, functionalities such as

- Monitoring service delivery in real-time
- Automated reporting to customers upon performance fulfillment
- Status of available capacities
- Reminder of contract expiration
- etc.

were introduced.

Company B, on the other hand, repeatedly attempted the grand solution—and failed again. A sheer overwhelming number of people participated in the project team's meetings with representatives of the external system integrator and employees from all relevant company areas. Everyone felt compelled to assert their concerns. Thus, they exhausted themselves in internal trench warfare and ultimately lost sight of the customer entirely.

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Building Block 6: Portfolio

9

Abstract

The product and service portfolio of a company can be both the cause of a company's difficulties and the key to its future success. In this context, past and current success is no guarantee of the company's future success. Use restructuring to create a balanced and sustainable product and service portfolio. Restructuring does not mean that everything in the company has to be changed. Carefully consider which changes are actually necessary for the sustainable success of the company, and stick to existing good solutions. The strategic directions of restructuring are thus improvement, streamlining, and/or innovation.

Do not ask yourself how much a product or service must cost, but how much it may cost. Restructuring allows you to design the organizational structure and processes of the company in such a way that the cost targets derived from target costing and the associated competitiveness can actually be achieved.

The product and service portfolio of a company can be both the cause of a company's difficulties and the key to its future success. Past and current success is no guarantee of the company's future success. "Many companies fail not because they do something wrong or mediocre, but because they do the right thing for too long… In the face of discontinuities and disruptions, convergence, and intense global competition, companies must adapt their business models…" (Doz and Kosonen 2010). Adapting the organizational structure and processes to new conditions without taking stock and examining the future viability of the current product and service portfolio would thus be negligent.

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▶ **Past and current successes are no guarantee of a successful future for the company.**

I have already pointed out several times the importance of having and implementing a strategy for the success of a company. However, we should be aware that we live in times when it is less the company itself and more its products and services that are perceived by the market and customers. Therefore, in addition to the corporate strategy, a **product strategy** is needed, which defines how the company positions its offerings in the market (**positioning strategy**).

If an adjustment of the service portfolio is made, this is a good opportunity to also review the price level of each component.

9.1 Composition of the Portfolio

The **BCG Matrix** developed by the Boston Consulting Group is one of the best-known tools of portfolio analysis. The products and services of a company are analyzed with regard to their current contribution to results, especially the generation of positive cash flow, as well as their potential future contribution to results for the company. The latter dimension is based on the concept of the product life cycle. Accordingly, each product or service goes through a process that ranges from market introduction to intensive market use to market withdrawal. Furthermore, it is assumed that intensive use of the product in the market or a high relative market share corresponds to a high contribution to results.

The BCG Matrix from Fig. 9.1 consists of a coordinate system with two axes and four quadrants. The x-axis represents the relative market share, while the y-axis represents the percentage market growth. The higher the relative market share of a product or service, the higher its contribution to results (in the form of cash flow). High market growth signals that the product or service still has a long and significant success ahead. From the positioning of all its products and services in the matrix, the company gains an informative overview of its offerings. Each of the four quadrants is labeled with a name/category, and there is a normative strategy for each quadrant (Schawel and Billing 2018):

- **Question Marks**
  Question Marks are products and services at the beginning of their product life cycle. They have market growth, but the relative market share is (still) low. This category can either develop into a successful product (Star) or must be withdrawn from the market (Poor Dog). The company must decide whether it wants to invest more money in the product or service, without a guarantee of success. The decision must be timely and well-considered, as Question Marks often initially generate a negative cash flow.
  Normative strategy: Selection—the company must decide whether to divest or provide financial support.

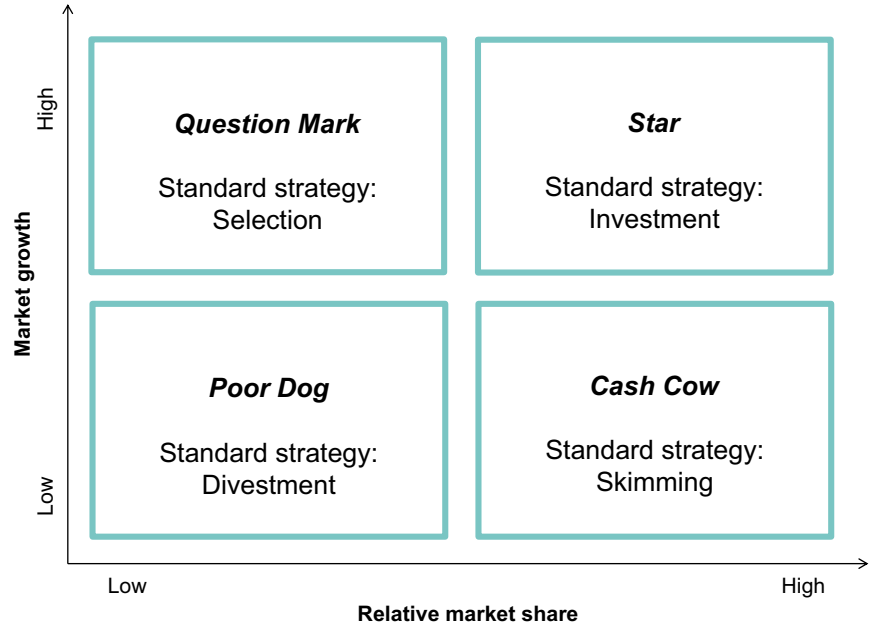


Fig. 9.1 BCG Matrix

- **Stars**
  Stars are products or services that have a high relative market share and high market growth and are at the peak of their life cycle. It is worthwhile to continue investing here so that the product can maintain this position. The demand for this product is high, so Stars generate a positive cash flow and pay off for the company.
  Normative strategy: Investment—the company continues to invest in the product or service to increase profits.
- **Cash Cows**
  Products or services referred to as Cash Cows have a high relative market share, but market growth is low. However, low growth does not mean that the product life cycle is over. Rather, demand is constant. The company benefits from steady revenues and should "milk" the product as long as possible. Cash Cows generate a positive cash flow and can maintain their market position without significant investment.
  Normative strategy: Harvesting—benefit from constant profits without making significant investments.
- **Dogs**
  Dogs are products or services that have a low market share and low market growth. They are often at the end of their product life cycle. Due to the almost non-existent demand, the company must consider whether to stop investments or even withdraw the product or service from the market. The cash flow is neutral or negative in this

case, and the company does not make a significant profit from these products or services.
Normative strategy: Divestment—the company reduces its investments to avoid (further) losses.

▶ **Branding follows products & services: Use the restructuring to create a balanced and sustainable product and service portfolio.**

An alternative for assessing and decision-making regarding a company's service portfolio is the constant analysis of **product profitability**. In this process, the corresponding profitability is calculated for each product or service. The prerequisite for this is, first of all, clarity about what constitutes a product. For example, the question of product profitability for a vehicle manufacturer can be answered in many ways: two products if one thinks in terms of passenger cars and trucks. Four, if the type of drive is used as the basis for definition: classic combustion engine, mild hybrid, plug-in hybrid, pure electric vehicle. Several dozen, if the various models and equipment lines are used as criteria. The definition of which products or services make up the portfolio requires consensus within the company.

Another prerequisite is that the company's accounting or controlling department can provide the relevant information. Here, too, the spectrum ranges from simple contribution margin calculations to detailed full cost accounting, taking into account all investments made.

Whatever type of profitability analysis the company decides on, it should start during the planning phase and regularly measure profitability throughout the entire period the company offers the product or service in the market. In this process, planned profitability is compared with actual realized profitability. The analyses can be date-specific or cover a period, for example, from market launch to the present day. In this way, the company knows the point in time when a product or service has covered all its costs through the corresponding revenues and subsequently contributes profits to the company. Furthermore, the company can track how the profitability of a product or service develops over time. At the latest, when profitability declines or the product or service even incurs losses in certain periods, action is required. The company must then decide whether to

- improve the product or service and thus further or again increase its competitive and financial prospects (**Improvement**),
- withdraw the product or service from the market (**Rationalization**), or
- start developing and launching new products or services (**Innovation**).

Figure 9.2 shows these three directions of portfolio management.

During a restructuring, the management's mindset is geared towards changes and innovations. Innovations in the product and service portfolio are the obvious solution in

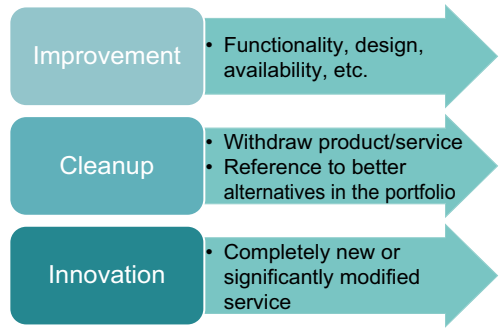


Fig. 9.2 Directions of portfolio management

such a mental environment. Nevertheless, innovations are not panaceas. For example, in recent years, there has been a shift from analog to digital formats in outdoor advertising. However, digital solutions are not always the better solutions for meeting customer needs. If a customer, for example, insists that their advertising message be permanently visible on the panel, digital solutions are a very poor approach. If a static image is displayed on the screen for an extended period, the pixels cannot return to their electrically relaxed state permanently, resulting in the burn-in of an LCD screen. Ultimately, this destroys the screen. Additionally, the costs or prices for delivering the advertising message in digital form are significantly higher than for analog formats.

▶ **Restructuring does not mean that everything in the company has to be changed. Carefully consider which changes are actually necessary for the sustainable success of the company and stick to existing good solutions.**

However, when managing a company's service portfolio solely based on financial metrics, it must be considered that these are a **lagging indicator**. Thus, in cases where products begin to generate selective losses and thereby signal the need for action, the development of innovative and new products may take so much time that it is already too late for the company.

An even more pragmatic approach to assessing the attractiveness and future security of the company's portfolio is to obtain corresponding feedback from suppliers and customers. Besides the company, these two stakeholders know the company's service offerings best. And since the company's success is ultimately decided in the market, customer feedback on the portfolio is a particularly important input for the company. Typically, a company has particularly close contact with its main customers. The company can use this to identify future demand early and incorporate these insights into product development and possibly into the restructuring project. Thus, a future demand may necessitate partial diversification into other industries, which can be realized through the acquisition of another company. However, particularly demanding customers, who can be seen as trendsetters due to their demand needs, are also useful input providers for the portfolio.

In one company, the relatively outdated performance portfolio compared to the competition contributed significantly to the company's difficulties. Some customers regularly complained about the outdated technology of the products and the significantly reduced quality level of the service. These customers used the company's restructuring to clearly point out the weaknesses of the company's portfolio, regarding both products and services. The restructuring team then began to systematically take stock of the performance portfolio from the customer's perspective. This confirmed the weaknesses listed above. Additionally, the analysis revealed two new insights: on the one hand, the company was not utilizing some products based on the old technology that were performing very well elsewhere. On the other hand, there was a significant service demand for the existing products, as maintenance work had been drastically reduced in previous years due to cost pressures.

The time for an update of the company's performance portfolio was therefore more than ripe. The restructuring team also had clear ideas about which changes in the portfolio would be necessary. After all, by looking at various players in the industry, one could get a very concrete picture of what was technologically possible and what was expected by parts of the customer base. However, the company's room for maneuver was limited due to certain circumstances. Against this background, the company could not take up every opportunity presented by the customers. Even though the restructuring team gave the impression of harming itself and the company, the company had to say a clear "no" in some cases.

The restructuring team relied on the strategy of making the best out of the existing base for the portfolio update. The initial question was thus how the company could make its offered solutions, which no longer met the state of the art, interesting for the market (again). According to the marketing wisdom "perception means reality," the company then began to do the same thing in a new way. This way, through the restructuring, the company managed to generate the market perception of having become innovative. Specifically, this meant that

- existing products received an upgrade within the existing technology,
- existing products were given new market-relevant functionalities,
- the existing products received a new visual appearance,
- products that were performing well elsewhere based on the existing technology were introduced into the company's own market,
- new service functions were introduced that complemented the existing product portfolio and made it more attractive to customers, and
- smaller new technological innovations were introduced (e.g., more environmentally friendly components).

The approach was by no means only based on the requests of customers and suppliers. Rather, the restructuring team applied a systematic approach that included a cost-benefit analysis for each individual measure. The company's accounting or controlling was ini-

tially not prepared for this. Starting with a simple contribution margin calculation, the company developed a product profitability accounting system tailored to its needs over the course of the restructuring. Furthermore, every change in the portfolio was checked for its compatibility with the existing solutions. In this way, the company managed to successfully bridge the time until the market launch of fundamentally new technological solutions.

Specific action is required in almost all industries due to digital transformation. The switch from an analog to a digital performance portfolio requires significant adjustments from companies and their employees. In particular, the IT competence of the workforce is a critical success factor. Building this requires significant time and financial investments. Additionally, many companies are vying for IT-savvy employees. On the one hand, there are a few global players whose core competence is digital transformation. On the other hand, there are many small or medium-sized companies for which digital transformation is just one of many components of their business model. When choosing an employer, IT experts are more likely to opt for the perspectives offered by a large company operating worldwide in the digital world. The art of management, therefore, lies in developing competent employees for the future digital world while still in the analog world or bringing them on board from outside. These employees work on solutions for a not yet tangible future demand, which, in addition to the financial upfront investment, also poses a significant motivational challenge for the company.

At the time of a company's restructuring, the entire industry was at a crossroads in digitizing its products. There was no guarantee of returns for the significant investments required in digital solutions. On the other hand, digitization enabled the development of new business models. Additionally, the market began to show interest in digital solutions. Ultimately, the company did not use the restructuring for its digital transformation and missed the window of opportunity to enter the digital world. This reduced the company's attractiveness as an employer for new employees with relevant IT knowledge. Some time after the restructuring, the company tried to make up for lost ground on its own and catch up with the digital market leaders in its industry. However, due to a lack of digital competencies within the company, this did not succeed. Instead, the company had to turn to non-industry suppliers in the IT industry and have corresponding solutions developed there. The suppliers, in turn, recognized an interesting business model for themselves in this, where their IT competence allowed them a relatively easy entry into a lucrative new industry. Thus, suppliers became new competitors, further increasing the competitive pressure on the company.

9.2 Pricing of the Portfolio

Facelifts, updates, upgrades, or innovations are a compelling reason for the re-evaluation of portfolio pricing. The starting point for this is the systematic assessment of the entire portfolio in terms of its profitability. Jack Welch, the former CEO of General Electric,

once put it this way: "Make every product in your company a winner. Don't carry losers around with you." From my own experience, I would not proceed so rigorously. It can be sensible to have some loss-makers in the portfolio if they increase the value of the entire portfolio and thus indirectly compensate for their losses.

In **pricing**, there are two fundamental approaches. The most commonly used method in business practice is the "**cost-plus principle**." In this method, a profit margin is added to the costs of each product or service in the portfolio. Together, these form the market selling price. The advantage of this approach is that it at least mathematically ensures that the company makes a profit with every portfolio element. In practice, however, an unfavorable cost structure and/or excessively high profit expectations can make the product or service too expensive for the market. Consequently, demand remains below planned values, and the company incurs losses. Conversely, adjusting the selling price without an adequate cost structure can also lead the company into the loss zone. However, restructuring the company can help make the organization more cost-efficient and thus able to keep up with market price levels.

▶ **Do not ask yourself how much a product or service must cost, but how much it may cost.**

A more goal-oriented approach is the so-called "**target costing**" or **target cost accounting**. The underlying principle is the question of what a product, service, or individual component may cost to be competitive in the market. The starting point is the price of a product, which is derived from a comparison with the offers and prices of the competition and which customers are willing to pay. After setting this price, the allowable costs for the product and all its components are determined retrospectively, i.e., through a backward calculation.

The following is a simple example: a company plans to introduce a new product to the market. Market studies have shown that the target selling price is €120.00. With this price, the company should be able to achieve the planned sales volumes. Based on the product specifications and planned sales volumes, the accounting or controlling department has provided the following cost estimates per unit (Table 9.1):

The company must now find solutions to reduce the planned costs to the value of the target costs. Possible solutions include

- Streamlining the product to functionalities that are relevant to customers and for which they are willing to pay
- Using cheaper standard components wherever possible,
- Introducing more efficient production technologies
- Introducing more efficient development, manufacturing, and sales processes

Target costing can thus also provide feedback on whether the restructuring has achieved the desired expectations and goals regarding its financial results. A more in-depth analy-

Table 9.1 Example Target Costing

Planned Manufacturing Costs	Material Costs	6.50 €
	Labor Costs	52.40 €
	Production Costs	3.25 €
	Logistics Costs	0.40 €
	Quality Assurance Costs	9.15 €
Planned Sales and Administrative Costs	Marketing Costs	17.20 €
	Sales Costs	6.90 €
	Customer Service Costs	€2.50
Planned Total Costs		98.30 €
Expected Profit Margin from Target Selling Price		30%
Target Costs or Target Cost Gap	Target Selling Price	120.00 €
	Target Profit Margin: 30% of Target Selling Price	40.00 €
	Target Costs: Target Selling Price—Target Profit Margin	80.00 €
	Target Cost Gap: Target Costs—Total Costs	**–** **18.30 €**

sis of further restructuring potentials can help the company bring its target costs to a market-compatible level.

As part of the restructuring, a company introduced target costing or target pricing. Using a simple contribution margin calculation, a threshold for the acceptance of a customer order was determined. If the sales department could achieve the threshold revenue for the respective contract in negotiations with customers, the order was accepted and forwarded to production without further checks. If the revenue for an order was below the threshold, a more in-depth examination of the strategic implications of accepting or rejecting the order was required.

In addition, the entire service portfolio was examined and cleaned up based on profitability-based **knockout criteria**. Loss-makers were analyzed based on the following questions:

- What are the reasons for the realized losses?
- How long has the portfolio component been producing losses?
- What is the dimension of the loss: contribution margin, operating profit, or net result?
- What investments would be required to make the portfolio component (again) profitable, and what is the probability of success?

Depending on this, loss-making products or services were either immediately removed from the portfolio or given a limited grace period. If the component could not be brought into the profit zone during this period and there were no strategic reasons to keep it in the portfolio, the product or service was phased out. After the initial analysis, this became a standard procedure on a quarterly basis.

An unexpected side effect of the portfolio analysis was the realization that certain components were rated significantly better by customers than by the company itself. As a result, the company re-categorized its portfolio and even successfully implemented a moderate price increase in the market for the newly defined premium service segment.

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Building Block 7: Performance

10

Abstract

A successful restructuring results in a stable and profitable day-to-day operation as well as in the long-term competitiveness of the company. A healthy confidence in one's own abilities is good. Nevertheless, the progress of the restructuring and the performance of the company should additionally be measured regularly based on objective data. Performance can be captured and made controllable in the dimensions of strategy (what progress is the company making in realizing its vision and strategic goals), operations (is the company delivering the planned performance in day-to-day operations), and restructuring (is the transformation of the company proceeding as planned and where is there additional need for action). Data becomes information through analysis. Information becomes management tools through targeted communication.

Success is relative in all of this. On the one hand, seemingly great successes from the company's perspective may still be insufficient for the competition in the market. On the other hand, it is not about achieving the absolute best results, but about being better than the competition. Especially in the disciplines that are decisive for competition.

A professional approach by the company in general and the restructuring managers in particular to the six preceding building blocks is the foundation for a successful restructuring. The result should be a stable and profitable operational day-to-day business as well as the long-term competitiveness of the company. A healthy confidence in one's own abilities is good, but additionally, the progress of restructuring and the company's performance should be regularly measured based on objective data. Peter Drucker once put it this way: "If you can't measure it, you can't manage it." (Croll and Yoskovitz 2013)

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For a company in crisis, it seems logical to manage it exclusively based on financial parameters. Nevertheless, this should be the exception. A solid financial performance should rather be the result of a clear vision of the company and a strategy for its realization. Its efficient execution is based on intelligent operational processes as well as highly motivated and committed employees. In this respect, a company should measure its performance during restructuring and in subsequent routine business in the following three dimensions and thus make it manageable:

- **Strategic Dimension**
  What progress is the company making in realizing its vision and strategic goals?
- **Operational Dimension**
  Is the company delivering the planned performance in day-to-day operations?
- **Restructuring Dimension**
  Is the company's transformation proceeding as planned? Where is there additional need for action?

▶ **If you can't measure it, you can't manage it. (Peter Drucker)**

10.1 Strategic Performance

The vision of a company and its long-term strategic goals often get lost in day-to-day operations. Operational problems and the achievement of monthly and quarterly targets occupy management too much for it to systematically take care of securing its future. Combined with an almost personal aversion to seemingly vague and only cosmetically defined long-term goals, managers who like to surround themselves with the aura of doers or problem solvers much prefer to focus on their daily battles. These managers forget that today's strategic business is tomorrow's operational business. Many, even well-known companies have paid for this ignorance with their business closure. Do you still remember AEG, Grundig, Telefunken, Nordmende, Dual, Alcatel, Blackberry, Nokia, Saab, Commodore International, Südmilch, PanAm, TWA, etc.?

Restructurings bring additional operational unrest to a company. The danger of losing sight of the long-term success of the company is enormous, especially then. Nevertheless, as shown, restructurings are an excellent moment to think about the long-term security of the company and to initiate corresponding concrete measures. Learning from past mistakes that may have forced the company into restructuring helps in this regard. At least the same mistakes should not be made again.

▶ **Today's strategic business is tomorrow's operational business.**

One approach to making long-term goals and strategies operationally tangible and thus more understandable and attractive for some managers is the **Balanced Business**

Scorecard or simply Scorecard. The Scorecard originally comes from boxing. "The '10-Points-Must-System' is the common method of scoring in professional boxing today. The winner of the round gets ten points, the loser nine, usually eight if a knockdown is suffered, and seven for two knockdowns. If a round is scored a draw, both boxers receive ten points. … Which of the two opponents wins a round depends on four factors in professional boxing. Unlike amateur boxing, the result is not determined solely by the number of hits. The three judges award their points based on the following criteria:

1. Effectiveness: The decisive factor is which boxer appears more aggressive, takes more risks, and shapes the fight. Especially in the USA, judges are impressed by an aggressive appearance.
2. Defense: Convincing defensive work is also reflected in the scorecards. In extreme cases, a boxer can win a round without landing a punch.
3. Ring Control: The center of the ring is a hotly contested terrain for a reason. The boxer who dominates the fight usually fights from the center of the ring.
4. Effective Hits: Not just the number of punches determines the point distribution. Especially in heavyweight, punch power and clean hits count. A flurry of punches on the opponent's guard is hardly recognized by the judges." (ran.de 2016)

All points are recorded in writing on a scorecard. If the fight does not end with a knockout, the sum of the points determines the winner of the fight. With the scorecard, the judges have a complete overview of the fight on a single sheet of paper and can decide its outcome.

The Harvard professors David Norton and Robert Kaplan (Kaplan and Norton 2005) took up this basic idea of the Box-Scorecard and developed a concept that allows a company's management to summarize all the information required for the strategic management of the company on a single sheet of paper or a screen page at a glance. In doing so, they succeeded in linking the strategy with the operational business performance of a company. This makes the strategy of a company more understandable and practical for the management and employees of a company. Specifically, the Balanced Business Scorecard shown in Fig. 10.1 consists of a few simple but relevant key figures for long-term and sustainable business success. These are not limited to the financial dimension alone. Instead, the company defines essential, non-monetary performance indicators for itself and links these to events that can be controlled by the company or its management. As a rule, the performance indicators used in a scorecard are relatively easy to calculate and provide.

When selecting performance indicators, it is about a balanced, well-balanced selection. To achieve a well-balanced scorecard, Norton and Kaplan defined **four perspectives (quadrants)** on the company:

- Market/Customer
- Internal Processes
- Organizational Learning
- Finance

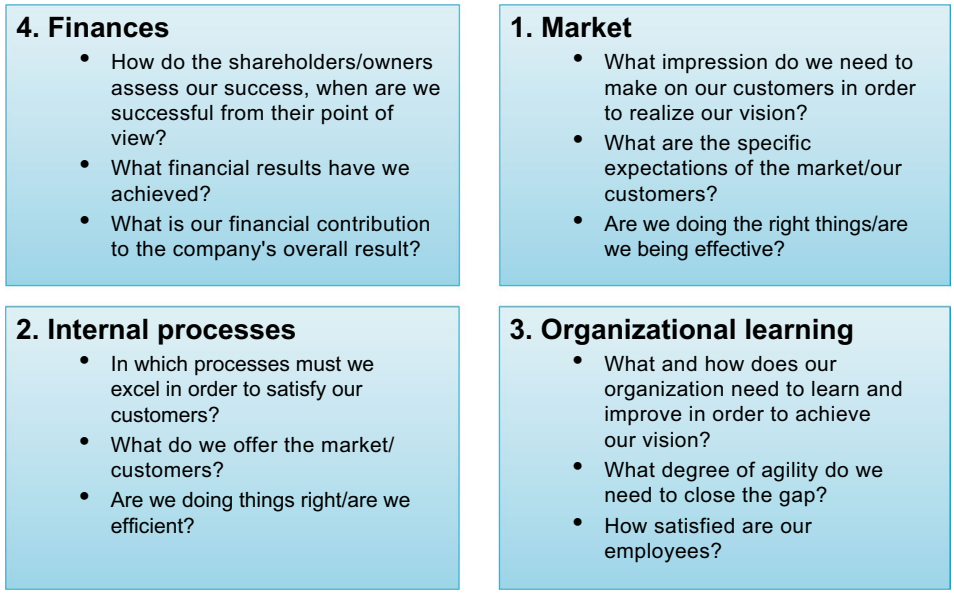


Fig. 10.1 Balanced Business Scorecard

For each of these perspectives, three to a maximum of five performance indicators are defined. The quadrants are logically linked as follows: since a company's success is decided in the market, the company must know what customers expect from the company. This quadrant thus represents the demand. In contrast, the company's offer stands. The offer is the end result of all the processes taking place in the company. The better the company's offer matches the demand, the more successful the company should be. However, the offer will rarely fully satisfy the demand. Successful companies differ from less successful ones in that they manage to adapt their offer quickly and cost-effectively to the (constantly changing) demand. This process is called organizational learning. If a company masters dealing with these three quadrants, it should achieve a satisfactory financial result as a consequence. The scorecard thus links a maximum of 20 operational business performance indicators directly with the company's strategy.

▶ **Strategies are not abstract. Their correctness and successful implementation, as well as the resulting benefit for the company, can be measured and controlled.**

The concrete application of the Balanced Business Scorecard is described again using the example of the airline Southwest Airlines (Kaplan and Norton 2004) and its restructuring. Figure 10.2 shows the logic of the Southwest Airlines Scorecard. The starting point was a dramatic financial crisis of the company. The cause of this was significantly

higher operating costs of the company compared to competitors. As a result, the company was unable to offer flight tickets at market-compliant prices, which further increased the pressure on financial results. Analyses showed that the main cause of the cost disadvantage was the longer turnaround time between the landing of an aircraft and its new start compared to competitors. Aircraft do not make a profit when they are on the ground. This was also clearly demonstrated during the Corona crisis. So, the entire company with all its business processes was analyzed and redesigned to significantly reduce the turnaround time. A target value was communicated that allowed Southwest Airlines to far exceed the results of the best in class. To achieve this value, the perfect coordination of activities between ground staff and the aircraft or its crew was of crucial importance. Against the background of increasing digitalization, it is still strange today how analog the aircraft world looks on the ground. Aircraft can land automatically today. But once they arrive at the parking position, it can take an eternity for the escalator or apron bus to arrive or the team to manually load and unload the luggage.

For the four perspectives of the company, corresponding key figures were defined, which made the success of the restructuring measures measurable and controllable. The goals, indicators, and target values can be found in Fig. 10.3. The result was the world's first low-cost airline. Many ideas generated by Southwest Airlines many years ago are still part of the standard repertoire not only of low-cost airlines today.

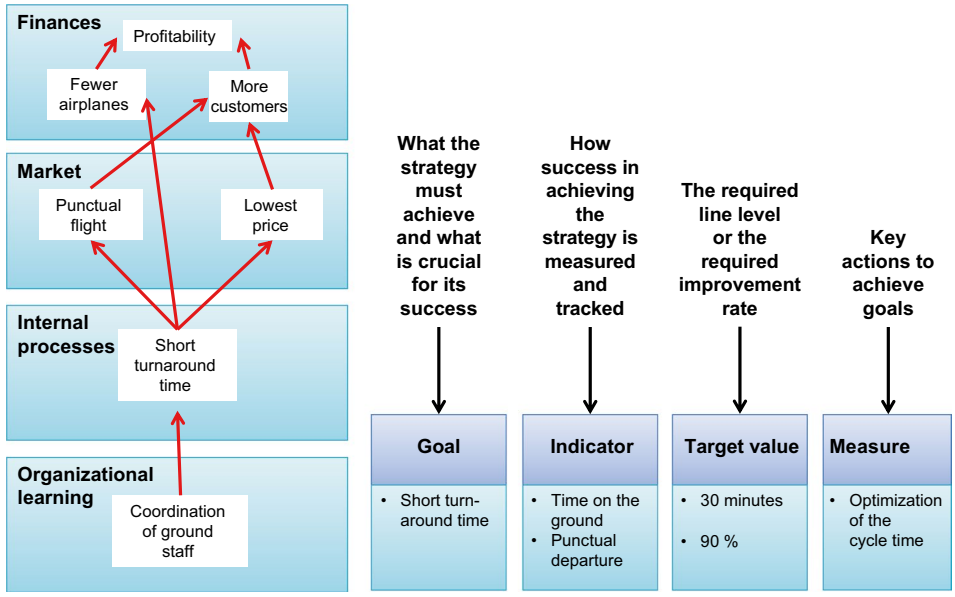


Fig. 10.2 Logic of the Southwest Airlines Scorecard

10.2 Operational Performance

Most companies have systems that allow them to measure and more or less effectively manage their operational performance. How well they succeed in managing it also depends on whether they have correctly identified the critical success factors, defined appropriate performance indicators, and use these for management. Therefore, no universal recommendation can be given as to which metrics should be used for measuring and managing operational performance. However, there are some guidelines whose adherence facilitates application and increases the benefit for the company.

In principle, dealing with operational performance should take place within a **permanent control loop**. This consists of the phases

- **T** *arget setting*/Goal setting
- **R** ealization
- **A** nalysis
- **C** *orrection*/Correction

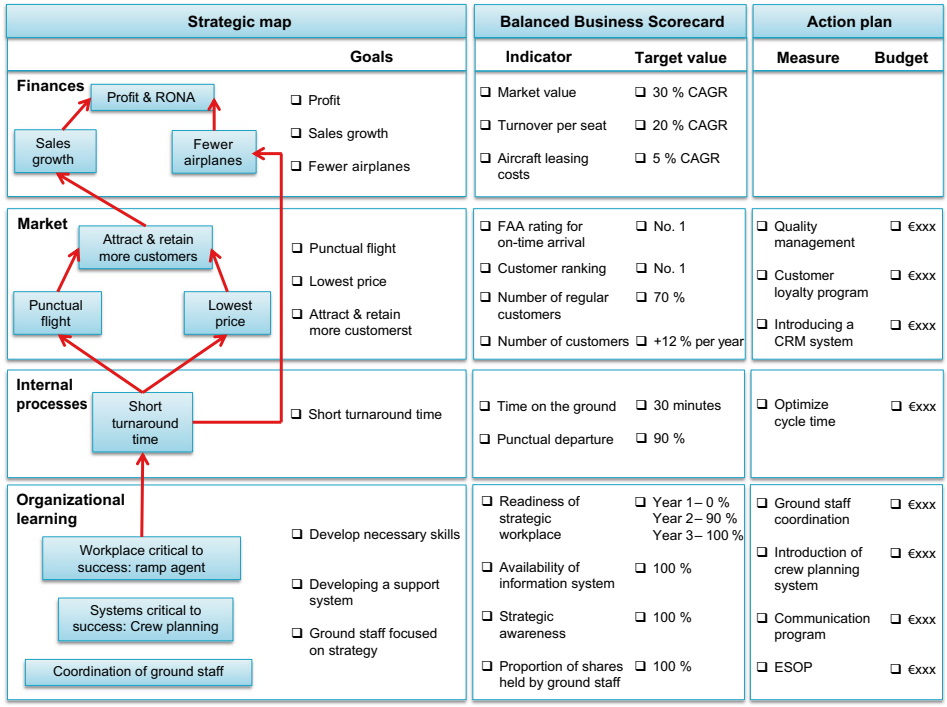


Fig. 10.3 Balanced Business Scorecard of Southwest Airlines

At the beginning of the TRAC cycle from Fig. 10.4 is the definition of relevant operational goals and the corresponding target values. Subsequently, operational activities are adopted and realized. Their effectiveness in terms of achieving the goals is determined by regularly comparing the target values with the current performance data. If the current performance values are below the targets, corrective measures must be initiated. This continues until the results are back on track *(back on track)*. If the goals are achieved or even exceeded, new goals are defined, and the cycle begins anew.

▶ **Power is nothing without control. (Pirelli)**

Even before the introduction of so-called **Power Controlling**, the preparation and presentation of analysis results and action recommendations were important for a successful TRAC cycle. As with any other communication, the meaningful content of the message is central. Whether it is business-oriented analyses or (restructuring) project-related evaluations, their understanding and acceptance by the recipients strongly depend on the visualization of the results. Instead of confusing columns of numbers in Excel format, graphical dashboards offer even less detail-oriented recipients the opportunity to get an overview of the current situation and make decisions about the further course of action. In some companies, personalized performance dashboards are displayed to managers after they start up their computers in the morning. Each manager receives the

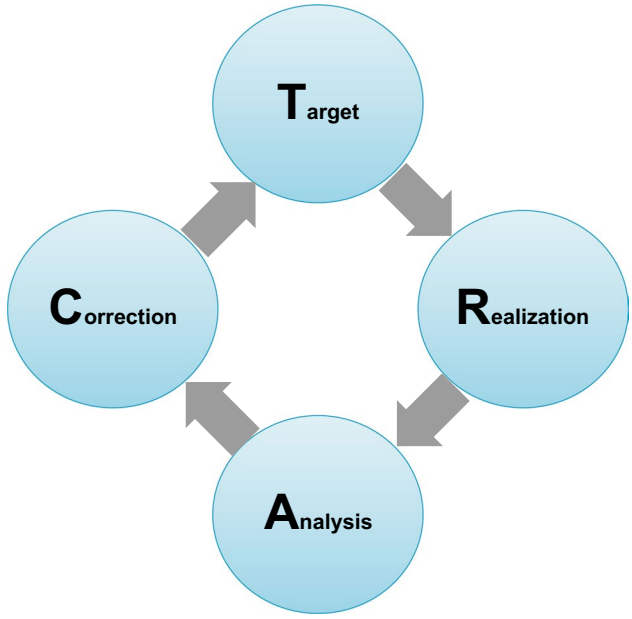


Fig. 10.4 Operational performance management in the TRAC cycle

information relevant to them, and as a team, everyone is on the same page. In call centers, it has long been common practice to make the organization's performance data (utilization rate, average call time, etc.) visible to everyone in real-time.

The larger the distribution circle of the information, the greater the likelihood that performance data will not be understood or interpreted in the same way. Therefore, no report should be without a glossary in which the meanings of the metrics used are generally defined and explained.

▶ **Data becomes information through analysis. Information becomes operational tools through targeted communication.**

Over time, the priorities of the organization change regarding performance-relevant information for day-to-day business or the restructuring project. Therefore, a regular **inventory of reporting** is required. Despite ongoing automation, costs are incurred, and other resources are tied up with each report creation. Additionally, the flood of information bombarding recipients carries the risk that truly relevant information will no longer be recognized and considered. When updating the reporting system, both the push and pull principles can be applied. In the pull principle, recipients are regularly asked about the relevance of the reports/information for them. Essential information continues to be provided. For useful but not absolutely necessary reports, it must be decided situationally whether their creation and distribution will continue. Reports in the "nice to have" or "no longer relevant" category can be discontinued immediately. In the push principle, for example, controlling can create certain reports based on its experience and not distribute them to the corresponding recipients. If there are no complaints, controlling can follow the same procedure in the next and subsequent reporting cycles. If there is no explicit demand for the report by then, its creation can be permanently discontinued. The cleanup process can be further accelerated by attaching a price tag to each report. Through this internal billing, both sides will have an interest in aligning their needs.

During the restructuring of a company, the analysis revealed that there were significant organizational and process deficiencies in receivables management, which also contributed to the company's financial difficulties. Apart from the profit and loss statement, from which the performance parameters "revenue" and "profit" were obtained monthly at the company level, the restructuring manager also requested a detailed receivables report on a weekly basis. In particularly critical cases, the status of the corresponding receivables was even reported on a daily basis. An example of a simple weekly report on receivables management can be found in Table 10.1.

As part of the restructuring, the responsibilities and procedures for receivables management were redefined. Over time, the resulting positive effects could be tracked and controlled based on the corresponding performance parameters in the weekly reports. As shown in Fig. 10.5, the uncollectible receivables could be reduced to nearly zero in a comparatively short time.

Table 10.1 Example of a simple weekly report on receivables management

Customer	Payment term in days	Credit limit in €	0–30 days	31–60 days	61–90 days	91–180 days	181–360 days	> 360 days	Average age of receivables in days	Total amount in €	Responsible
AAA	30	100,000	1,229,079	1,143,936	**412,864**	**561,121**			39	3,347,000	Thomas
BBB	60	0	1,035,787	408,118	**257,918**	**406,527**			58	2,108,350	Andrea
CCC	30	200,000	506,861	113,058	**39,623**	**200,589**			40	860,131	Mike
DDD	30	0	312,933	261,299	**472,152**	**509,114**			44	1,555,498	Maria
etc.											

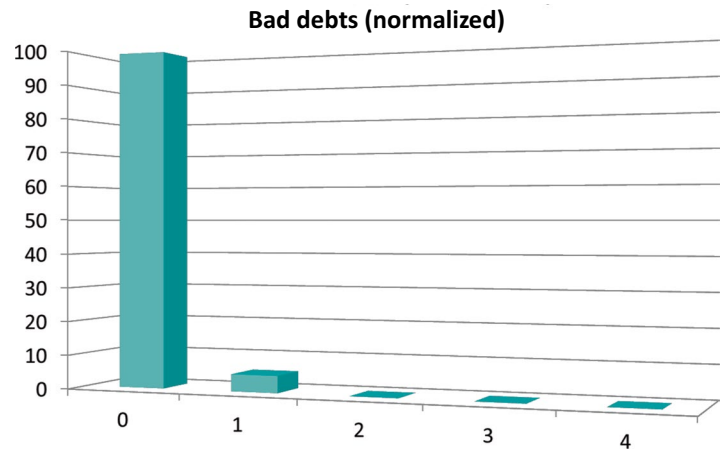


Fig. 10.5 Impact of restructuring on the stock of uncollectible receivables

Decisive for success is the knowledge of the right priorities and the definition of corresponding operational performance parameters. With consistent thinking and acting in the sense of the TRAC cycle, the positive effects of the restructuring will gradually also be reflected in the operational results.

In the following company, the goals and priorities of the restructuring were clearly defined in terms of increasing sales and profits. Therefore, it was not a major difficulty to define the corresponding performance indicators. In addition to sales, these were the company's operating profit and its net profit. The development of the company's operating results is shown in Fig. 10.6. The year 0 is the point at which the restructuring began. It was completed in year 2.

The restructuring has obviously had a positive and sustainable impact on the company's operating results. It should be noted that the years 0 to 2 were burdened with significant one-time restructuring costs. These include, above all, severance payments to employees who left the company.

▶ **Success is relative. On the one hand, what may seem like great successes from the company's perspective may still be insufficient for the competition in the market. On the other hand, it is not about achieving the absolute best results, but about being better than the competition. Especially in the disciplines that are decisive for competition.**

However, success is a relative matter. If one also considers the development of the company in the years before the restructuring, it is confirmed that the restructuring had a positive impact on the later company results. Very important: the company managed the turnaround. As you can easily see from Fig. 10.7, it then took a very long time for the company to come close to its past financial successes again.

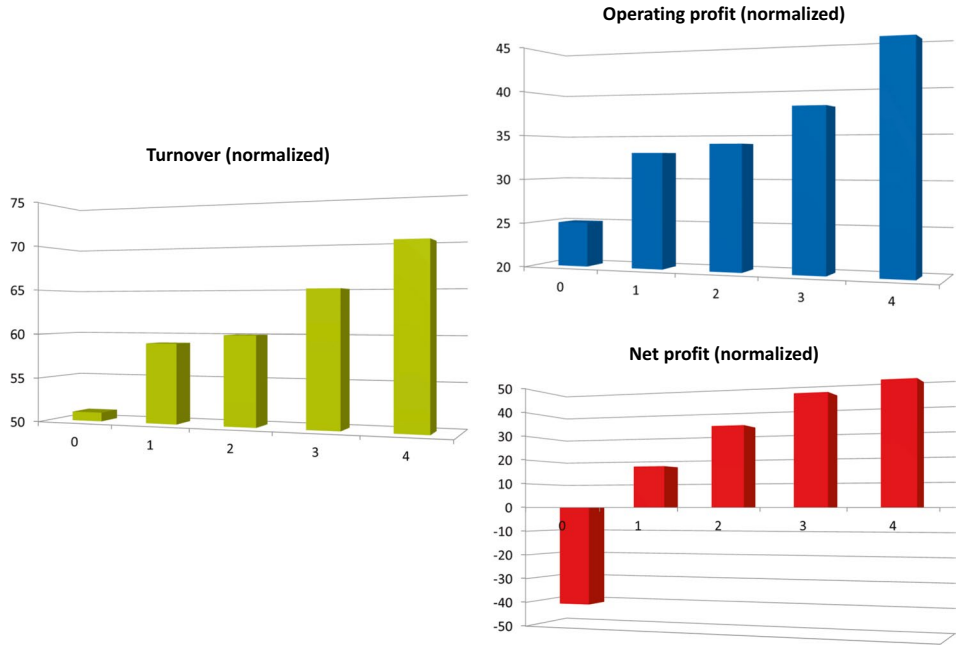


Fig. 10.6 Impact of restructuring on operating results

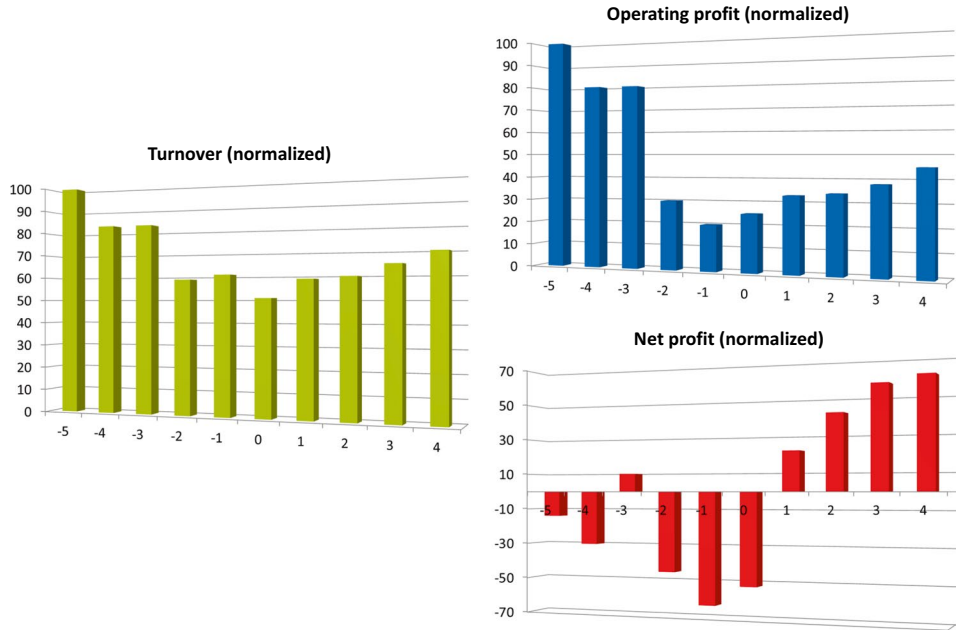


Fig. 10.7 Relative success of the restructuring

At the same time, this example also makes it clear that, as in sports

- it is difficult to become number 1,
- it is even more difficult to defend this position, but
- defending the position is still easier and more promising than regaining lost ground through restructuring.

In this respect, systematic, strategic planning, its efficient implementation in day-to-day operations, and controlling that supports management as a navigator, always pay off. The best restructuring is the one that could be avoided through agile thinking and consistent action in regular operations.

That restructurings cannot always meet the clients' expectations for the company's operational results is shown by the following example summarized in Fig. 10.8. Apart from the fact that the entire industry was in a downward trend, it was mainly management errors that ensured that the restructuring of years 0 and 1 was not used for a turnaround and only provided the company with a short breather (slightly increased or stabilized operating profit margin) before the negative result trend continued. Due to its strong market position, the company's existence was not at risk. However, the opportunity was missed to make the company competitive in the long term through restructuring. Instead of generating organic growth through restructuring, the company fought the negative trend of its own results by acquiring competitors. In external communication, reference was made to rising operating results again. However, the result adjusted for acquisitions was still disappointing.

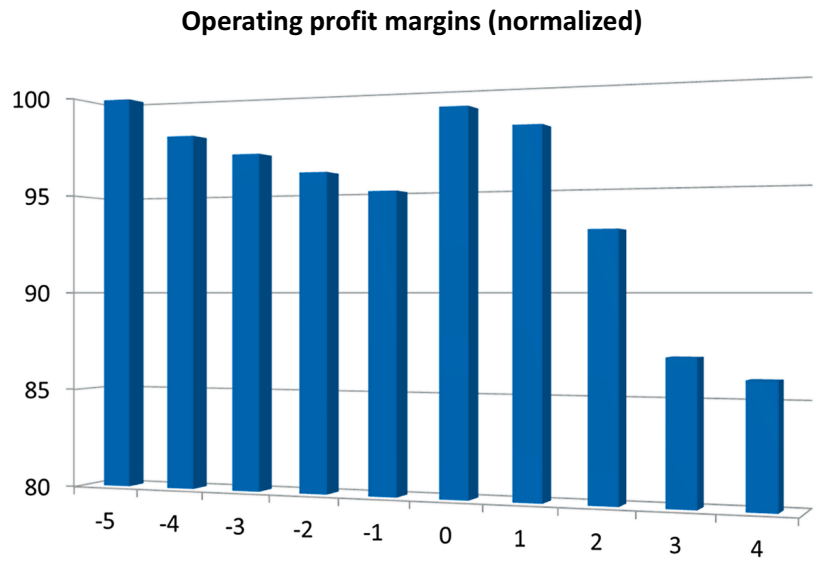


Fig. 10.8 Insufficient impact of restructuring on operating results

10.3 Restructuring Progress

The examples mentioned above show how important it is to measure the progress of the restructuring itself and to derive appropriate (corrective) measures from it. The progress of the restructuring can be used as a leading indicator for future strategic and operational successes. If the professionally planned and executed restructuring shows the desired effects during its implementation, it can be assumed that this will also have a positive impact on business results.

Apart from the operational results, the progress of the restructuring can be measured and controlled based on the changes taking place within the organization. Restructurings are still primarily implemented by people. The better the employees are informed about the changes resulting from the restructuring and the more actively they engage, the greater the project's chances of success.

One approach to capturing the atmosphere within the organization regarding the restructuring is the **restructuring monitor**, as shown in Fig. 10.9. For this purpose, a few questions are formulated in the first step, based on which the respondents can express their attitude and opinion about the restructuring. The questions can be answered on a scale from 5 (I completely agree) to 0 (I do not agree at all). This makes it impossible for the respondents to settle on the "golden mean." The chosen scale width also allows the restructuring managers to perceive both small and large changes or differences and to make appropriate distinctions in further actions.

The same questions are sent out at the beginning of the restructuring and subsequently at regular intervals. To ensure high response rates, closed questions that are best answered via a scale rating are recommended. Additionally, in times of digitalization, the intranet offers itself as an efficient communication platform (e.g., the morning homepage). In small organizations or production environments, however, the good old paper questionnaire or social media channels can also be used. To allow individuals to provide a more personal assessment regarding the restructuring, one or two questions can also be formulated openly. The frequency of the restructuring monitor depends on the duration of the project. For short durations, a shorter interval is recommended. Due to the short duration of the project, you as the restructuring manager rely on a multitude of relevant information within a short time to be able to intervene if necessary. For longer durations, the interval should be extended. This prevents feedback fatigue among respondents and ensures that significant changes in sentiment are reliably detected. In any case, the survey should be conducted anonymously to obtain the most realistic view of the current situation. Additionally, the circle of respondents should be large to capture all areas and levels of the organization and to identify possible differences in the atmosphere.

The starting point of the restructuring monitor, the baseline measurement, takes place with the official start of the project. Further surveys take place, for example, on a monthly basis. The survey covers the company in its entirety. The restructuring managers have access to all detailed results. For all other stakeholders, the relevant information can be summarized and communicated as needed. The information obtained is not only

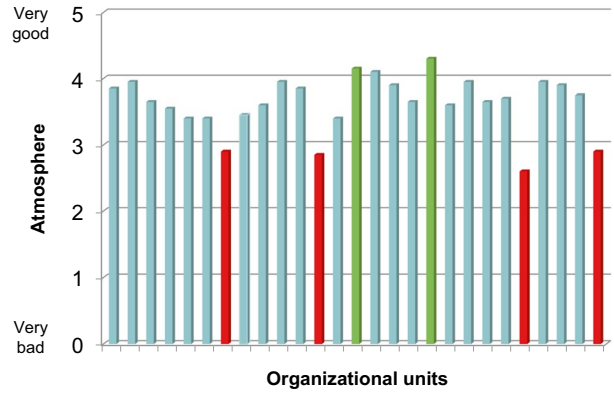


Fig. 10.9 Snapshot of the restructuring monitor

intended for management and restructuring managers. After appropriate preparation, the entire organization should be informed about the progress of the restructuring. Only those who know their current position can be sure of reaching the goal and initiate any necessary additional measures in a timely manner. As the restructuring progresses and responsibility gradually shifts from the project team to line management, it is up to the individual area managers to decide who in their organization should receive which information regarding the further perception of the restructuring.

▶ **Do not evaluate the success of the restructuring only at the end of the process based on financial results. Ensure that you are informed about the status of the restructuring at all times.**

Especially in change processes, such as restructurings, it is important that all employees are on the same level of information to prevent counterproductive speculation and rumors. Despite the same information packages from the restructuring managers, relevant information is obviously not communicated or received uniformly within the organization. The restructuring monitor can identify differences in the perception of the restructuring within the organization and show the managers where there is still a need for information or action. For this purpose, a negative **threshold value** can be defined. If this is undershot, the restructuring managers must intervene. By immediately clarifying the reasons for falling below the threshold, appropriate compensatory measures can be taken, and information and satisfaction deficits can be equalized. The disruptive "grapevine" can thus be significantly curbed. At the same time, a positive threshold value can also be set. If this is exceeded, it indicates successful change management by the area managers. To promote horizontal communication and collaboration within the company, the restructuring managers can bring together the successful change managers from the line organization with their less successful colleagues for an exchange of best practices. Learning from each other further breaks down any existing silo mentality and bonds the

management both vertically and horizontally. Since this does not go unnoticed by the workforce, the chances of improving cross-departmental communication and collaboration at more operational levels also increase.

By analyzing the various outputs of the monitor over a longer period, the restructuring managers also gain insight into the changing sentiment towards restructuring within the organization. Essentially, the sentiment trends correspond to the previously presented Ross-Kübler model. Nevertheless, there are specific influences in each restructuring project that cause both the duration of the individual phases and the phase-specific deviations from the generic model to vary.

The financial expenditure for a restructuring monitor is usually very manageable. At the same time, it provides the restructuring managers with vital information for the success of the project.

At Mobilkom Austria and Telekom Austria, the sentiment during the merger was measured comprehensively and empirically in parallel with the ongoing qualitative activities. For this purpose, the "Integration Monitor" was established. Internal sentiment was collected at regular intervals through anonymous surveys and visualized as shown in Fig. 10.10 (Bredl 2011)

However, never underestimate the power of habit. Building a new **corporate culture** is a lengthy process that requires correspondingly long-term support from management. If this support ceases after a certain period, for example, after the completion of the organizational restructuring project, there is a great risk that organizations will continue to operate with old values and attitudes in new structures and processes. Many potentials of the restructuring thus remain partially or entirely untapped. The completion of the structural and procedural organizational restructuring is therefore only the beginning of a new restructuring—that of developing a new and sustainably successful corporate culture.

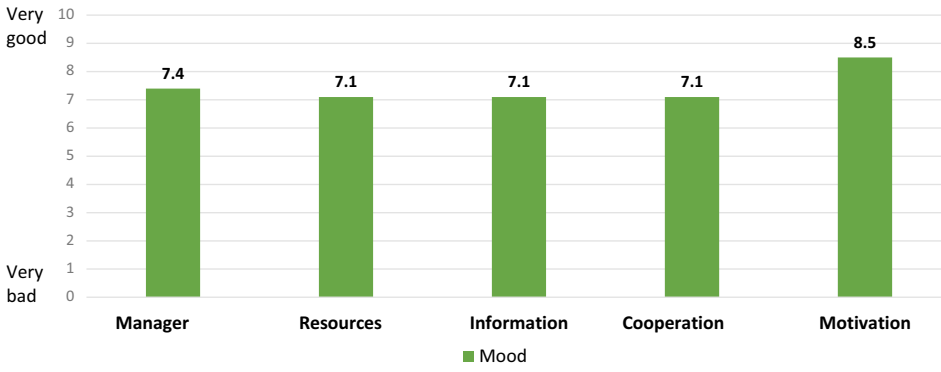


Fig. 10.10 Exemplary interim report of the Integration Monitor at A1 Telekom Austria. (Bredl 2011)

Leadership would therefore do well to stay engaged with the changed communication and behavior patterns in the company due to the restructuring. Above all, top management should not be overly impressed by the seemingly new demeanor of some of their managers. Occasional checks of their true motivation and attitude reveal and secure the long-term success potential of the restructuring and avoid personal disappointments. Or as the Russian politician Vladimir Ilyich Lenin once put it: "Trust is good, control is better."

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Summary

11

Abstract

Despite their complexity, restructurings can be successfully managed by those responsible if the seven building blocks are observed and the "right" approach is developed. In doing so, the specific aspects of each project within the seven building blocks must be taken into account.

But apart from the company, the responsible individuals should also successfully complete the restructuring. This requires a composed handling of political power plays, strength of character, the courage to make unpopular decisions for oneself, and not neglecting one's own well-being and health. Therefore, try to engage in activities that bring you joy. If restructurings are among those activities—all the better.

Restructuring is one of the most challenging tasks for any manager. On the one hand, it involves complex tasks that touch on many areas. On the other hand, the time and result pressure is usually high, as restructuring often takes place in a crisis situation. Additionally, despite the ongoing digital transformation, both companies and their restructuring projects are primarily shaped by people. Restructuring means change. This change includes not only structural and procedural organizational changes but also the alteration of the thinking and working methods of employees in all areas and at all levels of the company. Changing one's own behavior is already a challenging task. Changing the behavior of dozens, hundreds, or thousands of other people seems almost hopeless at first glance. The seven building blocks of a successful organizational corporate restructuring described in this book are a guide intended to help those responsible for restructuring to develop the "right" approach for their specific project. In addition to generally

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valid recommendations, the specific aspects of each project within the seven building blocks must always be considered.

Finally, some well-intentioned, very personal advice:

- **Motivation of the Clients**
  Check the real motivation of your clients for the restructuring as thoroughly as possible in advance.
- **Particular Interests**
  The larger the company or corporate group, the more (special) individual interests there are. These can collide with your restructuring goals.
- **Power Shifts**
  Shifts in the power structure of the client can affect your work. Perceive the divergent interests and the winds of change, and remain professional. Continue to give your best for the company, even if it seems less beneficial for you in the short term. In the long term, you will be the winner.
- **Power Plays**
  Your superiors are not always right. And do not be impressed by their power plays. Have confidence in yourself and be yourself. If you start to depend on what others think of you, you have already lost—professionally and personally.
- **Hotel California Syndrome**
  Always remain part of the solution and do not allow yourself to become part of the problem. This includes, on the one hand, always staying within the legal framework. On the other hand, resist even the most tempting offers and convincing promises of security that may bring you short-term success but make you vulnerable in the long term. The American rock band "The Eagles" put it this way in their song "Hotel California": "You can check out any time you like, but you can never leave."
- **Choices**
  When checking into Hotel California, do not lie to others or yourself with the pseudo-argument "I have no other choice." You always have a choice. You may not like the consequences that right actions bring. In retrospect and in the long term, however, not having checked into Hotel California will bring a deep and lasting sense of satisfaction.
- **Communication**
  Get straight to the point with the things you communicate, but be pleasant in the way you communicate. Document particularly important things in writing and let all involved parties know.
- **Chemistry**
  Surround yourself whenever and wherever possible with people who meet your professional expectations and with whom your gut feeling is right. Do not underestimate the latter and do not push it aside.

- **Health**
  Do not stay too long in a work environment that is unhealthy for you. Prestige or pride aside, your health will thank you.
- **Joy of Life**
  In case you still enjoy putting things in order, seek out new, professionally challenging, and beneficial environments. If you do things you enjoy there, you will do them well. If you do something well, you will be rewarded for it (not just with money). If you receive recognition/reward for your work, you will do things with even more joy. This is the beginning of your happiness spiral.

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